

ALL THE RIGHT PIECES

THE PHILIPPINE STOCK EXCHANGE, INC. 2013 ANNUAL REPORT



Empowered and More
Engaged Stakeholders

Solid Company
Growth

Defined Direction

An Economy Upgraded

Track Record of
Stability & Excellence

More Product & Service
Offerings

Responsive Rules
and Infrastructure





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About The Cover

Good things come when all the right pieces fall into place. But greater things happen when people put vision and hard work together to lead all the right pieces to fall in the right places at the right time. Behind the surging Philippine economy, the milestones of the Philippine Stock Exchange in 2013 were a result of a defined strategy to achieve its vision of becoming a premier stock exchange and a pursuit to engage stakeholders to contribute and work behind this common goal.



Mission, Vision, and Corporate Values

PSEi at the very core

Vision

A premier exchange with world-class standards for trading securities and raising capital that serves as a strong engine for a robust economy

Mission

- Offer products and services responsive to the needs of investors and other stakeholders
- Provide a facility for fair, accurate, complete and timely information about listed companies, while extending market education and awareness programs to investors
- Be a preferred venue for raising capital
- Practice and promote good governance within the Exchange and among listed companies and trading participants
- Operate efficiently to optimize shareholder value
- Adopt world-class systems and global best practices for an efficient, fair and orderly market
- Develop a highly motivated and professional workforce, committed to serve and excel

Corporate Values

- Professionalism in delivering quality service and in meeting the highest standards of excellence
- Integrity, transparency and accountability in implementing business programs and enforcing decisions
- Teamwork in working towards a common and favorable goal for the market
- Mutual respect in relating with fellow employees
- Inner strength in prioritizing the common good of the market instead of individual interest
- Corporate responsibility in promoting market growth hand in hand with community welfare





Financial Highlights

The Philippine Stock Exchange, Inc. and Subsidiaries

table: 01

2013	2012	change	
		Amount	%

(in thousand Php)

RESULTS OF OPERATIONS:

OPERATING REVENUES	1,528,005	1,141,914	386,091	33.81
Listing fees, maintenance & processing fees	722,111	562,040	160,071	28.48
Trading fees	316,782	198,695	118,087	59.43
Service fees	454,676	316,377	138,299	43.71
Regulatory fees	13,781	45,260	(31,479)	(69.55)
Others	20,656	19,542	1,114	5.70
TOTAL EXPENSES	527,972	498,330	29,642	5.95
Cost of services	187,944	176,954	10,990	6.21
Administrative expenses	340,028	321,376	18,652	5.80
OTHER INCOME	118,323	165,532	(47,209)	(28.52)
INCOME BEFORE INCOME TAX	1,116,936	804,032	312,904	38.92
NET INCOME AFTER TAX:	844,770	625,343	219,427	35.09

YEAR-END FINANCIAL CONDITION:

TOTAL ASSETS	3,152,460	2,519,479	632,981	25.12
Cash and cash equivalents	1,086,696	1,051,355	35,341	3.36
Financial assets at fair value through profit or loss	374,277	274,585	99,692	36.31
Long-term available-for-sale financial assets	626,009	327,847	298,162	90.95
Property and equipment	509,847	498,382	11,465	2.30
TOTAL LIABILITIES	588,041	257,087	330,954	128.73
Current liabilities	554,792	240,902	313,889	130.30
Post-employment defined benefit obligation	33,249	16,185	17,065	105.44
EQUITY	2,564,419	2,262,392	302,027	13.35



Message from the Chairman

Dear Shareholders,

The Philippine Stock Exchange (PSE) had an exceptional 2013 in so many respects. The milestones we achieved were a product of key factors coalescing to produce unprecedented successes.

The Philippines received the much-awaited and expected credit ratings upgrade from the three biggest international rating agencies – Fitch, Standard and Poor's and Moody's. This was a milestone that many thought will not happen in the foreseeable future but came into fruition. It was a big boost to a country that has been dubbed as the "Rising Tiger" of Asia. The numbers also reinforced the country's good economic standing. The local economy's stellar performance was highlighted by a 7.2 percent growth in gross domestic product. Inflation rate also remained benign at 3.0 percent.

As everyone cheered the upgrade and the bullish economic outlook, the stock market soared to its all-time high after reaching an intraday level of 7,403.65 points on May 15 posting at that point a year-to-date gain of 27.4 percent. The PSEi, in fact, hit record highs 31 times in 2013. While the momentum in the first five months of the year were set back by announcements from the US Federal Reserve pertaining to its plans to taper their quantitative easing program, the PSEi still managed to end the year on the plus side. This marked the fifth consecutive year of growth for the Philippine stock market, making it one of only two exchanges globally to achieve this.

Meanwhile, given the renewed attention of investors to our market, both local and foreign alike, trading activity became brisk as the market's total value turnover grew by 43.7 percent to P2.55 trillion while daily average turnover rose 44.9 percent in 2013. This marked the first time that daily average trading value eclipsed the P10 billion-mark.

Other market indicators still posted impressive numbers against the context of the challenging months we experienced during the third quarter of the year. Capital raising activity reached P175.07 billion, the second highest registered figure in stock market history, just 20 percent lower than the record number posted in 2012. Foreign investors also remained net buyers at P15.59 billion.

Together with the stock market performance, the PSE had a remarkable year as it followed the blueprint of its new three-year strategic plan with the end goal of becoming a world class stock exchange. A key element to achieving this goal is the development of new products and services.

I am proud to say that 2013 was a breakthrough year for us in terms of introducing products and services to make our market more competitive with our regional peers. Among the new products launched were Exchange Traded Funds and the co-branded SGX-PSE MSCI Philippines Index Futures that was listed in Singapore. We also released a list of Shariah-compliant securities to capture a portion of the Islamic fund in the market.

We also had landmark achievements when it came to technological services with the launch of PSETradex and PSE EDGE which offer market players new opportunities. At the core of these technological innovations is accessibility to the market and to information. PSETradex encourages more local investors to trade and be part of the market's growth story. As long as there is an internet connection, investors in cities and municipalities outside the capital can trade and invest in the market. The new PSE EDGE portal, for its part, is a concrete step towards improving transparency and governance in the market. Shareholders become more empowered with information now at their fingertips.

"Together with the stock market performance, the PSE had a remarkable year as it followed the blueprint of the new three-year strategic plan with the end goal of becoming a world class stock exchange."

We continue to reach out to our investors through social media and our more traditional approaches to market education. The PSE continues to utilize Facebook and Twitter to give market information and announcements. We also have our first partner institution outside of Metro Manila for our Certified Securities Specialist Course, the University of San Carlos in Cebu. The Exchange's wholly-owned subsidiary, the Securities Clearing Corporation of the Philippines, now has its own website to give the investing public access to information on clearing and settlement operations in the Philippine stock market.

Corporate governance remains to be a priority thrust of the Exchange. And so it is an honor for the PSE to be ranked among the Top 50 in the ASEAN Corporate Governance Scorecard for Publicly Listed Companies in the Philippines.



It is likewise our honor to recognize listed companies and trading participants that adhere to the highest standard of corporate governance in the country at the second PSE Bell Awards. These awards have been gaining traction as we get more queries from listed companies and trading participants on how they can meet the standards to become Bell Awardees themselves.

We also continue to be very much involved in promoting ASEAN as an asset class as highlighted by our hosting of the 19th ASEAN CEO's meeting in August. We continue to support the group's initiatives to promote ASEAN equities.

Speaking of our ASEAN counterparts, on behalf of the PSE, I would also like to express my sincerest thanks to all the Exchanges in Southeast Asia and the rest of the world that expressed sympathy to the Filipino people in the wake of Typhoon Haiyan. I am grateful that bourses worldwide, partners of the PSE and trading participants tapped the PSE Foundation as a conduit to extend financial help to the typhoon victims. Our Foundation will continue to look for opportunities to help our countrymen rebuild their lives after this tragedy.

With all the right pieces in place, our phenomenal year was capped by the recognition to the PSE as the Best Stock Exchange in Southeast Asia by financial magazine Alpha Southeast Asia. This award was an affirmation of all that we worked hard for the entire

year. It now also serves as an inspiration to do even better in the coming years.

I also like to thank the International Association of Business Communicators Philippines for choosing me to be one of the recipients of the CEO (Communication Excellence in Organizations) Excel Awards 2013 in the field of Excellence in Business Communications. I am truly grateful for this recognition.

All in all, it was a year to reap the fruits of everyone's hard work and perseverance and the harvest was definitely abundant. We continue to sow the seeds to ensure better harvest in the coming years.

Thank you very much for all your support and continued trust in your PSE, its Board of Directors, Management and staff.

Sincerely Yours,



JOSE T. PARDO
Chairman



Message from the President

Dear Fellow Shareholders,

As we set out our targets for the Company to become world class within the next three years, we had to push ourselves in coming up with audacious and ambitious plans for The Philippine Stock Exchange (PSE). With the ASEAN Economic Community around the corner, the need to become more competitive as a market has become more imminent and necessary. The integration of the markets will provide more opportunities for growth rather than threaten the gains accumulated in the past years.

We were cognizant, however, that ambition alone was not enough. We had to ensure that any target we set is also achievable and realistic.

In choosing to strike a balance between these two important goals, we chose to be driven by ambition rather than being limited by the usual constraints. We could not afford to make excuses because of legacy issues and various structural constraints. As we look back at what we accomplished in 2013, we believe we made the right choice.

We started our path with an inward transformation by improving the ways we do things. Aiming to become world class meant shifting to world class processes and execution. We, thus, transformed our organization to become more responsive by enhancing our capabilities both technologically and by strengthening our human resource complement.

As a result, we were able to put check marks across the goals we set out for 2013. And because of these accomplishments, we believe we were able to bring us closer to our goal of making our market more competitive with our peers.

In 2013, we were able to roll-out key programs for the stock market. For starters, we launched the first Exchange Traded Fund (ETF) listed at the PSE. This is a milestone accomplishment in many respects. With the ETF asset class, we have started to expand our product lines. Investors, retail and institutional alike, can now take part in our market with ease by investing in one single product.

We were also able to launch offshore a Philippine-based equity index futures when the SGX PSE MSCI Index Futures was listed at the Singapore Exchange. This index futures now allows investors a mechanism to hedge their exposure in Philippine equities. We expect that in the future, more Philippine-based trading products and instruments can also be introduced.

In December, we launched the roster of PSE listed companies that are compliant with Shariah law. By partnering with a global expert in this field, the IdealRatings, we released a list of 49 PSE listed stocks. Our Muslim investors can now invest in these issues locally instead of having to resort to investing in other markets that provide this service. Together with this, we have effectively opened our markets to more investors in Muslim countries such as those in the Middle East.

We are also proud to have implemented two critical technology services in 2013. The PSETradex was introduced in April to help facilitate the entry of trading participants in the online trading space. This platform provides for an economical yet technologically capable system for brokers to offer online trading to their retail clients. In 2013, two brokers introduced their online trading service using the PSETradex and by yearend, close to a dozen others had signed up to use this system.

"It helps that our accomplishments as an organization complemented our accomplishments as a nation. The investment grade status caused more investors to look into our market. The gates have opened up to a wide number of funds that have traditionally invested only in investment grade economies."

Another critical service offering we started was the PSE Electronic Disclosure Generation Technology or the PSE EDGE. The PSE EDGE replaced the old disclosure system used by listed companies to submit their disclosures. With the EDGE, we eliminated the submissions in PDF format and moved to a submission in html format. Such format is easily downloadable and can be directly fed to the various data systems of different information providers. For instance, with the submission of financial accounts in the html format, financial ratios can easily be reported and presented real-time.

With all these projects completed in 2013, we are confident we are heading towards the right path of increased competitiveness.

It helps that our achievements as an organization complemented our accomplishments as a nation. The investment grade status we attained as a country caused more investors to look into our market. The gates have opened up to a wide number of funds that have traditionally invested only in investment grade economies. But the overall economic impact of this development is more critical with respect to the reduction in the cost of capital for companies. This will allow them more room to expand and address the growing demand in their respective sectors.

The fact that we have also ended the year with the PSEi, again, up from the previous year is important. It marks the fifth consecutive year that our index has gained year-on-year. It signals that we now have an underlying fundamental that is capable of sustained growth over a longer period especially in the context of our history of being subjected to boom-and-bust cycles.

All these pieces indeed add up to forming a picture of a solid company founded on sound economic fundamentals. Our financial results as a company bear this out.

We are proud to report that in 2013, our net income has gone up by 35.1 percent to P844.77 million from P625.34 million in 2012 behind strong revenue growth and managed expenses. For the full-year, revenues rose 33.8 percent to P1.53 billion as all income components showed notable growth. Listing-related income expanded by 28.5 percent to P722.11 million with the addition of 10 companies in the roster of listed firms in the Exchange. Trading-related revenues also shot up by 59.4 percent behind the 43.7 percent in total value turnover in the stock market.

Meanwhile, the Exchange efficiently managed its expenses for the year which grew only by 5.9 percent to P527.97 million from P498.33 million in 2012.

Your Board is once again sharing these gains by virtue of an effective 20 percent increase in cash dividends to all shareholders, amounting to P9 per share. This is equivalent to a payout ratio of 82 percent which is much higher than our minimum dividend payout policy of 50 percent.

As we move to the second year of our strategic plan, we are hopeful once again that we will accomplish important milestones. The targets we have set out in 2014 are ambitious, but hopefully achievable, too. With your support and the renewed confidence in our economy, we are optimistic that we can once again prove that goals, however, ambitious, can turn into reality.

Trust that your continued faith and confidence in the company will continue to inspire us to deliver yet another productive and fruitful year.

Sincerely Yours,



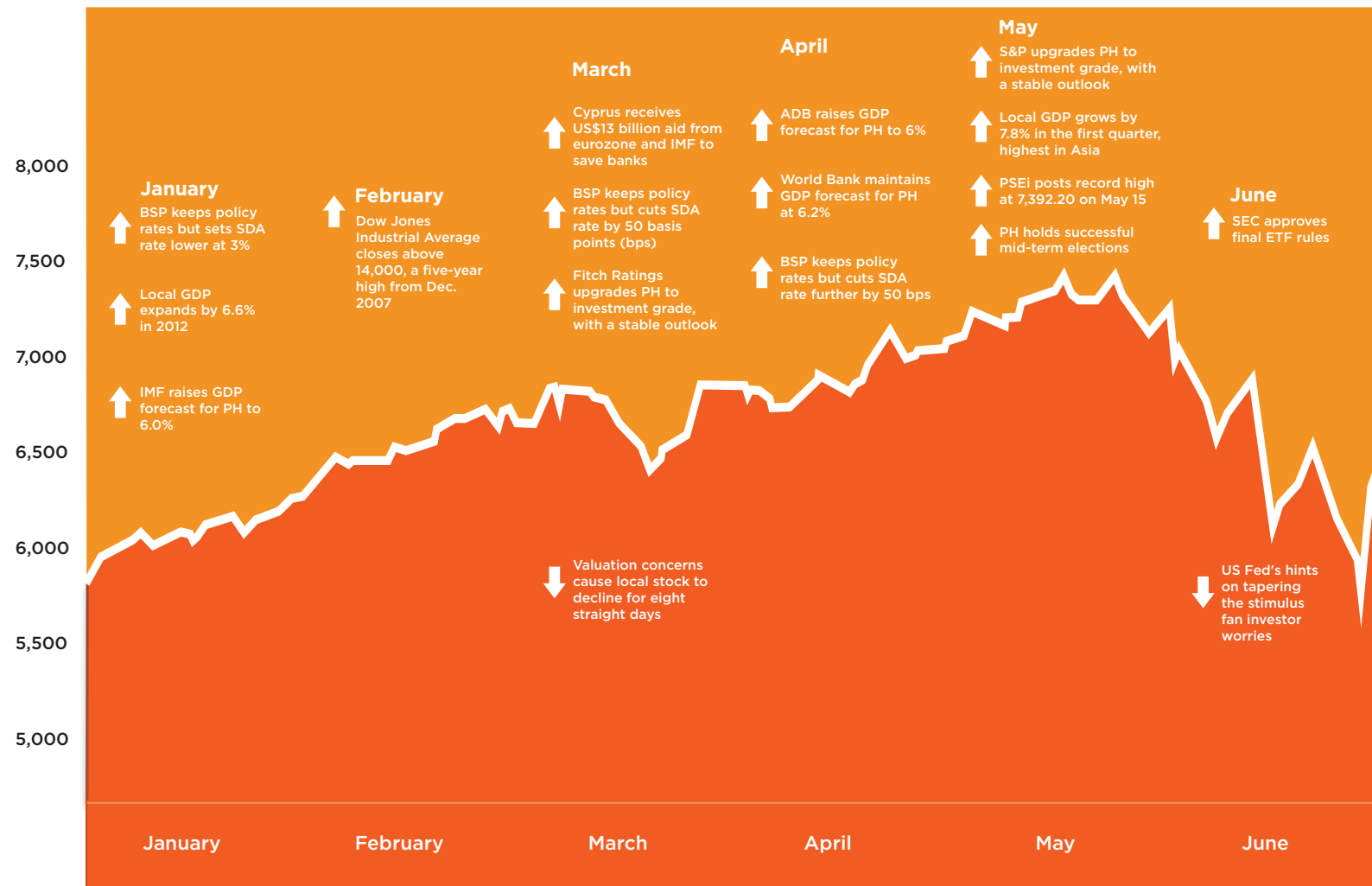
HANS B. SICAT
President and Chief Executive Officer



AN ECONOMY UPGRADED

Growing interest in the Philippine market

PSEi Performance



History unfolded in 2013 when our country attained for the first time investment grade status. This important milestone was brought about by sustained economic growth and the display of a healthy fiscal position. Against a backdrop of record low interest and inflation rates, it was only befitting that the three global ratings agencies conferred to us finally the status of being an investment grade economy.

The impressive economic landscape has provided a sound foundation once again for the stock market to pursue its upward trajectory. In 2013, the market soared to record levels to provide enough cushion at the end of the year against the volatilities in the US and other economies abroad.

Riding on the momentum of a stellar performance both by the stock market and the domestic economy in the preceding year, the benchmark index continued its run en route to a new record high in 2013. The PSEi hit uncharted territory 31 times before reaching its highest mark of 7,392.20 points on May 15. Even as the surge was derailed in months thereafter, the index managed to remain in positive territory on an annual basis as it closed 1.3 percent or 77.10 points higher at 5,889.83 points. Despite the meager improvement, the year 2013 was still a triumphant one for the stock market as it marked the fifth consecutive year that the PSEi ended in positive territory, to become one of only two indices globally to achieve the feat.

Robust macroeconomic fundamentals point to sustainable growth path

A string of positive news anchored the bullish momentum through the first five months of the year. For one, the local economy continued to enjoy robust expansion as evidenced by the 7.8 percent growth in the first quarter of 2013, the highest in the region. This gave credence to the ability of the country to achieve the growth goal set by the government and sustain growth north of 7.0 percent as demonstrated for the remainder of the year.

The remarkable progress attained was largely helped by election-related spending and ramped up roll-out of the public-private partnership projects. Household consumption also remained a primary growth driver on the back of an ever-growing inflow of cash remittances to the country. In 2013, total cash remitted by overseas Filipino workers aggregated US\$22.76 billion, up by 6.4 percent from US\$21.39 billion the previous year. Even with overseas remittances posting a new record each year, inflation remained in check.

While these growth drivers in recent years have remained steady performers, manufacturing and construction also helped push the economy by posting double digit growth rates. The expansion in these sectors is important given their impact on the goals towards inclusive growth.

Headline inflation rate averaged 3.0 percent, 20 basis points (bps) lower than the 3.2 percent in 2012. The benign inflation environment allowed the Monetary Board of the Bangko Sentral ng Pilipinas (BSP) to maintain its key policy rates in eight meetings in 2013. The overnight borrowing and lending rates were unchanged at their record lows of 3.5 percent and 5.5 percent, respectively. The Monetary Board instead chose to tweak the interest rate on the special deposit account (SDA) facility to allow funds to find their way through other longer-term investment channels. On March 14, the Monetary Board decided to reduce the SDA interest rate by 50 bps to 2.5 percent after setting it at 3.0 percent at the start of the year. The SDA interest rate was further reduced by 50 bps to 2.0 percent on April 25. The BSP also restricted the access of investment management accounts to the SDA facility starting January 1, 2014 as part of ongoing initiatives to fine tune monetary policy instruments.

The country's fiscal position was kept stable on account of judicious disbursements and increased revenue collection. In 2013, the National Government narrowed the fiscal gap by 32.4 percent to P164.06 billion from P242.83 billion in 2012. The improvement was largely due to the double-digit rise posted by revenues as opposed to expenditures, with the former growing at a higher rate of 11.8 percent than the latter's 10.6 percent.

figure: 01





An Economy Upgraded

Gross international reserves (GIR) remained healthy at US\$83.75 billion albeit slightly lower than the previous year's US\$83.83 billion. The 12-month import cover provided by the GIR provides a more than stable buffer for the country to absorb any shocks from a possible weakening of the peso as dollar-investments become more attractive from a valuation standpoint.

In September, results of the Global Competitiveness Report by the World Economic Forum ranked the Philippines at 59th, a six-place jump from its ranking in 2012. A month later, the country was named one of the most improved economies with its 30-spot leap to 108th in the Ease of Doing Business Survey of the World Bank.

But probably the greatest, if not coveted, commendation for the economic improvement was the investment grade status the country received from the three biggest global credit rating agencies. Fitch Ratings bestowed the rating on March 27, followed by Standard & Poor's (S&P) on May 2 and Moody's Investors Services (Moody's) on October 3. Both Fitch Ratings and S&P gave a stable outlook, while Moody's awarded a positive outlook to the rating. Even though these accolades gave incentive for the economy to be buoyant, however, the sail was not met without challenges.

Speed bumps: planned reduction in QE, super typhoon slow Philippines' advance

In late May, the US Federal Reserve (US Fed) dropped hints that it was ready to taper the US\$85 billion quantitative easing (QE) program once the US economy showed signs of recovery. The buzz surrounding the plan, yet to be finalized at that time, rocked stock markets worldwide, especially emerging markets like the Philippines, as it could trigger the repatriation of funds to the US. Concerns over the taper talk dragged on for the remainder of the year, even pulling down the PSEi to its lowest level in 2013 of 5,738.06 points on

August 28. Investor fears were confirmed come December, when the US Fed announced the reduction of US\$10 billion in the QE program effective January 2014.

The crisis in the Eurozone, likewise, continued to haunt the global economy to some extent. For instance, Cyprus was faced with a banking crisis due to solvency problems, while Greece almost defaulted on its debt due in August. In both situations, fellow Eurozone members and the International Monetary Fund stepped in to provide bailout deals in the amount of US\$13 billion for Cyprus and US\$8.7 billion for Greece. The deals, however, entailed the restructuring of Cypriot banks and the disposal of Greek state assets and a cut in public sector jobs.

Locally, a severe weather disturbance named Yolanda wreaked havoc in the country's Visayas region. The impact of the super typhoon dampened investor sentiment at the sight of the damage left by the super typhoon. For the fourth quarter, GDP growth decelerated to 6.5 percent as the agricultural, hunting, forestry and fishing sectors posted lower growth rates. The local economy nevertheless managed to end the year with a 7.2 percent expansion, the second highest in Asia.

These challenges took their toll on the performance of the equities market. In fact, only two of the six sector indices of The Philippine Stock Exchange (PSE) registered positive growth in 2013. These were the Services and Holding Firms indices which rose by 8.2 percent and 5.4 percent, respectively. The Mining & Oil index was the biggest loser and declined by 38.6 percent. This was followed by the Financials index, down by 6.4 percent; Property index, by 4.3 percent; and Industrial index, by 2.1 percent. The broader All Shares index, likewise, dropped by 2.3 percent to end at 3,614.32 points from the closing level of 3,698.98 points in 2012.

Foreign transactions, accounting for 51.1 percent share of total trades, still managed though to end up in net buying territory by yearend. Net foreign buying amounted to P15.59 billion, an 85.8 percent drop from the record P109.98 billion net foreign buying posted in the previous year.

Trades at the foreign exchange market were also lackluster, as evidenced by the weaker close of the peso. The local currency ended the year at P44.41 per US dollar, down by 7.8 percent or P3.22 from P41.19 in 2012.

Commodity prices were volatile throughout the year. At the New York Mercantile Exchange, crude oil closed the year at US\$98.42 per barrel, a 7.2 percent rise from the 2012 close of US\$91.82 per barrel. Crude oil prices shot up as high as US\$110.53 per barrel on September 6 but were still lower than the all-time record of US\$145.29 per barrel in July 2008. Meanwhile the price of gold traded at the US Commodity Exchange settled at US\$1,202.30 per ounce, down by 28.3 percent from the previous year's US\$1,675.80 per ounce close. The yellow metal's luster waned after peaking at US\$1,693.20 per ounce on January 22, suggesting that its attraction as a store of value or an inflation hedge had diminished.

Stock market weathers late setback en route to another record year

Reflecting the overall positive economic environment, business activity remained brisk among listed companies. At the stock exchange, listed companies raked in a combined net income of P412.57 billion during the January to September period, which was 7.7 percent more than the P382.98 billion net income posted in the same period in 2012.





Total market capitalization soared to another record level of P11.93 trillion, 9.2 percent more than the P10.93 trillion level registered a year ago. Domestic market capitalization, which excludes foreign companies Del Monte Pacific Limited, Manulife Financial Corporation and Sun Life Financial Inc., inched up by 2.4 percent to P9.65 trillion from P9.42 trillion. The Industrial sector accounted for the highest share of domestic market capitalization at 24.8 percent or P2.39 trillion.

Trading activity also remained robust with total value turnover expanding by 43.7 percent to a record P2.55 trillion from P1.77 trillion in 2012. Average daily value turnover likewise recorded a fresh high of P10.52 billion, up by 44.9 percent from P7.26 billion a year ago.

These positive developments augured well for the economy that multilateral institutions raised their growth forecast for the Philippines. The promising outlook was further solidified when the country earned the affirmation of various institutions.

The pace of capital raising activities picked up in the last quarter of the year, allowing the Exchange to welcome in its roster of listed companies 10 new ones – the most number since 2008. Moreover, the PSE welcomed the listing of First Metro Philippine Equity Exchange Traded Fund, Inc., the first exchange traded fund introduced in the market. Despite the absence of fund raising activity in the third quarter, capital raised managed to post its second highest yearly level of P175.07 billion, or just 20.1 percent off from the record P219.07 billion in 2012. Eight companies conducted initial public offerings (IPO) and raised a total of P60.98 billion, largely boosted by Robinsons Retail Holdings, Inc.'s P28.12 billion IPO, which was the biggest in the Exchange's history. Meanwhile, Del Monte Pacific Limited listed its shares by way of introduction, nearly 14 years after first listing at the Singapore Exchange in August 1999. Capital raised from private placement and stock rights offering meanwhile totaled P114.08 billion.

Select Economic Indicators

table: 02

	2012	2013
Gross Domestic Product (in %)	6.8	7.2
Gross National Income (in %)	6.5	7.5
Average Inflation Rate (in %)	3.2	3.0
Average 91-day T-Bill Rate (in %)	1.583	0.315
Overnight Borrowing Rate/Reverse Repurchase (in %)	3.5	3.5
Overnight Lending/Repurchase (in %)	5.5	5.5
Cash Remittances (in US\$ Bn)	21.39	22.97
Foreign Direct Investments (in US\$ Bn)	3.22	3.86
Foreign Portfolio Investments (in US\$ Bn)	3.91	4.22
Gross International Reserves (in US\$ Bn)	83.83	83.19
Total Trade (in US\$ Bn)	114.23	115.69
Merchandise Exports (in US\$ Bn)	52.10	53.98
Merchandise Imports (in US\$ Bn)	62.13	61.83
Balance of Trade (in US\$ Bn)	-10.03	-7.85
Average Peso to US Dollar Exchange Rate (in PhP)	42.23	42.45
Unemployment Rate (in %)	6.8	6.5

Sources:
Bangko Sentral ng Pilipinas
National Statistical Coordination Board
National Statistics Office



PSEi Recomposition

Results of Recomposition, 2013

As of March 11, 2013

table: 03

1	Aboitiz Equity Ventures, Inc.
2	Aboitiz Power Corporation
3	Alliance Global Group, Inc.
4	Ayala Corporation
5	Ayala Land, Inc.
6	Bank of the Philippine Islands
7	BDO Unibank, Inc.
8	Belle Corporation
9	Bloomberry Resorts Corporation
10	DMCI Holdings, Inc.
11	Energy Development Corporation
12	First Gen Corporation
13	Globe Telecom, Inc.
14	International Container Terminal Services, Inc.
15	JG Summit Holdings, Inc.
16	Jollibee Foods Corporation
17	Manila Electric Company
18	Manila Water Company, Inc.
19	Megaworld Corporation
20	Metro Pacific Investments Corporation
21	Metropolitan Bank & Trust Company
22	Petron Corporation
23	Philex Mining Corporation
24	Philippine Long Distance Telephone Company
25	Robinsons Land Corporation
26	San Miguel Corporation
27	Semirara Mining Corporation
28	SM Investments Corporation
29	SM Prime Holdings, Inc.
30	Universal Robina Corporation

As of September 16, 2013

table: 04

1	Aboitiz Equity Ventures, Inc.
2	Aboitiz Power Corporation
3	Alliance Global Group, Inc.
4	Ayala Corporation
5	Ayala Land, Inc.
6	Bank of the Philippine Islands
7	BDO Unibank, Inc.
8	Bloomberry Resorts Corporation
9	DMCI Holdings, Inc.
10	Energy Development Corporation
11	First Gen Corporation
12	Globe Telecom, Inc.
13	GT Capital Holdings, Inc.
14	International Container Terminal Services, Inc.
15	JG Summit Holdings, Inc.
16	Jollibee Foods Corporation
17	LT Group, Inc.
18	Manila Water Company, Inc.
19	Megaworld Corporation
20	Metro Pacific Investments Corporation
21	Metropolitan Bank & Trust Company
22	Petron Corporation
23	Philex Mining Corporation
24	Philippine Long Distance Telephone Company
25	Robinsons Land Corporation
26	San Miguel Corporation
27	Semirara Mining Corporation
28	SM Investments Corporation
29	SM Prime Holdings, Inc.
30	Universal Robina Corporation

Annual Growth Rate of Indices

figure: 02



▼ **-2.3%**
All Shares



▼ **-6.4%**
Financials



▼ **-2.1%**
Industrial



▲ **5.4%**
Holding Firms



▼ **-4.3%**
Property



▲ **8.2%**
Services



▼ **-38.6%**
Mining & Oil

Select PSE Market Indicators

figure: 03

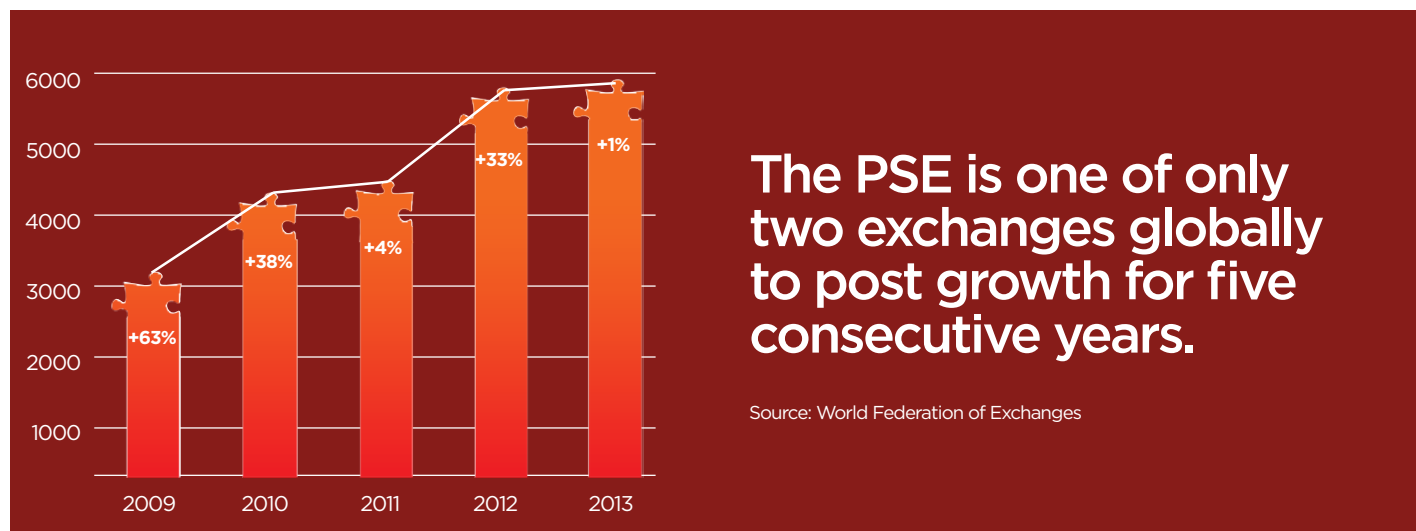


table: 05

MARKET INDICATOR	2009	2010	2011	2012	2013	2013 vs 2012 % change
PSE Index (PSEi), yearend close	3,052.68	4,201.14	4,371.96	5,812.73	5,889.83	↑ 1.33%
Total value traded (in billion Php)	994.15	1,207.38	1,422.59	1,771.71	2,546.18	↑ 43.71%
Average daily value traded (in billion Php)	4.11	4.95	5.71	7.26	10.52	↑ 44.90%
Foreign buying (in billion Php)	329.28	477.38	565.86	850.16	1,308.51	↑ 53.91%
Foreign selling (in billion Php)	314.37	441.76	509.35	740.18	1,292.93	↑ 74.68%
Net foreign buying/(selling) (in billion Php)	14.92	35.62	56.52	109.98	15.59	↓ -85.83%
Total foreign (in billion Php)	643.65	919.13	1,075.21	1,590.35	2,601.44	↑ 63.58%
Share of Foreign Trading to Total Trading	32.37%	38.06%	37.79%	44.88%	51.09%	↑ 13.82%
Capital Raised (in billion Php)	38.77	84.94	107.50	219.07	175.07	↓ -20.09%
Initial Public Offerings (in billion Php)	0.02	12.78	9.04	23.99	60.98	↑ 154.18%
Additional Listings (in billion Php)	38.75	72.16	98.46	195.08	114.08	↓ -41.52%
Market capitalization, yearend (in billion Php)	6,032.22	8,866.11	8,696.96	10,930.09	11,931.29	↑ 9.16%
Domestic firms (in billion Php)	3,995.07	6,892.21	7,238.99	9,416.31	9,645.22	↑ 2.43%
Foreign firms (in billion Php)	2,037.15	1,973.90	1,457.97	1,513.78	2,286.08	↑ 51.02%
No. of Listed Companies, yearend	248	253	253	254	257	↑ 1.18%
Domestic	246	251	251	252	254	↑ 0.79%
Foreign	2	2	2	2	3	↑ 50.00%
No. of Listed Issues, yearend	318	328	326	294	294	0.00%
Domestic	316	326	324	292	291	↓ -0.34%
Foreign	2	2	2	2	3	↑ 50.00%
Total Market						
Dividend Yield	3.52	2.64	2.91	2.33	2.36	↑ 1.04%
Price-Earnings Ratio	23.26	21.32	16.54	19.09	17.95	↓ -5.98%



2013 Top 25 Price Gainers (Common Issues)

table: 06

Rank	Issue	Close	2013 Close (in Php)	2012 Close (in Php)	% Change
1	Bankard, Inc.	BKD	1.95	0.70	178.57
2	8990 Holdings, Inc.	HOUSE	6.99	3.34	109.28
3	Chemical Industries of the Philippines	CIP	210.00	102.90	104.08
4	Pancake House, Inc.	PCKH	15.00	7.78	92.80
5	Araneta Properties, Inc.	ARA	1.46	0.81	80.25
6	Roxas Holdings, Inc.	ROX	5.31	2.95	80.00
7	Jollibee Foods Corporation	JFC	173.10	102.00	69.71
8	Mabuhay Holdings Corporation	MHC	0.59	0.35	68.57
9	Suntrust Home Developers, Inc.	SUN	0.89	0.54	64.81
10	LMG Chemicals Corporation	LMG	3.01	1.83	64.48
11	Imperial Resources, Inc. "B"	IMPB	54.00	33.00	63.64
12	Marcventures Holdings, Inc.	MARC	2.95	1.85	59.46
13	Makati Finance Corporation	MFIN	3.50	2.27	54.06
14	Alliance Global Group, Inc.	AGI	25.80	16.76	53.94
15	Manulife Financial Corporation	MFC	775.00	505.00	53.47
16	Globe Telecom, Inc.	GLO	1,640.00	1,092.00	50.18
17	Calapan Ventures, Inc.	H2O	6.52	4.39	48.52
18	MacroAsia Corporation	MAC	3.95	2.69	46.84
19	Cebu Holdings, Inc.	CHI	5.73	4.00	43.25
20	D&L Industries, Inc.	DNL	6.30	4.40	43.18
21	Emperador Inc.	EMP	10.70	7.51	42.48
22	AG Finance, Incorporated	AGF	3.10	2.20	40.91
23	Philippine Savings Bank	PSB	140.00	100.00	40.00
24	International Container Terminal Services, Inc.	ICT	102.00	74.00	37.84
25	Victorias Milling Company, Inc.	VMC	1.90	1.39	36.69



2013 Top 25 Companies by Value Traded (Regular Market)

table: 07

Rank	Company Name	Code	Value Traded (in Php)
1	SM Investments Corporation	SM	134,265,972,013
2	Philippine Long Distance Telephone Company	TEL	125,920,845,090
3	Alliance Global Group, Inc.	AGI	97,683,233,830
4	Metropolitan Bank & Trust Company	MBT	96,970,475,848
5	Ayala Land, Inc.	ALI	87,724,137,655
6	Ayala Corporation	AC	85,040,587,475
7	BDO Unibank, Inc.	BDO	81,456,539,216
8	SM Prime Holdings, Inc.	SMPH	72,023,065,812
9	Universal Robina Corporation	URC	71,357,424,194
10	Megaworld Corporation	MEG	57,509,230,970
11	Metro Pacific Investments Corporation	MPI	55,127,488,820
12	San Miguel Corporation	SMC	47,509,115,882
13	Manila Electric Company	MER	47,363,134,710
14	GT Capital Holdings, Inc.	GTCAP	44,672,920,745
15	LT Group, Inc.	LTG	43,372,006,493
16	Puregold Price Club, Inc.	PGOLD	42,860,921,145
17	Bank of the Philippine Islands	BPI	41,611,876,029
18	International Container Terminal Services, Inc.	ICT	37,477,496,831
19	Security Bank Corporation	SECB	34,075,920,329
20	JG Summit Holdings, Inc.	JGS	30,293,957,880
21	Bloomerry Resorts Corporation	BLOOM	30,073,745,315
22	Energy Development Corporation	EDC	29,650,327,401
23	Globe Telecom, Inc.	GLO	28,563,413,245
24	Jollibee Foods Corporation	JFC	25,852,769,677
25	Aboitiz Power Corporation	AP	23,491,140,605



2013 Top 25 Companies by Trading Frequency (Regular Market)

table: 08

Rank	Company Name	Code	Number of Trades
1	BDO Unibank, Inc.	BDO	295,205
2	Metropolitan Bank & Trust Company	MBT	287,791
3	Megaworld Corporation	MEG	254,484
4	SM Prime Holdings, Inc.	SMPH	251,576
5	Alliance Global Group, Inc.	AGI	233,573
6	Ayala Land, Inc.	ALI	216,292
7	Metro Pacific Investments Corporation	MPI	210,307
8	Manila Electric Company	MER	188,358
9	D&L Industries, Inc.	DNL	180,616
10	SM Investments Corporation	SM	175,789
11	Philippine Long Distance Telephone Company	TEL	154,658
12	Bloomerry Resorts Corporation	BLOOM	153,200
13	Universal Robina Corporation	URC	147,565
14	Puregold Price Club, Inc.	PGOLD	146,690
15	Ayala Corporation	AC	145,093
16	Bank of the Philippine Islands	BPI	138,147
17	Energy Development Corporation	EDC	130,326
18	LT Group, Inc.	LTG	119,071
19	Jollibee Foods Corporation	JFC	115,720
20	San Miguel Corporation	SMC	112,319
21	Cosco Capital, Inc.	COSCO	101,176
22	Trans-Asia Oil and Energy Development Corporation	TA	99,104
23	First Philippine Holdings Corporation	FPH	93,266
24	Manila Water Company, Inc.	MWC	90,145
25	Century Properties Group Inc.	CPG	89,200



2013 Top 25 Companies by Market Capitalization (Common Shares)

table: 09

Rank	Company Name	Code	Market Capitalization (in Php)
1	Manulife Financial Corporation	MFC	1,428,805,776,675.00
2	Sun Life Financial Inc.	SLF	827,838,960,480.00
3	Philippine Long Distance Telephone Company	TEL	576,004,696,150.00
4	SM Investments Corporation	SM	566,149,582,548.00
5	SM Prime Holdings, Inc.	SMPH	408,361,692,147.48
6	Ayala Land, Inc.	ALI	350,788,843,622.25
7	Ayala Corporation	AC	310,501,407,706.00
8	Bank of the Philippine Islands	BPI	302,290,274,705.00
9	Aboitiz Equity Ventures, Inc.	AEV	301,218,107,835.55
10	Manila Electric Company	MER	282,901,774,955.00
11	JG Summit Holdings, Inc.	JGS	270,512,738,377.35
12	Alliance Global Group, Inc.	AGI	264,961,561,858.20
13	Aboitiz Power Corporation	AP	250,192,546,438.00
14	Universal Robina Corporation	URC	246,727,868,622.30
15	BDO Unibank, Inc.	BDO	245,648,047,500.80
16	Globe Telecom, Inc.	GLO	217,435,833,000.00
17	International Container Terminal Services, Inc.	ICT	207,460,386,720.00
18	Metropolitan Bank & Trust Company	MBT	207,369,720,536.30
19	Jollibee Foods Corporation	JFC	182,162,492,113.50
20	LT Group, Inc.	LTG	167,082,244,446.16
21	Travellers International Hotel Group, Inc.	RWM	164,153,225,014.00
22	Emperador Inc.	EMP	160,500,000,000.00
23	DMCI Holdings, Inc.	DMC	148,707,664,000.00
24	San Miguel Corporation	SMC	148,561,500,625.00
25	PAL Holdings, Inc.	PAL	148,522,342,334.08



Total Market Capitalization and Trading Value by Sector

(in billion Php)

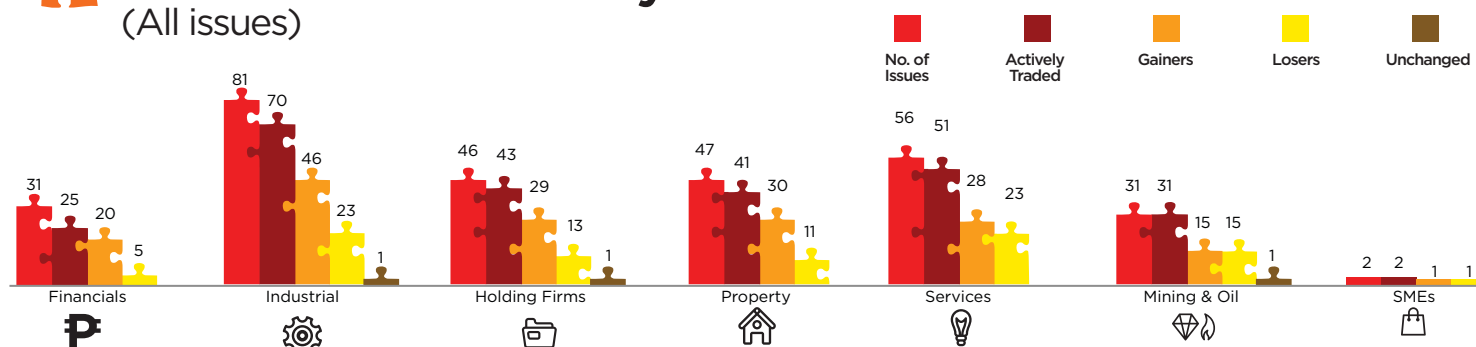
table: 10

	Market Capitalization					Value Traded				
	2011	2012	2013	% Change	% Share	2011	2012	2013	% Change	% Share
Financials Sector	2,328.38	2,892.28	1,406.40	-51.4%	14.6%	170.15	282.98	342.31	21.0%	13.4%
Banks	803.47	1,300.41	1,337.81	2.9%	13.9%	162.80	273.72	332.40	21.4%	13.1%
Other Financial Institutions	1,524.92	1,591.87	69.29	-95.6%	0.7%	7.35	9.26	9.91	7.1%	0.4%
Industrial Sector	2,458.48	2,695.09	2,392.35	-11.2%	24.8%	374.09	419.11	684.09	63.2%	26.9%
Electricity, Energy, Power & Water	908.84	1,059.12	959.69	-9.4%	9.9%	226.51	196.72	280.59	42.6%	11.0%
Food, Beverage & Tobacco	1,317.05	1,334.57	1,132.56	-15.1%	11.7%	137.57	171.63	325.90	89.9%	12.8%
Construction, Infrastructure & Allied Services	134.28	221.46	201.83	-8.9%	2.1%	7.20	24.30	33.28	36.9%	1.3%
Chemicals	12.52	19.47	75.65	288.5%	0.8%	1.07	3.27	41.24	1162.5%	1.6%
Electrical Components & Equipment	-	18.75	19.51		0.2%		2.06	2.87		0.1%
Other Industrials	85.78	41.71	3.11	-92.5%	0.0%	1.74	21.14	0.21	-99.0%	0.0%
Holding Firms Sector	1,364.04	2,110.73	2,325.10	10.2%	24.1%	288.73	400.48	605.71	51.2%	23.8%
Property Sector	815.94	1,262.37	1,312.29	4.0%	13.6%	150.23	244.18	409.15	67.6%	16.1%
Services Sector	1,222.50	1,430.35	1,892.78	32.3%	19.6%	235.89	287.07	442.78	54.2%	17.4%
Media	47.93	60.28	58.84	-2.4%	0.6%	1.94	17.59	17.30	-1.7%	0.7%
Telecommunications	767.50	695.36	797.05	14.6%	8.3%	132.10	136.61	163.16	19.4%	6.4%
Information Technology	35.80	30.38	22.59	-25.6%	0.2%	16.05	14.85	31.55	112.5%	1.2%
Transportation Services	245.30	235.16	416.87	77.3%	4.3%	56.14	39.85	54.98	38.0%	2.2%
Hotel & Leisure	18.37	5.14	6.98	35.7%	0.1%	15.39	7.33	4.51	-38.5%	0.2%
Education	20.42	26.23	34.52	31.6%	0.4%	0.39	0.62	1.09	76.6%	0.0%
Casinos & Gaming	-	185.45	301.68		3.1%	-	22.70	64.57		2.5%
Retail	-	129.40	227.68		2.4%	-	25.16	102.38		4.0%
Other Services	87.17	62.95	26.76	-57.5%	0.3%	13.88	22.36	3.25	-85.4%	0.1%
Mining & Oil Sector	506.90	538.68	315.42	-41.4%	3.3%	203.49	137.88	62.01	-55.0%	2.4%
Mining	417.77	371.16	289.95	-21.9%	3.0%	199.02	118.94	56.94	-52.1%	2.2%
Oil	89.13	167.52	25.47	-84.8%	0.3%	4.47	18.94	5.07	-73.2%	0.2%
SME	0.71	0.59	0.87	48.5%	0.0%	0.005	0.01	0.01	-10.4%	0.0%
ETF			0.75		0.0%			0.12		0.0%
Total Market	8,696.96	10,930.09	9,645.22	-11.8%	100.0%	1,422.59	1,771.71	2,546.18	43.7%	100.0%



2013 Market Activity (All issues)

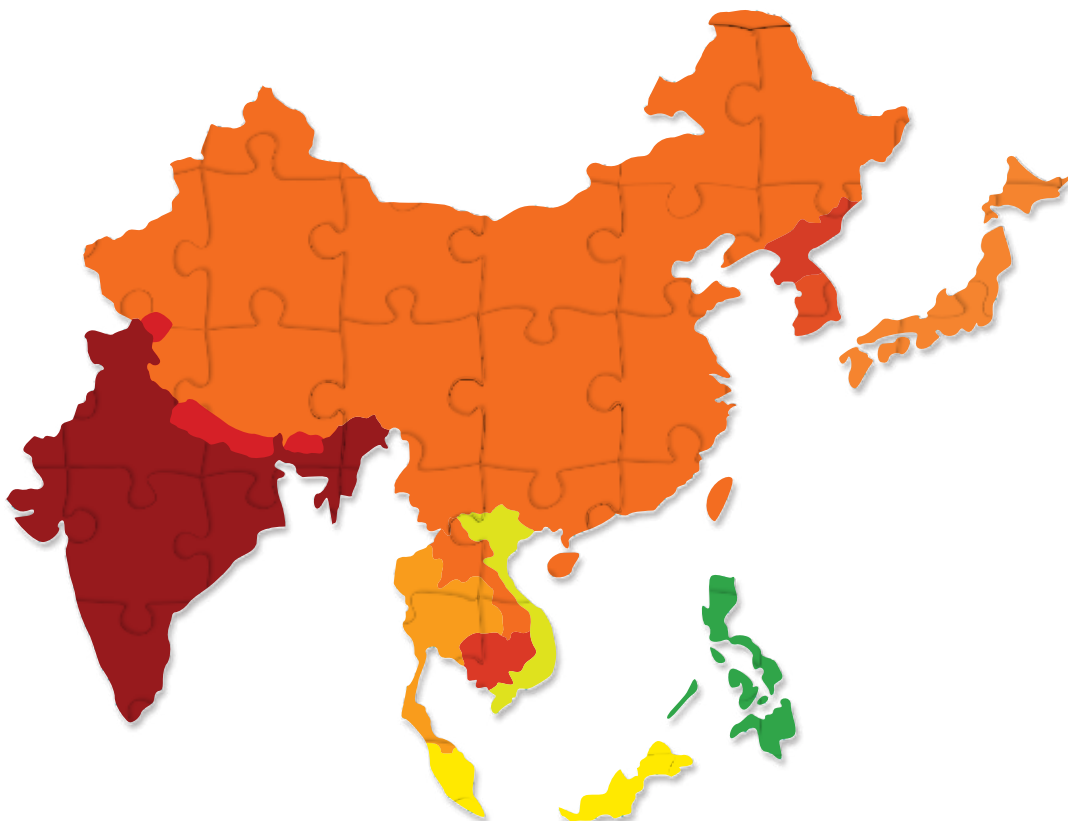
figure: 04



PSEi vs Select Asian Indices

table: 11

Rank	Country	Index	2012	2013	Y-o-Y Change
1	Japan	Nikkei 225	10,395.18	16,291.31	56.7%
2	Japan	Topix Index	859.80	1,302.29	51.5%
3	Vietnam	VN Index	413.73	504.63	22.0%
4	China	China SE Shenzhen Composite index	881.17	1,057.67	20.0%
5	Taiwan	Taiwan TaieX Index	7,699.50	8,611.51	11.8%
6	Malaysia	Kuala Lumpur Composite Index	1,688.95	1,866.96	10.5%
7	India	BSE Sensex	19,426.71	21,170.68	9.0%
8	India	NSE Nifty	5,905.10	6,304.00	6.8%
9	Hong Kong	Hang Seng Index	22,656.92	23,306.39	2.9%
10	Philippines	PSEi	5,812.73	5,889.83	1.3%
11	South Korea	KOSPI Index	1,997.05	2,011.34	0.7%
12	Singapore	Straits Times Index	3,167.08	3,167.43	0.0%
13	Indonesia	Jakarta Composite Index	4,316.69	4,274.18	-1.0%
14	Thailand	SET Index	1,391.93	1,298.71	-6.7%
15	China	China SE Shanghai Composite Index	2,269.13	2,115.98	-6.7%
*	USA	Dow Jones Industrial Average	13,104.14	16,576.66	26.5%





DEFINED DIRECTION

Developing the New PSE Strategy

2013-2015 PSE Strategic Plan

The PSE rolled out its new medium-term strategic plan that will guide the company towards its vision of becoming a premiere stock exchange adopting global best practices and world class standards. The new plan is a product of market-wide consultations that were conducted by the company to help ensure that the needs of the market are integrated in the plans of the Exchange to help enhance not only the company but the stock market as a whole.

Under the new plan, the Exchange is focusing its efforts and resources in coming up with more products and services that will make the Philippine market more competitive with its peers and attract more investors both retail and institutional. This focus on the development of new products and services has been identified as the key to unlocking the market's abundant potential. To support this plan, the Exchange is undertaking initiatives focused on three major areas – technical expertise, market framework and technology structure – to improve critical elements of the business. Simultaneously, the Exchange will also continue to strengthen its operational efficiency and improve the organization's ability to adapt to fast-changing market dynamics.

Focus on New Products and Services

The Exchange is intent on launching more products and services to expand the product suite at the stock market and provide easier access for investors to the market, including the new product offerings. The main product lines that are expected to be rolled out in the next three years include exchange-traded funds, short selling, enhanced securities borrowing and lending, and real estate investment trusts, among others. Work will also be done in preparing the environment for the eventual introduction of index options and futures.

To provide easier access to trading and information, the Exchange shall also be providing technology for brokers to offer online trading services to their clients, as well as improving access to disclosure information through a new disclosure reporting system. In addition, the Exchange shall be developing its capability to provide depository services to improve efficiencies in the whole trading process as well as to enhance the market's overall risk management framework.

To support this renewed focus, the Exchange is banking on initiatives centered on three major areas to improve critical elements of the business:

- *Improve technical expertise* – Behind every successful company are people committed to the corporation's goals and capable of efficiently executing and implementing plans. This is why the Exchange finds it necessary to raise the overall knowledge and understanding of its employees about best practices in other exchanges, particularly on product development. The unique business of operating an exchange also requires specific skills that may only be gained through extensive training and experience in more developed exchanges or similar companies that have built the expertise over time.
- *Strengthen market framework* – An enabling legal and regulatory environment is paramount to the success of a vibrant market. Having a proper and well-thought out framework for investment products also enables the market to adapt quickly to frequent developments in the industry, and provides market participants the flexibility to similarly adjust to these changes. The Exchange is aware of the importance of being able to operate in a highly adaptable setting, and thus wants to show its full commitment to working closely with various regulators, government agencies, and market players to create this ideal environment.

- *Improve technology structure* – The significant evolution of technologies has empowered stock exchanges and investment companies to aggressively innovate and come up with products and IT solutions to make investing as easy and efficient as possible. But while the pace of technology-driven development has substantially quickened, this has also provided an opportunity for smaller firms to catch up through the use of new technology systems. By maximizing the opportunities provided by technology to fast-track product development, the Exchange believes it can make major strides towards increasing its competitiveness and allow the company to catch up faster with peer exchanges in the region.

Sustained Awareness and Education

Awareness on the new products and services is as critical as launching the products themselves. With this in mind, an important element of the strategy is to increase market awareness about the products of the Exchange to ensure that more investors are able to take advantage of the benefits these provide.

Part of the strategic plan is increasing the use of digital media in reaching out to more investors for market education and awareness activities. The Exchange is rolling out a comprehensive digital marketing plan using social media on the one hand, and developing helpful content on the other.

The PSE shall likewise be enhancing its lineup of educational seminars to include events that are focused on helping Filipinos understand the Exchange's new products and services, and how they can take advantage of these. Improvements shall include specific classes on updating investors about the latest Exchange developments and familiarizing them with pertinent details on how the new products work.

New Ways of Doing Things

Another critical component of the new strategic plan is to ensure that the human resource complement is capable of supporting the development of these new products. To achieve this, a deliberate and focused training program shall be undertaken hand-in-hand with the main projects of the PSE.

The organizational structure was also realigned in order to meet the targets and cope with the demands of the new plan. Under the revised framework, sponsors and teams have been defined to ensure that the roll-out of the projects is done on time and in line with the requirements of the market.

A Strategy Committee was also established to monitor all activities under the strategic plan and to provide intervention whenever there are any bottlenecks or problems that are being encountered by the teams.

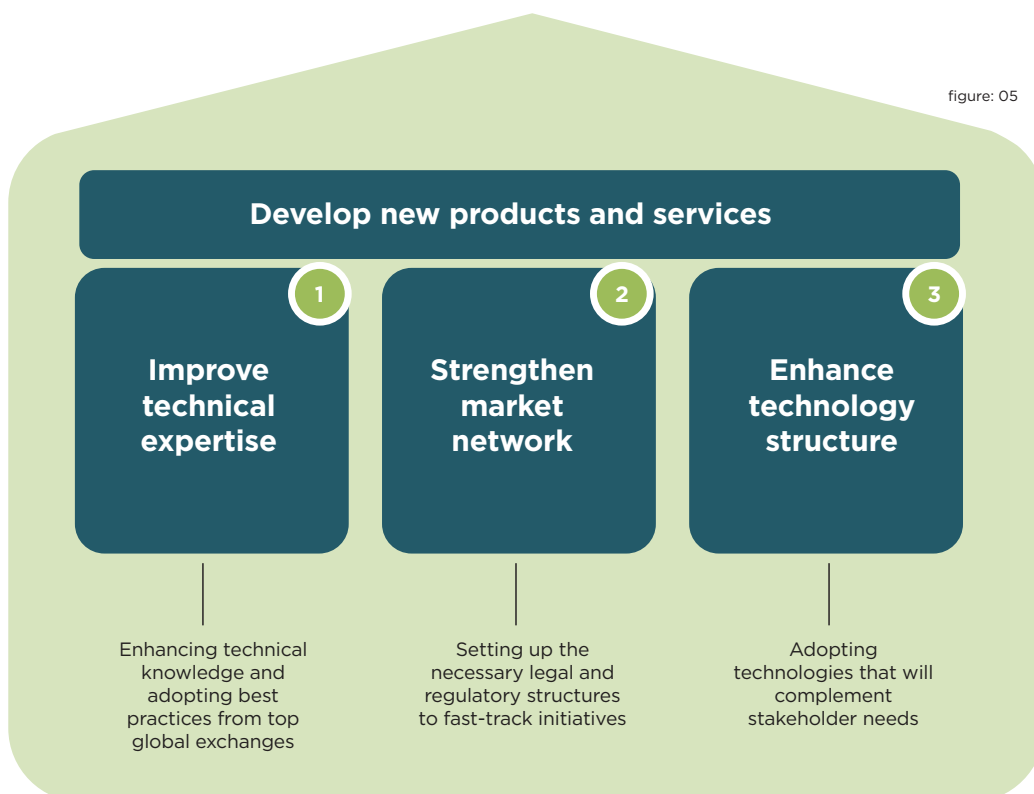
The Exchange shall also build channels to allow for a more fluid exchange of information and experience among its neighboring exchanges. Aside from the already established relationships with exchanges in ASEAN, the PSE shall expand its reach to bourses in other regions and establish collaborative activities that will hasten knowledge transfers while also broadening exposure to foreign markets.

After a rousing start for the company in terms of delivering on the key products and services on target in 2013, the PSE will continue to develop essential products such as securities borrowing and lending and short selling.

The Exchange will also pursue preparations for the launch of the Personal Equity and Retirement Account product, and setting the legislative and regulatory framework for a local derivatives market.

A World-Class PSE

figure: 05





MORE PRODUCT & SERVICE OFFERINGS



Giving more options for investors to access the market

As the growth of the market followed the overall growth path of the economy, the Exchange recognizes that in order to sustain this upward momentum of the market, we need to introduce more products and services that will help attract more investors to participate in our stock market.

Exchange Traded Fund

Among the significant achievements of the PSE for the year was the launch of Exchange Traded Funds (ETFs), the first product launching of the Exchange in over a decade. With ETFs now available in the country, we can participate in and benefit from the fastest growing asset class in the world.

The cooperation and participation of various stakeholders in developing this product served as the primary catalyst for the successful launching of ETFs in 2013. In the first quarter, the SEC gave partial approval to the Exchange's rules on ETFs while the rest of the guidelines, particularly the rules governing market makers, were approved midyear.

Upon receiving the go-signal from the SEC, the PSE embarked on a market education campaign to inform market participants about the advantages of ETFs and how they are traded.

The PSE, following its application with the SEC, was then authorized to train registered brokers and market makers so they can trade ETFs as provided by the rules.



Listing of the country's first ETF, First Metro Philippine Equity Exchange Traded Fund, Inc. at the PSE on December 2

Between August and November, the PSE completed a total of eight training sessions on ETFs, including one in Cebu, for over 600 brokers. The PSE also conducted weekly seminars for brokers who wanted to learn more about ETFs.

Aside from these learning sessions with brokers, the Exchange also conducted seminars for retail and institutional investors and fund associations in key cities in the Visayas and Mindanao. Officials of the Exchange also went on a media campaign with guestings in various TV and radio shows to discuss the benefits of investing in ETFs.

The PSE also introduced an incentive for market makers and waived the transaction fees to help promote ETF trades.

All these activities eventually paved the way for the first ETF, the First Metro Philippine Equity Exchange Traded Fund, Inc. (FMETF), to be listed at the Exchange on December 2. The authorized capitalization of FMETF amounted to P3 billion with an initial P750 million listed and eligible for trading at the PSE on day one. The FMETF entered into an agreement with the PSE as their ETF tracked the main bellweather, the PSEi.

PSETradex

In June 2012, the PSE selected through a global bidding process, N2N Berhad of Malaysia to be the provider of the online trading system to allow more brokers the capability to provide online trading services.

In April 2013, the PSE successfully launched its online service bureau branded as PSETradex. PSETradex is an economical yet efficient system that can be used by brokers who want to expand their services to online trading. The PSE introduced two platforms for PSETradex. The PSETradex Explore caters to retail investors that require basic information and trade data while PSETradex Expert provides more sophisticated tools for analysis that can be useful for advanced investors.



On October 7, BA Securities became the first PSETradex-powered broker. Subsequently, Coherco Securities launched their online services on October 21.

PSE EDGE

The PSE Electronic Disclosure Generation Technology or PSE EDGE is a fully automated system using advanced technologies to facilitate the efficient processing, validation, submission, distribution, and analysis of time-sensitive disclosure reports submitted to the Exchange. The new disclosure system acquired from the Korea Exchange (KRX) to replace the PSE Online Disclosure System (ODiSy) is equipped with a variety of features. It standardizes the disclosure reporting process of PSE's listed companies, improves investors' disclosure searching and viewing experience, and enhances overall issuer transparency in the market.

Some of the notable features of PSE EDGE include:

- Flexible disclosure formats - PSE EDGE enables the standardization and scalability of information contained in each listed company disclosure. Reports can also be downloaded in PDF format.
- Improved disclosure management - PSE EDGE makes the disclosure process more efficient without sacrificing the accuracy and timeliness of disclosure reports. The coordination between listed companies and the Exchange is seamlessly facilitated by an advanced yet user-friendly interface.
- Comprehensive distribution system - PSE EDGE offers multiple channels to disseminate disclosures to investors, data providers, the media, and other stakeholders. EDGE also leverages on the strength of social media by allowing company disclosures to be shared via his/her Facebook and Twitter accounts.
- Powerful search tool - Finding required information on listed companies is faster and easier using PSE EDGE's advanced search engine.
- Advanced information security - Having a secure system to protect listed company data is an important component of this system. PSE EDGE addresses this by possessing the latest certification and encryption modules to ensure that information is firmly secured.

The PSE EDGE adopts best practices for listed company disclosure. Under the new system, pertinent information contained in financial reports and other required disclosures relating to material corporate actions and transactions, such as dividend declarations and rights offerings, will also be submitted in an electronic format that can be transmitted directly to analysts and data providers via their respective systems.

The PSE EDGE makes use of electronic templates so that disclosure information can be easily integrated real-time, in various systems such as the PSE website and trading terminals, and the systems of data vendors and analysts.

Alongside the implementation of PSE EDGE is also a mobile platform where company disclosures can be accessed in a dedicated website or by downloading a mobile application compatible with different operating systems. The mobile application will give investors easier access to disclosures of listed companies.

In preparation for the roll-out of the new system, the PSE organized hands-on training sessions to introduce the PSE EDGE to Corporate Information Officers of listed companies and representatives of Trading Participants. The PSE EDGE went live on December 27.

Index Futures

On March 12, the PSE and the Singapore Exchange (SGX) inked a Memorandum of Agreement for the development of Philippine equity-linked derivatives products. As part of this Agreement, both exchanges agreed to explore listing the first Philippine index futures in Singapore and eventually, listing a similar equity-based futures product at the PSE.

For the PSE, the launching of the first Philippine equity index futures in Singapore provided meaningful insights and experience in preparation for the launching of its own derivatives products. The PSE management also attended relevant trainings held in Singapore and Korea for this purpose.

After conducting market consultations, SGX finally got the approval from their regulators to launch the SGX PSE MSCI Philippines Index futures, which was listed at the SGX later in November 2013.



A dedicated website for disclosures of listed companies



More Product & Service Offerings

To celebrate this milestone, the PSE and SGX formally launched the Index Futures at the Futures Industry Association (FIA) Asia Conference at the St. Regis Hotel in Singapore. The FIA Asia Conference was attended by more than 500 senior delegates from more than 20 countries. The PSE and SGX hosted networking sessions at the conference venue to provide investors and fund managers an opportunity to learn more about the Philippine market.

Shariah List

Through the headship of the National Commission on Muslim Filipinos, a Shariah technical working group was formed composed of capital market participants, regulators and the academe, to incorporate Islamic finance into mainstream Philippine business. Shariah is the moral law that governs the conduct of Islam followers, including conduct in investing.

On December 16, the PSE welcomed Islamic finance through the classification of its listed securities that are Shariah compliant. The PSE adopted the Shariah screening methodology stipulated by the globally-recognized and independent Accounting and Auditing Organization for Islamic Finance Institutions (AAOIFI). The PSE further engaged international Islamic finance expert, IdealRatings Inc., to screen its securities according to AAOIFI standards.

Shariah-compliant equity securities are those that comply with the Shariah doctrines. The screening process generally involves two steps, namely:

1. Business screening – identifying companies engaged in impermissible or unlawful lines of business, products or activities that are not Shariah-compliant, such as pork, alcohol, tobacco, gambling, entertainment, conventional interest based lending, financial institutions, etc.; and
2. Financial ratio screening – identifying companies that comply with financial ratios considering conventional interest and accounts receivables.

Screening companies for Shariah-compliance not only opens up such companies to a new Muslim-Filipinos investor base, but also to over US\$1.50 trillion in global Islamic funds.

The first list of Shariah compliant stocks included 47 companies. On a quarterly basis, the Exchange releases the updated list of Shariah compliant securities.

Securities Borrowing and Lending

The PSE embarked on an aggressive campaign to increase the supply of securities available for lending, as part of the PSE's Securities Borrowing and Lending (SBL) Program. In particular, institutions were encouraged to join and provide the much-needed supply as only broker bilateral agreements were so far in place.

The market has yet to experience the full vibrancy offered by SBL given the limited supply. With the launch of ETFs and the expected introduction of short selling in the market, the PSE realizes the need for increased access to SBL. Based on the experiences of exchanges in neighboring countries, the SBL facility improved liquidity when institutional investors started to join the program.

The PSE began active discussions with government pension funds, asset managers, trust departments of banks, mutual benefit associations and insurance companies, to consider maximizing their earnings potential from securities in long positions through the SBL program. Representations with relevant regulators were further made to facilitate processing of SBL interest.

All these initiatives proved instrumental as the PSE is now pleased to note the participation of the institutional sector in its SBL program. It is also working with the Insurance Commission to draft the needed guidelines that will pave the way for insurance companies to enter the SBL program of the PSE.

Short Selling Guidelines

Together with promoting the SBL program, the PSE came up with guidelines for the interpretation of the provisions of the Revised Trading Rules on short selling transactions. The PSE Short Selling Guidelines were submitted to the SEC and were later posted on the PSE website for public comments. Among the salient provisions of the guidelines are the criteria for selection of securities eligible for short selling transactions, compliance with the uptick rule, reportorial requirements from the trading participants on short selling interest, and thresholds to prevent a security from excessive short selling.

Personal Equity and Retirement Account

The PSE and Trust Officers Association of the Philippines (TOAP) entered into a partnership on September 12, to collaborate in pushing for the implementation of the Personal Equity and Retirement Account (PERA). The partnership had its first major activity last October 16 and 17 by conducting a two-day seminar organized to help prospective PERA administrators, investment managers and product providers understand the nuances of PERA.

Foreign Market Report

The PSE has successfully updated the Foreign Market Report being released to trading participants, investors and the general public. The new Foreign Market Report features a more comprehensive array of data to include not only foreign financial markets, currencies and commodities but also regional indices and ETFs presented in a user-friendly format for ease of reference for the users.



PSE President and CEO Hans B. Sicat, National Commission on Muslim Filipinos Secretary Mehol Sadain and IdealRatings Incorporated Asia Pacific Regional Director Ariff Sultan giving a briefing on the PSE Shariah program

New Listings in 2013

table: 12

Note: Proceeds include over-allotment

PBB	
Philippine Business Bank	
Proceeds:	P3,192,002,100.00
Type of Offering:	IPO
Listing Date:	19-Feb-13

AUB	
Asia United Bank Corporation	
Proceeds:	P7,936,334,200.00
Type of Offering:	IPO
Listing Date:	17-May-13

DMPL	
Del Monte Pacific Limited	
Proceeds:	-
Type of Offering:	Listing by Intro
Listing Date:	10-Jun-13

AGF	
AG Finance, Incorporated	
Proceeds:	P148,401,320.00
Type of Offering:	IPO
Listing Date:	13-Aug-13

TUGS	
Harbor Star Shipping Services, Inc.	
Proceeds:	P341,408,000.00
Type of Offering:	IPO
Listing Date:	30-Oct-13

RWM	
Travellers International Hotel Group, Inc.	
Proceeds:	P20,407,839,168.00
Type of Offering:	IPO
Listing Date:	05-Nov-13

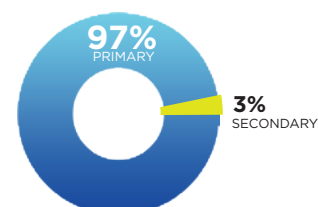
RRHI	
Robinsons Retail Holdings, Inc.	
Proceeds:	P28,115,500,000.00
Type of Offering:	IPO
Listing Date:	11-Nov-13

DWC	
Discovery World Corporation	
Proceeds:	P551,040,000.00
Type of Offering:	IPO
Listing Date:	21-Nov-13

CIC	
Concepcion Industrial Corporation	
Proceeds:	
Primary:	P292,344,000.00
Secondary:	P1,949,090,000.00
Type of Offering:	IPO
Listing Date:	27-Nov-13

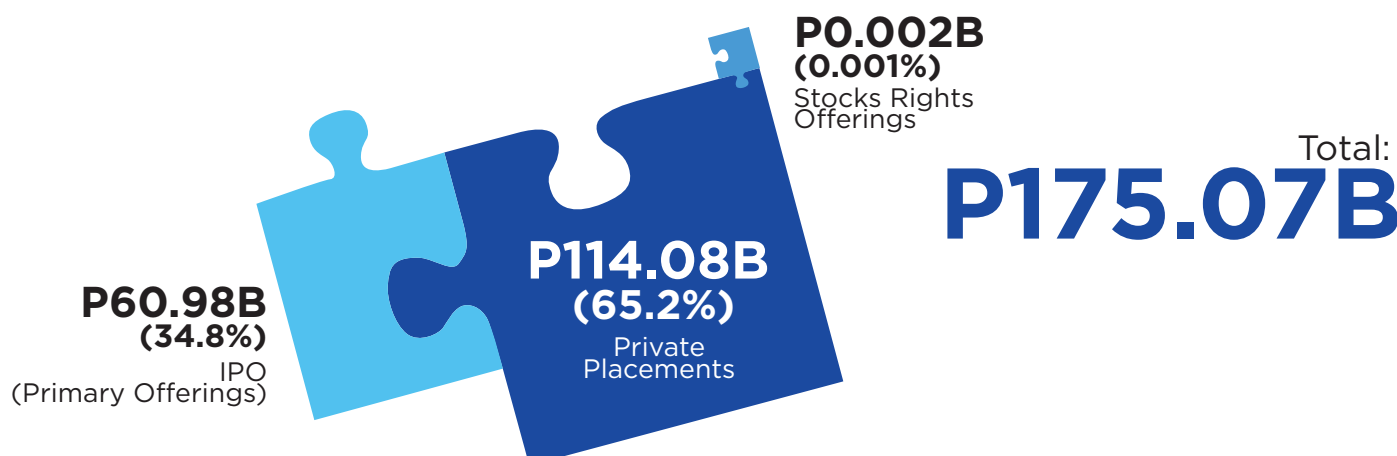
FMETF	
First Metro Philippine Equity Exchange Traded Fund, Inc.	
Proceeds:	-
Type of Offering:	Shelf Listing
Listing Date:	2-Dec-13
<i>The 1st Exchange Traded Fund in the Philippines</i>	

TOTAL INITIAL PUBLIC OFFERING PROCEEDS	P60.9B
PRIMARY SHARES	
TOTAL INITIAL PUBLIC OFFERING PROCEEDS	P1.95B
SECONDARY SHARES	



Summary of 2013 Capital Raising Activities

figure: 06





RESPONSIVE RULES & INFRASTRUCTURE



Creating an environment that will support future growth

Adopting best practices and making rules attuned to the needs and demands of the times help set up the environment to sustain the growth of an expanding market in a growing economy.

New Rules for Listing under the Main Board and Small, Medium and Emerging (SME) Companies Board

The Exchange amended its listing board rules in line with its thrust to ensure the suitability of companies applying for listing and simplify the procedures for companies applying for listing. The amendments consist of two parts: (1) the consolidation of the First and Second Boards into a new listing board called the Main Board; and (2) the revision of the SME Board to now target Small, Medium and Emerging companies.

The consolidation of the listing boards is aligned with international best practices on dual-trading boards of bourses in the region. It also provides a clearer classification of listed stocks that will help investors evaluate business prospects of companies belonging to these listing boards.

The SEC approved these new rules on May 20 which were made effective starting June 6.

Under the new rules, companies that list on the Main Board must have an authorized capital stock of at least P500 million, and at least three years of operating history. These companies are required to have cumulative earnings before interest income tax, depreciation and amortization (EBITDA) of at least P50 million for the last three years prior to listing. They must also have positive stockholders' equity for the immediately preceding fiscal year.

Previously, companies that want to list via the first and second boards should have an authorized capital stock of P400 million and P100 million, respectively. The first board required at least a three-year track record of profitable operations, while the second board required at least a one-year operating history prior to the listing application.

The new rules transformed the current SME Board to represent emerging companies. The new SME board now stands for small, medium and emerging companies listed on the Exchange.

The Exchange believes that the new criteria in the SME Board will achieve the objective of striking a balance between the Exchange's role as a venue for capital-raising even for smaller-sized companies and the need of investors to have access to companies that have the track record to back their growth prospects.

In the old SME Board rules, companies that listed on the SME Board were required to have at least P20 million in authorized capital stock. SME companies were also subjected to just a one-year operating history prior to their application for listing. Under the new rules, SME companies must have an authorized capital stock of P100 million and at least three years of operating history.

To accommodate more viable emerging companies to list, the profitability test was adjusted under the new rules. Companies must have positive earnings for two of the last three years and a positive stockholders' equity for the immediately preceding fiscal year. The rules also require cumulative EBITDA of at least P15 million for the last three years.

In addition, listing on the Main and SME Boards also include certain restrictions. For the Main and SME Boards, no secondary offering during a company's IPO is allowed when the relaxed track record and operating history are applied as in the case of mining, oil, and renewable energy firms. And while listed on the SME Board, a company cannot change its primary purpose for a period of seven years following their listing. An SME company will also be subject to delisting proceedings if it has negative stockholders' equity for three consecutive years.

The new rules also restructured the lock-up requirements applicable to existing stockholders of the company. Under the Main Board, the lock-up period applicable to stockholders owning at least 10 percent of the company's issued and outstanding capital stock is (i) 180 days if the company meets the track record requirements; and (ii) 365 days if the company is exempt from the track record and operating history requirements as in the case of mining, oil and renewable energy firms. Meanwhile, the new SME Board requires a 365-day lock-up period applicable to all existing stockholders.

The old First Board required a 180-day lock-up period applicable to principal stockholders, while the Second Board provided a 365-day lock-up period also for principal stockholders. The old SME Board prescribed a two-year lock-up for all existing stockholders.

The Exchange also formalized in the new rules its policy of requiring all listed companies to have an effective investor relations program, which must include, among others, a corporate website that contains, at a minimum, information about the company's operations, financials, plans, senior management, controlling stockholders and investor services. This program ensures that information affecting the company is communicated effectively to investors.

Rules for Companies under Financial Distress and under Corporate Rehabilitation

To provide additional safeguards to minority stockholders of companies experiencing financial problems and those undergoing corporate rehabilitation, the PSE submitted to the SEC its proposed Rules for Companies under Financial Distress and Rules for Companies under Corporate Rehabilitation.

In drafting the new rules, the PSE conducted a survey of the rules of other jurisdictions: Stock Exchange of Thailand (SET), Bursa Malaysia (BM), Singapore Exchange (SGX), Hong Kong Exchanges and Clearing Limited (HKex) and Korea Exchange (KRX).

Under the current Rehabilitation Guidelines, there is no exit mechanism for the minority stockholders of companies under rehabilitation when an immediate suspension of the trading of these companies' shares is imposed. This may pose problems, when upon meeting certain conditions, the trading suspension of a company is lifted and its share price drops drastically. When this happens, shareholders may face huge discounts when they decide to unload their shares of the company.

Under the proposed Rules for Companies under Corporate Rehabilitation, the PSE proposes to impose a trading suspension on the shares of the company five trading days after the filing of the disclosure on corporate rehabilitation. This is viewed as an enhancement to the current rehabilitation guidelines which call for the immediate imposition of a trading suspension on the shares of a company upon receipt of the company's relevant disclosure.

New Listing Board Requirements

table: 13

REQUIREMENTS	MAIN BOARD	SMALL, MEDIUM AND EMERGING (SME) BOARD
NUMERICAL CRITERIA	Authorized Capital Stock- Minimum- P500M Subscribed & Paid-up- Minimum- P125M	Authorized Capital Stock- Minimum- P100M Subscribed & Paid-up- Minimum- 25 percent of ACS or P25M
TRACK RECORD REQUIREMENT	Positive cumulative EBITDA for the last three years of at least P50M; positive stockholders' equity for immediately preceding fiscal year	Positive EBITDA for two of the last three years with cumulative EBITDA of at least P15M for last three years; positive stockholders' equity for immediately preceding fiscal year
OPERATING HISTORY	At least three years	At least three years
MINIMUM NO. OF STOCKHOLDERS	1000 upon listing	200 upon listing
RESTRICTIONS	- No secondary offering when relaxed track record and operating history are applicable (e.g., mining, oil, renewable energy, newly formed holding company). - Newly formed holding company invoking subsidiaries' track record prohibited from divesting three years from listing	- Holding and passive income companies are not allowed. - No change in primary purpose while listed in SME Board for seven years - No secondary offering when relaxed track record and operating history are applicable (e.g., mining, oil, renewable energy, newly formed holding company).
LOCK-UP	- If track record is relaxed 365 days for principal stockholders - If track record requirement is met 180 days for principal stockholders	1 year for all existing stockholders



Responsive Rules & Infrastructure

Under the Proposed Rules for Companies under Financial Distress, listed issuers that will become the subject of the following conditions shall be required to immediately disclose such fact: (1) cessation of business operations for at least six months for any reason; (2) reporting of negative stockholders' equity; (3) delay in payment of loans amounting to at least ten percent of its total assets; and (4) adverse or qualified auditor's opinion on the financial statements of the company for three consecutive years.

Upon PSE's receipt of the relevant disclosure, the concerned issuer will be flagged as a company under financial distress in the PSE's trading reports as well as the issuer's stock information page on the PSE's website. An issuer may request for the removal of the notice of financial distress anytime within a period of three years by showing that the ground upon which the same was issued no longer prevails.

The proposed Rules for Companies under Corporate Rehabilitation also incorporates the four possible rehabilitation schemes envisioned in the Financial Rehabilitation and Insolvency Act of 2010 namely, court supervised rehabilitation initiated either by the debtor or the creditor; pre-negotiated rehabilitation; and informal or out-of-court rehabilitation.

The PSE published a consultation paper on the proposed rules, which was uploaded on the PSE website for public comments from March 20 to April 10.

The proposed Rules for Companies under Financial Distress and under Corporate Rehabilitation is currently pending with the SEC.

Revisions to the Rules on Backdoor Listing

The Exchange is in the process of revising its Backdoor Listing Rules to clarify the circumstances that will trigger the application of the rules and to expand the obligations of listed companies involved in backdoor listing. These changes are being proposed to promote transparency, protect the interest of the investing public, and allow the public to participate in fund-raising initiatives of a company that is backdoor listed.

The primary rationale of the proposed revisions are embodied in three main guiding pillars: (1) the proper introduction of a listed company to the market; (2) preservation of the spirit of being a publicly listed company; and (3) promotion of the public offer process as the optimal mode of going public.

Consistent with these, the highlights of the proposed revisions to the Backdoor Listing Rules are as follows:

1. Clearly qualify that a re-organization of a group of companies may be considered as one of the instances that may result to a backdoor listing.
2. Provide a 180-day mandatory lock-up of new shares issued to new or existing shareholders, representing at least 10 percent of the listed company's issued and outstanding capital stock.
3. Require a public offering for any fundraising by a backdoor listed company following the completion of the infusion of the new assets and/or operating businesses.

The revisions to the Backdoor Listing Rules are being finalized as the PSE holds consultations with various market participants and conducts careful deliberation on the comments and inputs received.

The revisions to the Backdoor Listing Rules are being finalized as the PSE holds consultations with various market participants and conducts careful deliberation on the comments and inputs received.

Implementation of Minimum Public Ownership Rule

The implementation of the revised rules on minimum public ownership (MPO) for listed companies continued throughout 2013 with the trading suspension for non-compliant companies as mandated by the rules to begin at the start of the year. Seven companies which failed to meet the 10 percent minimum public float requirement by the end of December 2012 were suspended on January 2.

On June 30, or the end of the grace period for companies failing to meet the MPO level, one company was involuntarily delisted while the others complied by diversifying the ownership structure. Others, meanwhile, chose to voluntarily delist. As a result, all companies listed at the PSE now have a minimum 10 percent public ownership. The average float level of all listed companies also jumped to an average of 34.32 percent by the end of 2013 as against a 32.28 percent level in 2012.

Direct Market Access Rules

The SEC approved on October 29 the rules proposed by the PSE governing Direct Market Access (DMA) services. Under DMA, a client is permitted by the broker to send orders to buy or sell securities directly into PSEtrade without any manual intervention by the broker.

The approved rules aim to prevent potential abuse of the direct access of clients and to provide the regulatory framework for the provision by trading participants of DMA services such as online/internet trading, straight-through processing and sponsored access, which allow investors to directly connect their infrastructure to the PSE trading system. Moreover, the DMA rules will help increase volumes and bolster both institutional and retail participation as these rules open the window for more forms of DMA to be introduced in the market.

The PSE implemented the DMA rules on the first trading day of 2014.

Extended Pre-close

The PSE implemented a longer pre-close period in the market on November 4, as approved by the SEC. Under the revision, the start of the pre-close period was adjusted to 3:15 p.m. from the previous 3:17 p.m. start. The end of the pre-close period still remained at 3:20 p.m. The new pre-close period was split in two sessions composed of the 3:15 p.m. to 3:18 p.m. pre-close auction period when trading participants can enter, modify or cancel orders and the pre-close auction no-cancel period at 3:18 p.m. to 3:20 p.m. when brokers are allowed to enter orders but cannot cancel or modify orders.

The move was made to give TPs more time to assess prices, adjust to sharp price movements at the close of market, and execute orders especially on days when there are significant market-on-close orders. It also aligned the trading rules with other markets as the PSE used to have the shortest pre-close period in the region.



EMPOWERED & MORE ENGAGED STAKEHOLDERS



Working with key partners to help grow the market

Market Education Initiatives

Launch of the PSE Advanced Stock Market Course in Manila and Cebu

The PSE successfully conducted in December the Advanced Stock Market Course (the Course) together with its partner organizers, First Metro Securities Brokerage Corporation (FMSBC) and First Metro Asset Management, Inc. (FAMI). The first session was held at the PSE Ayala in Makati and a subsequent one at the Insular Life Cebu Business Centre, Cebu Business Park, Cebu City.

The Course was developed to provide continuing education to interested individuals and investors who want to enhance their investment, trading, and analytical skills. The Course was divided into three four-hour modules, which covered fundamental analysis, technical analysis, and practical portfolio management.

Launch of the 1st Provincial Run of the PSE Certified Securities Specialist Course in Cebu

The PSE, in collaboration with the University of San Carlos School of Business and Economics through the Center for Entrepreneurship and Lifelong Learning, launched its first provincial run of the Certified Securities Specialist Course (CSSC) in Cebu on October 11.

The PSE has existing CSSC offerings with other academe partners including Ateneo Center for Continuing Education, Development Center for Finance, iACADEMY School of Continuing Education, and the University of Santo Tomas Center for Continuing Professional Education and Development.

To further enhance the program, the PSE and its partner schools introduced the new and improved CSSC curriculum. The course added two subject areas, bringing the total number of subjects to 14. The faculty pool was also expanded to include top leaders in the capital markets industry. The PSE will soon offer an online version of the course to cater to market demand for web-based learning opportunities.

Online Campaign

The PSE Academy portal, www.pseacademy.com.ph, continued to be the Exchange's market education website providing free, comprehensive, and practical online learning and web-based investor education for the general public. In 2013, the total number of visitors reached 184,162 while total page views numbered 736,260. The site was accessed from 25 different countries including top professional overseas Filipino destinations such as the US, Saudi Arabia, Qatar, Australia, United Arab Emirates, Singapore, and Hong Kong.

Meanwhile, the PSE's Facebook and Twitter accounts gained more following in 2013. With social media being used more by investors to get the latest information on the stock market, PSE's accounts provided potential and existing investors daily stock market updates, links to select corporate disclosures, PSE news and announcements, seminar schedules, and other market education information. By the end of 2013, the total Facebook and Twitter followers more than doubled to 38,000 compared to a total of just close to 17,000 at the end of 2012.



PSE COO Roel Refran giving a lecture in one of the modules of the Certified Securities Specialist Course at the University of San Carlos in Cebu



Empowered & More Engaged Stakeholders

The PSE Cebu Marketing Office

The Cebu Marketing Office of the Exchange was the venue for 270 stock market orientations and seminars. The PSE's Cebu Office serves as the staging ground for various capital market developmental activities directed at the Visayas and Mindanao region. Aside from market education initiatives, the Cebu Office has booths where trading participants may deploy agents who may undertake marketing and sales activities jointly with the PSE for prospective Cebuano and other Visayan investors.

Financial Literacy Roadshows and Listing Forums

Aside from Cebu, the PSE held roadshows in Davao, Bacolod and Iloilo. The roadshow seminars were attended by high net worth individuals and businessmen who have interest in listing their companies in the PSE and students who are interested to know more about stock market investing.

The Exchange conducted 13 Listing Forums for prospective companies and foreign investment houses. The PSE also participated in an IPO Conference in Malaysia.

The Exchange also had information sessions on Exchange Traded Funds in Metro Manila, Cebu and Davao.

Market Education by the Numbers

476	Seminars and Exchange visits
25,995	Individuals reached (through seminars & events)
184,162	PSE Academy unique visitors

2013 Bell Awards for Corporate Governance

Launched in December 2011, the Bell Awards recognize both listed companies (LCs) and trading participants (TPs) that excel in their corporate governance practices. It is one of the PSE's important initiatives to promote good corporate governance and foster best practices in our markets in order to sustain the Philippines' attractiveness as an investment destination.

In its second year, the PSE recognized 22 Bell Awards Finalists, 10 from listed companies and 12 from trading participants:

Listed Companies

Aboitiz Equity Ventures, Inc.
Ayala Corporation
China Banking Corporation
Globe Telecom, Inc.
Manila Electric Company
Manila Water Company, Inc.
Philippine Long Distance Telephone Company
Rizal Commercial Banking Corporation
Semirara Mining Corporation
SM Prime Holdings, Inc.

Trading Participants (Large Category)

A & A Securities, Inc.
BDO Securities Corporation
CLSA Philippines, Inc.
COL Financial Group, Inc.
First Metro Securities Brokerage Corporation
Maybank ATR Kim Eng Securities, Inc.

Trading Participants (Small Category)

A.T. de Castro Securities Corporation
Alpha Securities Corporation
JSG Securities, Inc.
Pan Asia Securities Corporation
R.S. Lim & Company, Inc.
Salisbury BKT Securities Corporation

From these Finalists, five LCs and six TPs were recognized as Bell Awardees.

The 2013 PSE Bell Awardees

Listed Companies

Aboitiz Equity Ventures, Inc.
China Banking Corporation
Manila Electric Company
Manila Water Company, Inc.
Philippine Long Distance Telephone Company

Large Trading Participants

BDO Securities Corporation
COL Financial Group, Inc.
Maybank ATR Kim Eng Securities, Inc.

Small Trading Participants

A.T. de Castro Securities Corporation
R.S. Lim & Company, Inc.
Salisbury BKT Securities Corporation



The criteria for listed companies were based on The Corporate Governance Guidelines for LCs issued by the PSE in 2010, while those for TPs were based on the results of their regulatory audits and risk ratings criteria of the Capital Markets Integrity Corporation (CMIC). The criteria for both LCs and TPs also included compliance with pertinent laws and PSE and SEC rules and regulations.

The members of the distinguished Bell Awards Panel of Judges for 2013 represented prominent business practitioners, institutional investors, regulators and the academe, who were selected for their independence, integrity and commitment to corporate governance.

Panel of Judges:

1. **Hon. Teresita J. Herbosa** – SEC Chair and Chair of the 2013 Bell Awards Panel of Judges
2. **Dr. Alfredo E. Pascual** – President of the University of the Philippines
3. **Atty. Darlene B. Berberabe** – President and Chief Executive Officer of the PAG-IBIG Fund
4. **Mr. Emilio S. de Quiros, Jr.** – President and Chief Executive Officer of the Social Security System
5. **Mr. Gregorio S. Navarro** – Managing Partner and Chief Executive Officer of Deloitte Philippines

Restructured Corporate Governance Website

To make its corporate governance program more accessible to its stakeholders, the PSE also restructured its Corporate Governance website. The improved website developed a dedicated site for the corporate governance programs of the PSE as the stock exchange and a Self-Regulatory Organization and as a listed company. It features the Exchange's governance structure, policies, guidelines, framework and activities as well as up-to-date corporate documents and reports. A section of the website was also dedicated to the PSE's corporate governance scorecard submissions, which included the newly-implemented Annual Corporate Governance Report (ACGR) of the SEC and the 2013 ASEAN Corporate Governance Scorecard (ACGS). The ACGS is an initiative of the ASEAN Capital Markets Forum and the Asian Development Bank in preparation for the ASEAN economic integration in 2015.

As a result of this and other initiatives of the Exchange to both promote corporate governance in the market and to strengthen its own corporate governance, the PSE received several distinctions in 2013. The PSE was ranked among the top 50 listed companies in the Philippines in the 2013 run of the ASEAN Corporate Governance Scorecard as rated by corporate governance peer reviewers in the ASEAN.

Trading Participant Relations

2013 saw the addition of two new TPs to the PSE's roster. Star Alliance Securities Corporation started trading operations on January 21, while Timson Securities, Inc. was approved by the PSE Board as a corporate trading participant on September 11 and started trading operations on October 16.

Also, the regulatory reporting and disclosure process for TPs came on-line for the first time as part of the PSE EDGE implementation, joining listed companies in this initiative to facilitate and foster greater transparency in the market.

As the year 2013 ended, another 52 trainees were certified as users of the PAM (Poste D'Access Aux Marche) System. PAM certification is offered to TP personnel who are preparing to be licensed traders and who want to learn about the trading system, trading rules, and order execution/management through the PAM System. The PAM System is an order and trade management tool provided by the Exchange for TPs. As of December 2013, 900 TP personnel have attended the PAM certification.

Forty percent of the newly certified PAM users now have PAM accounts or trading accounts resulting to a 13 percent increase in the the total number of PAM accounts from 2012.

Meanwhile, the number of Common Customer Gateway (CCG) subscribers increased from 29 to 32. The CCG allows the Trading Participants to connect their own Front-End Order Management System (FEOMS) to the Exchange. As a CCG subscriber, TPs have the option to offer online trading system to their investors.

While CCG subscribers were active in improving their Front-end Order Management System (FEOMS) in 2013, the PSE was active as well in responding to their request to access the testing environment, providing support during their system testing, answering their inquiries, and certifying the enhancements done on their FEOMS.

The number of times that CCG subscribers requested access in the testing environment significantly increased by 40 percent. On the other hand, the number of times that CCG subscribers requested for re-certification due to the enhancements in the execution capabilities of their FEOMS also rose by 225 percent.

As part of the continuing effort of the PSE to provide excellent service and facilities, the enhanced iPSE website was launched on October 1. An update session was held to prepare the TPs prior to the launch. The iPSE website allows the TPs to create client account codes, submit trade amendments and unbundled trades, download End-Of-Day files and upload Risk-based Capital Adequacy (RBCA) and Weekly Tax Report.

All incidents, problems and queries of TPs were still reported via the centralized email, helpdesk@pse.com.ph or TP hotline, 819-4450. The PSE, on the other hand consolidated the reported issues via the Helpdesk System.

Investor Relations Seminar

As the country gains more attention from international investors, the PSE recognizes the need to raise the investor relations practice among listed companies to global best practices.

As an initial step, the PSE hosted a two-day seminar on the Fundamentals of Investor Relations (IR) last September at the Tower One and Exchange Plaza in Ayala Avenue, Makati City. The event was organized by the Exchange to provide Investor Relations Officers (IRO) with deeper understanding of what their job entails and to equip them with needed skills to accomplish their IR function. It was also an avenue for them to network and exchange best IR practices. The event was attended by 25 IR practitioners from various listed companies. To give way to other IROs to participate in the event, another run of the Fundamentals of IR was held in January 2014. The resource person for the seminar was Mr. Joseph Chia, an international trainer for IR and General Manager of the Investor Relations Professionals Association Singapore (IRPAS) from 2008 to 2013.



Investor Relations practitioners from listed companies actively participating during the Investor Relations Seminar in September



Chief Executives and other high-ranking officers of ASEAN Exchanges at the 19th ASEAN Exchanges CEO's meeting in August

19th ASEAN Exchanges CEOs Meeting

The PSE sponsored the 19th ASEAN Exchanges CEO's meeting held in August at the Manila Peninsula. Chief Executives and other high-ranking officers of ASEAN Exchanges attended the event to discuss collaborative strategies to further promote ASEAN as an asset class particularly through the collective marketing of ASEAN investment opportunities. Since the launch of ASEAN Exchanges Collaboration in Bali in April 2011, a number of key initiatives have been rolled out with the aim to bring more investment opportunities to more investors across ASEAN.

As a point of reference and resource on ASEAN investments, the ASEAN exchanges have developed the ASEAN Exchanges website which is built around the ASEAN Stars. The ASEAN Stars are composed of 180 ASEAN blue-chip stocks, which represent the 30 most exciting companies in each ASEAN country as ranked by investability in terms of market capitalization and liquidity. The ASEAN Exchanges website features aggregated ASEAN content allowing investors to view the performance of the seven ASEAN exchanges individually as well as providing a single, integrated view of the ASEAN market. A FTSE/ASEAN Indices Weekly Report is also available on the ASEAN Exchanges website.

The ASEAN Exchanges is a collaboration of seven exchanges namely, Bursa Malaysia, Hanoi Stock Exchange, Ho Chi Minh Stock Exchange, Indonesia Stock Exchange, Singapore Exchange, the Stock Exchange of Thailand and the PSE.

Takara Partnership

The PSE has partnered with the Takara Printing Co., Ltd. to spur interest in the PSE among companies, investors and other market participants in Japan. This agreement strengthens the collaboration between companies to allow the sharing of information about listing in the PSE and to enhance investor relations activities and marketing initiatives in both the Philippines and Japan.

One of the results of this partnership is the translation of the PSE's listing kit and new listing rules in Japanese. This is the first time that these rules have been made available in another language. With this translation, the PSE hopes to encourage Japanese firms with Philippine subsidiaries and operations to list and raise capital at the PSE.

Exchange Immersion Program

The PSE launched its Exchange immersion program in December to learn more about global best practices in other markets and touch base with foreign investors to discuss how they view the Philippine market. The first market that was visited was Hong Kong where board directors and senior officials of the PSE met with officials and representatives of the Hong Kong Exchanges and Clearing Limited to learn more about their operations and programs. The PSE also met with foreign and local brokerage houses to discuss their views on the Philippine market, their outlook and recommendation to further help the Philippine market grow.

From this program, the PSE aims to compare its practices and adopt any program that will help it get closer to its vision of becoming a world class exchange.

PSE Student Internship Program

In order to expand awareness globally on the operations of the Philippine stock market for future market practitioners, the PSE opened up its doors to student-interns from universities in North America and the International School Manila in 2013. Among the schools represented were Philadelphia University, Trinity College (Connecticut), St. Francis University (Pennsylvania), University of California, Claremont McKenna College (California) and the University of British Columbia. Most of the interns were Economics and Financial Management students who wanted to know more about the Philippine stock market and the operations of the PSE.



Signing ceremony for PSE's partnership with Takara Printing Co., Ltd

Corporate Social Responsibility

The PSE provided direct assistance to the victims of the following disasters:

1. P1 million cash donation for the victims of the earthquake in Bohol through the Philippine Business for Social Progress;
2. P1.612 million worth of canned goods and bottled water coursed through GMA Kapuso Foundation, for the victims of the earthquake in Bohol;
3. P818,000 worth of grocery items coursed through Doña Remedios Romualdez Medical Foundation, for the victims of Typhoon Yolanda in Tacloban City;
4. P522,000 worth of bottled water coursed through GMA Kapuso Foundation, for the victims of Typhoon Yolanda in Tacloban City and Ormoc.
5. Ten 20x10 tents worth P55,000 coursed through Caritas Manila, for the victims of Typhoon Yolanda in Tacloban City;

The Philippine Stock Exchange Foundation, Inc. (PSEFI) performed its corporate social responsibility mandate by granting the following donations:

1. P1 million cash donation for the victims of Typhoon “Yolanda” coursed through three foundations actively involved in the conduct of relief operations in Tacloban, Leyte, i.e., ABS-CBN Foundation SagipKapamilya, GMA Kapuso Foundation, Inc., and PLDT Smart Foundation, Inc.
2. P315,000 worth of relief goods for the victims of the Typhoon “Maring” in Pila, Laguna, in collaboration with the PBSP. Representatives from the PSE and the Foundation conducted the actual distribution of 241 “Sphere” food packs, contents of the food pack can feed a family of six for five days.

Under its mandate to educate the investing public and increase public awareness on the stock market, the PSE Foundation funded the following projects:

1. Completed the balance of P400,000 it committed to support the PSE-ANC Interstitials and Company Call TV interviews of CEOs of listed companies to increase awareness of the investing public of movers in the stock market.
2. Co-sponsored the “PSE Bull-Run 2012” with a donation of P100,000. This is a yearly commitment of the PSE Foundation in helping raise public awareness on the stock market. More than 6,000 participants joined the run.
3. Likewise, a yearly commitment of the PSE Foundation in support of the capital market development is its donation of P90,000 to the FINEX-CMDC (Capital Market Development Council) as its share in the operating expenses of the CMDC secretariat.

The PSE is also grateful for the generous support given by fellow market participants in the wake of Supertyphoon Yolanda. The Foundation is holding in trust the donations amounting to P4 million from the following trading participants and Asian stock exchanges:

The Stock Exchange of Thailand
Bursa Malaysia Berhad
KRX Happy Foundation of South Korea
HOCHIMINH Stock Exchange of Vietnam
Japan Exchange Grouping
Takara Printing Co, Ltd of Tokyo
Regina Capital Dev’t.
Strategic Equities Corp.
H. E. Bennett Securities
R. S. Lim & Co.
Golden Tower Securities
RTG & Co.

The PSE and the PSE Foundation have decided to use the donated funds for the rehabilitation and rebuilding projects to help the Typhoon Yolanda victims, particularly, the rehabilitation and rebuilding of schools in the province of Leyte, one of the hardest hit areas of the typhoon.

PSE Corporate Bayanihan: As One from the Heart

The Board of Directors, officers, trading participants and employees of the PSE and its Subsidiaries demonstrated their unity, kindness, selflessness and strong commitment to help the victims of Super Typhoon Yolanda. Together as one big family, the PSE and its Subsidiaries volunteered in the repacking efforts and donated money, medicine, food, water, used clothing and tents. The quick response and relief efforts of the PSE community were done in coordination with Doña Remedios Trinidad Romualdez Medical Foundation and Caritas Manila.



PSE employee distributing relief goods for the victims of Typhoon Maring in Pila, Laguna



TRACK RECORD OF STABILITY & EXCELLENCE

Nurturing PSE's rich history of excellence and service

PSE's 10th Listing Anniversary

2013 marked the 10th year of the PSE as a listed company. Since becoming listed, the Exchange has been undertaking numerous reforms to help grow the market and has experienced significant financial growth seeing its revenues grow from P117.71 million in 2003 to P1.53 billion in 2013. The milestone was celebrated with a bell ringing ceremony that was attended by government officials, listed companies, trading participants and other stakeholders.

The celebration became an occasion to look back at significant milestones of the Exchange from 2003.



Excellence Awards and Recognitions

The PSE received numerous citations and awards in 2013 for all the accomplishments and programs it has instituted. For the first time in its history, the PSE was recognized as the Best Stock Exchange in Southeast Asia by the prestigious Marquee Awards given by Alpha Southeast Asia, the first and only institutional investment magazine focused in Southeast Asia.

The Award was given during the 7th Annual Alpha Southeast Asia Best Solution and Deal Awards for 2013. The PSE was cited for the record-breaking year of the Philippine stock market despite the volatility of equities markets worldwide. Among the achievements mentioned were the PSEi's breach of the 7,000 mark, the remarkable growth of trading activity, and the significant capital raising activity during the year. The organizers also recognized the various corporate governance initiatives spearheaded by the Exchange.

In addition to this, PSE Chairman Jose T. Pardo was recognized by the International Association of Business Communicators (IABC) as one of the country's industry leaders who used excellent communication as a business strategy at the CEO Excel Awards 2013.

Meanwhile, President Hans B. Sicat was a finalist for a third straight year as Global Filipino Executive of the Year at the Asia CEO Awards 2013.

The 2012 annual report of the PSE entitled "What's Beyond the Numbers" also received a merit award in the Publications category of the Philippine Quill Awards 2013 given by IABC.

PSE Board of Directors and guests celebrating the 10th listing anniversary of the PSE



PSE Chairman Jose T. Pardo's award at the CEO Excel Awards 2013



Quill Award for the 2012 annual report of the PSE entitled "What's Beyond the Numbers"

Best Stock Exchange in Southeast Asia by the prestigious Marquee Awards given by Alpha Southeast Asia



Improved Office Processes and Risk Management

Standard Operating Procedures and Digitization

In line with its goals to implement best practices and adhere to global standards on documentation, the Exchange completed phase one of its guidelines for developing common Standard Operating Procedures (SOP) for all its operations. The completion of the first phase of the SOP project in 2013 resulted in a total of 244 new and updated SOPs in the Exchange's SOP database and on-line repository, which can be accessed by all PSE employees for reference, compliance or guidance, thus providing for clarity, consistency and efficiency in operations.

Meanwhile, the PSE continued to pursue the digitization of its trading and operations-related records to ensure their security, survivability and preservation. The digitization project is expected to improve the company's monitoring and retrieval processes for these records.

Phase one of the project, which was completed in 2011, involved the scanning of the PSE Library's historical records. The records were then uploaded to the PSE's digital library called the Electronic Search Access Facility (ESAF). ESAF was rolled out to the investing public in 2012 and is now used by the library's visitors for obtaining historical information related to the Exchange.

In 2013, the Exchange kicked off the implementation of a sound records management framework (RMF) to support the digitization initiative. The RMF provides clear and concise information on record-keeping, including policies on how to maintain, retain or dispose records in accordance with legal requirements and the needs of the Exchange.

Centralized Information Access

The Centralized Information Access (CIA) project provides PSE employees easy access to stock market information that they can refer to in day-to-day operations and responding to queries from various market participants. The project is designed to eliminate waiting time for data users, increase employees' understanding and appreciation of the Exchange's data collection, and open up opportunities to utilize PSE data in improving work plans and processes. The CIA network folder was launched in mid-2012 and the orientations were completed in 2013. Access to contents of the CIA folder is customized to the needs of each department.

Enterprise Risk Management

Risk management is a fundamental part of the PSE's strategy development and execution, business operations and effective corporate governance. The PSE adopts a risk philosophy aimed at minimizing adverse outcomes and maximizing business opportunities by effectively balancing risk and reward. In keeping with best practices in risk management and governance, and given its vital role in the operation of a stable and efficient capital market as well as its responsibilities to numerous stakeholders, the PSE's Board of Directors approved the adoption of the PSE Enterprise Risk Management (ERM) Framework. The Framework formalizes the process of a comprehensive, systematic and proactive management of risks faced by the PSE.

The implementation of the ERM Framework commenced with a series of seminar workshops for division and department heads designed to develop an understanding of risk and familiarity with the framework. A critical activity that was completed under this framework was the identification, assessment and management of risks at the business unit and enterprise levels.



Track Record of Stability and Excellence



Technology upgrades

New PSE Electronic Board

The PSE celebrated its 10th listing anniversary with the unveiling of its new electronic board at the Ayala trading floor. The electronic board is composed of 130 LED panels covering close to 80 square meters of dynamic display. It gives a snapshot of the stock market indices and shows real time intraday graphs and pie charts of the sectors. It features the most actively traded stocks by value and the top 10 gainers and losers. The new electronic board also has a display of US and Asian Markets, currency updates and has video-playing capability.

Zero Downtime

The PSEtrade achieved 100 percent system availability in 2013, a testament to the reliability and stability of the technology systems of the Exchange.

In the same manner, the PSEtrade website, where all PSEtrade-related memos, announcements, presentations, technical requirements, documentations, training schedules and schedule of events are uploaded, also achieved 100 percent system availability in 2013.

Internet Connections Capacity Upgrade

The Exchange completed the capacity upgrade of the primary internet connections from the existing 2x10 megabits per second (mbps) into a high speed 20mbps links to support the current and future demands for high internet bandwidth.

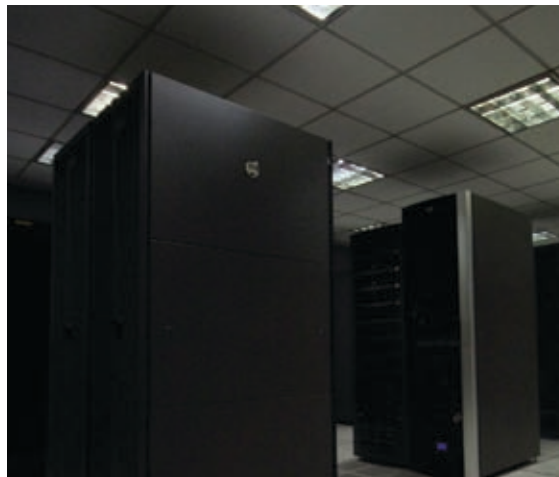
This includes access to the PSE EDGE, Central Clearing and Central Settlement System, Corporate and iPSE websites and online trading. Currently, the overall response time of all the Exchange's online applications were improved and reduced to almost an average of four milliseconds.

Server Virtualization

In line with its effort to improve operational efficiency, the PSE started implementing the server virtualization. This project reduces the overall datacenter server footprint and power requirement and speed up server provisioning. Almost 20 percent of the stand-alone servers have been migrated. In terms of technical support, the Exchange implemented the Remote Management Systems which can diagnose and fix remotely the issues of the trading software provided by the Exchange. It can also be used to install software patches and packages remotely.

New Disaster Recovery Site

The PSE completed the transfer of its Disaster Recovery (DR) site into a more secure and reliable DR site facility which is located in a different topographic location and power grid. The new DR site complies with the industry standard and best practice in datacenter. It also has a Tier 3 certification. Power supply inside the facility is fully fault-tolerant and everything is dual powered.





SOLID COMPANY GROWTH



Strengthening the company's fundamentals to support sustainable growth

As the stock market trekked to new heights, so did the financial performance of the Company.

2013 proved to be another milestone for the Exchange as it breached new record levels both in terms of revenues and net income. Revenues again entered new territory reaching P1.53 billion in 2013, a growth of 33.8 percent from the previous year.

Revenues were boosted by brisk trading activity which grew by 43.7 percent to P2.55 trillion pesos while daily average turnover shot up by 44.9 percent in 2013. This happened on the back of the investment grade rating upgrade for the country as well as the stellar growth of the economy which pushed the index to its all-time high when it broke the 7,400-point barrier in May. Overall, the market ended in positive territory despite the market correction brought about by US Federal Reserve's plans to taper their quantitative easing program.

This resulted in a 59.4 percent surge in the Exchange's trading-related income to P316.78 million. Due to higher volume of trading service fees from the Securities Clearing Corporation of the Philippines (SCCP), PSE's wholly-owned subsidiary, increased by 43.7 percent to P454.68 million, accounting for 29.8 percent of the total revenues.

The revenue growth was also pushed by listing revenues behind the robust listing activity in 2013. Eight companies had their IPO, the most number of IPOs posted by the Exchange since 2007 while two other firms listed by way of introduction. As a result, the PSE earned P495.40 million from listing fees representing almost a third of the total operating revenues of the Exchange. On an aggregate basis, listing-related fees which comprised of annual listing fees, maintenance fees and processing fees, improved by 28.5 percent to P722.11 million. All of these helped boost the company's revenues to grow by 33.8 percent to P1.53 billion.

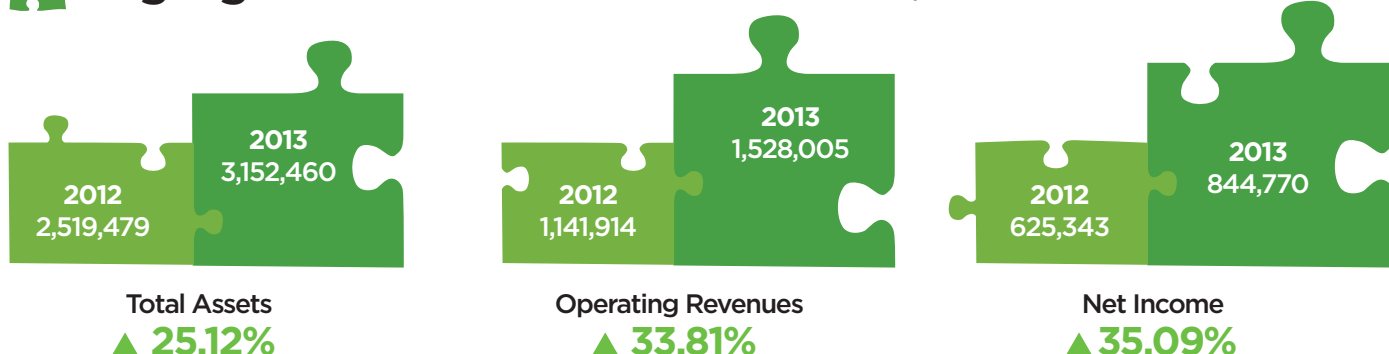
As the PSE implemented prudent cost management measures, the operating expenses of the company increased by only six percent. Expenses were mainly comprised of manpower costs, depreciation and occupancy costs. The Exchange, however, managed to significantly cut down other expense items through rational and targeted spending.

All in all, 2013 was a year of opportunities and challenges. Despite the downward episodes due to the volatile environment, the PSE still registered an impressive 35.1 percent growth in its net income to P844.77 million from P625.34 million in 2012. Given the rosy outlook for domestic economic growth, the PSE expects 2014 to be another banner year which will yield solid and remarkable numbers.



Highlights of Financial Results (in thousand Php)

figure: 07



Philippine Stock Exchange Listed Companies as of Yearend 2013

table: 14

Issue / Security	Code	Par Value	Website
FINANCIALS SECTOR			

Banks

Asiastream Development Bank, Inc.	ASIA	10.00	no corporate website
Asia United Bank Corporation	AUB	10.00	www.aub.com.ph
BDO Unibank, Inc.	BDO	10.00	www.bdo.com.ph
Bank of the Philippine Islands	BPI	10.00	www.bpi.com.ph
China Banking Corporation	CHIB	10.00	www.chinabank.ph
Citystate Savings Bank, Inc.	CSB	10.00	www.citystatesavings.com
Export and Industry Bank, Inc. "A"	EIBA	0.25	no corporate website
Export and Industry Bank, Inc. "B"	EIBB	0.25	no corporate website
East West Banking Corporation	EW	10.00	www.eastwestbanker.com
Metropolitan Bank & Trust Company	MBT	20.00	www.metrobank.com.ph
Philippine Business Bank	PBB	10.00	www.pbb.com.ph
Philippine Bank of Communications	PBC	25.00	www.pbcom.com.ph
Philippine National Bank	PNB	40.00	www.pnb.com.ph
Philippine Savings Bank	PSB	10.00	www.psbank.com.ph
Philippine Trust Company	PTC	10.00	www.philtrustbank.com
Rizal Commercial Banking Corporation	RCB	10.00	www.rcbc.com
Security Bank Corporation	SECB	10.00	www.securitybank.com.ph
Union Bank of the Philippines	UBP	10.00	www.unionbankph.com

Other Financial Institutions

AG Finance, Incorporated	AGF	1.00	www.agfinance.ph
Bankard, Inc.	BKD	0.55	www.rcbcbankard.com
BDO Leasing and Finance, Inc.	BLFI	1.00	www.bdo.com.ph/business/leasing-financing/about-us
COL Financial Group, Inc.	COL	1.00	www.colfinancial.com
First Abacus Financial Holdings Corporation	FAF	1.00	www.firstabacusfinancial.com
Filipino Fund, Inc.	FFI	1.00	no corporate website
I-Remit, Inc.	I	1.00	www.myiremit.com
Maybank ATR KimEng Financial Corporation	MAKE	1.00	www.maybank-atrke.com
Medco Holdings, Inc.	MED	1.00	www.medco.com.ph
Manulife Financial Corporation	MFC	-	www.manulife.com
National Reinsurance Corporation of the Philippines	NRCP	1.00	www.nrmp.com.ph
The Philippine Stock Exchange, Inc.	PSE	1.00	www.pse.com.ph
Sun Life Financial Inc.	SLF	-	www.sunlife.com
Vantage Equities, Inc.	V	1.00	www.vantage.com.ph

Issue / Security	Code	Par Value	Website
INDUSTRIAL SECTOR			

Electricity, Energy, Power & Water

Alsons Consolidated Resources, Inc.	ACR	1.00	www.acr.com.ph
Aboitiz Power Corporation	AP	1.00	www.aboitizpower.com
Energy Development Corporation	EDC	1.00	www.energy.com.ph
First Gen Corporation	FGEN	1.00	www.firstgen.com.ph
First Philippine Holdings Corporation	FPH	10.00	www.fphc.com
Calapan Ventures, Inc.	H2O	1.00	www.h2o.com
Manila Electric Company	MER	10.00	www.meralco.com.ph
Manila Water Company, Inc.	MWC	1.00	www.manilawater.com
Petron Corporation	PCOR	1.00	www.petron.com
Phoenix Petroleum Philippines, Inc.	PNX	1.00	www.phoenixphilippines.com
SPC Power Corporation	SPC	1.00	www.salconpower.com
Trans-Asia Oil and Energy Development Corporation	TA	1.00	www.transasia-energy.com
Vivant Corporation	VVT	1.00	www.vivant.com.ph

Food, Beverage & Tobacco

AgriNurture, Inc.	ANI	1.00	www.ani.com.ph
Bogo-Medellin Milling Company, Inc.	BMM	10.00	no corporate website
Central Azucarera de Tarlac, Inc.	CAT	10.00	www.cat-luisita.com
Del Monte Pacific Limited	DMPL	\$0.01	www.delmontepacific.com
D&L Industries, Inc.	DNL	1.00	www.dnl.com.ph
Emperador Inc.	EMP	1.00	www.emperadorbrandy.com
Alliance Select Foods International, Inc.	FOOD	1.00	www.allianceselectfoods.com
Ginebra San Miguel, Inc.	GSMI	1.00	www.ginebrasanmiguel.com
Jollibee Foods Corporation	JFC	1.00	www.jollibee.com.ph
Liberty Flour Mills, Inc.	LFM	10.00	www.libertygroup.com.ph
LT Group, Inc.	LTG	1.00	www.ltg.com.ph
Pancake House, Inc.	PCKH	1.00	www.pancakehouse.com.ph
San Miguel Pure Foods Company, Inc.	PF	10.00	www.sanmiguelpurefoods.com
Pepsi-Cola Products Philippines, Inc.	PIP	0.15	www.pepsiphilippines.com
Roxas and Company, Inc.	RCI	1.00	www.roxascompany.com.ph
RFM Corporation	RFM	1.00	www.rfmfoods.com
Roxas Holdings, Inc.	ROX	1.00	www.rhi-cadp.com.ph
Swift Foods, Inc.	SFI	1.00	no corporate website
San Miguel Corporation	SMC	5.00	www.sanmiguel.com.ph
Universal Robina Corporation	URC	1.00	www2.urc.com.ph
Vitarich Corporation	VITA	1.00	www.vitarich.com
Victorias Milling Company, Inc.	VMC	1.00	www.victoriasmilling.com

Listed Issues and Companies

Issue / Security	Code	Par Value	Website
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Construction, Infrastructure & Allied Services

Asiabest Group International Inc.	ABG	1.00	www.asiabestgroup.com
Concrete Aggregates Corporation "A"	CA	10.00	www.cac.com.ph
Concrete Aggregates Corporation "B"	CAB	10.00	www.cac.com.ph
Southeast Asia Cement Holdings, Inc.	CMT	0.35	no corporate website
Da Vinci Capital Holdings, Inc.	DAVIN	0.023	www.dfnn.com
EEL Corporation	EEL	1.00	www.eel.com.ph
Federal Resources Investment Group, Inc.	FED	1.00	www.federalresourcesinv.com
Holcim Philippines, Inc.	HLCM	1.00	www.holcim.com.ph
Lafarge Republic, Inc.	LRI	1.00	www.lafarge.com.ph
Megawide Construction Corporation	MWIDE	1.00	www.megawide.com.ph
Phinma Corporation	PHN	10.00	www.phinmacorp.com.ph
Philippine National Construction Corporation	PNC	10.00	www.pncc.ph
Supercity Realty Development Corporation	SRDC	1.00	www.supercity.com.ph
TKC Steel Corporation	T	1.00	www.tkcsteel.com
Vulcan Industrial & Mining Corporation	VUL	1.00	www.vulcanminingandpetroleum.webs.com

Chemicals

Chemical Industries of the Philippines	CIP	10.00	www.chemphil.com.ph
Chemrez Technologies, Inc.	COAT	1.00	www.chemrez.com
Euro-Med Laboratories Philippines, Inc.	EURO	1.00	www.euromedlab.net
LMG Chemicals Corporation	LMG	1.00	www.chemphil.com.ph/main_img.htm
Metro Alliance Holdings & Equities Corporation "A"	MAH	1.00	no corporate website
Metro Alliance Holdings & Equities Corporation "B"	MAHB	1.00	no corporate website
Melco Crown (Philippines) Resorts Corporation	MCP	1.00	www.melco-crown-philippines.com
Mabuhay Vinyl Corporation	MVC	1.00	www.mvc.com.ph
Pryce Corporation	PPC	1.00	www.prycegardens.com

Electrical Components & Equipment

Cirtek Holdings Philippines Corporation	CHIPS	1.00	www.cirtek-electronics.com
Concepcion Industrial Corporation	CIC	1.00	www.concepcion.ph; www.cic.ph
Greenenergy Holdings Incorporated	GREEN	0.01	www.ghi.com.ph
Integrated Micro-Electronics, Inc.	IMI	1.00	www.global-imi.com
Ionics, Inc.	ION	1.00	www.ionicsgroup.com
Panasonic Manufacturing Philippines Corporation	PMPC	1.00	www.panasonic.com.ph

Other Industrials

Filsyn Corporation "A"	FYN	5.00	www.filsyncorp.com
Filsyn Corporation "B"	FYNB	5.00	www.filsyncorp.com
Picop Resources, Inc.	PCP	1.00	no corporate website
Splash Corporation	SPH	1.00	www.splash.com.ph
Steniel Manufacturing Corporation	STN	1.00	no corporate website

Issue / Security	Code	Par Value	Website
HOLDING FIRMS SECTOR			
Asia Amalgamated Holdings Corporation	AAA	1.00	no corporate website
AbaCore Capital Holdings, Inc	ABA	1.00	www.abacusconsolidated.com
Ayala Corporation	AC	50.00	www.ayala.com.ph
Aboitiz Equity Ventures, Inc.	AEV	1.00	www.aboitiz.com
Alliance Global Group, Inc.	AGI	1.00	www.allianceglobalinc.com
A. Soriano Corporation	ANS	1.00	www.anscor.com.ph
Anglo Philippine Holdings Corporation	APO	1.00	www.anglophil.com
ATN Holdings, Inc. "A"	ATN	1.00	www.atnholdings.com
ATN Holdings, Inc. "B"	ATNB	1.00	www.atnholdings.com
BHI Holdings, Inc.	BH	100.00	www.bhi-holdings.com
Cosco Capital, Inc.	COSCO	1.00	www.coscocapital.com
DMCI Holdings, Inc.	DMC	1.00	www.dmciholdings.com
Fil-Estate Corporation	FC	1.00	no corporate website
Filinvest Development Corporation	FDC	1.00	www.filinvestgroup.com
F & J Prince Holdings Corporation "A"	FJP	1.00	www.fjprince.com
F & J Prince Holdings Corporation "B"	FJPB	1.00	www.fjprince.com
Forum Pacific, Inc.	FPI	1.00	no corporate website
GT Capital Holdings, Inc.	GTCAP	10.00	www.gtcapital.com.ph
House of Investments, Inc.	HI	1.50	www.hoi.com.ph
JG Summit Holdings, Inc.	JGS	1.00	www.jgsummit.com.ph
Jollville Holdings Corporation	JOH	1.00	www.joh.ph
Keppel Philippines Holdings, Inc. "A"	KPH	1.00	no corporate website
Keppel Philippines Holdings, Inc. "B"	KPHB	1.00	no corporate website
Lodestar Investment Holdings Corporation	LIHC	0.10	www.lodestarholdings.com
Lopez Holdings Corporation	LPZ	1.00	www.lopez-holdings.ph
Marcventures Holdings, Inc.	MARC	1.00	www.marcventuresholdings.com
Mabuhay Holdings Corporation	MHC	1.00	www.mabuhayholdingscorp.com
Minerales Industrias Corporation	MIC	1.00	no corporate website
MJC Investments Corporation	MJIC	1.00	www.mjcinvestmentscorp.com
Metro Pacific Investments Corporation	MPI	1.00	www.mpic.com.ph
Pacifica, Inc.	PA	0.005	no corporate website
Prime Orion Philippines, Inc.	POPI	1.00	www.primeorion.com
Prime Media Holdings, Inc.	PRIM	1.00	no corporate website
Republic Glass Holdings Corporation	REG	1.00	www.repglass.net
Solid Group, Inc.	SGI	1.00	www.solidgroup.com.ph
Synergy Grid & Development Phils., Inc.	SGP	1.00	no corporate website
Sinophil Corporation	SINO	1.00	no corporate website
SM Investments Corporation	SM	10.00	www.sminvestments.com
South China Resources, Inc.	SOC	1.00	www.southchinaresourcesinc.com.ph
Seafront Resources Corporation	SPM	1.00	www.seafrontresources.com.ph
Unioil Resources & Holdings Company, Inc.	UNI	1.00	no corporate website
Wellex Industries, Inc.	WIN	1.00	www.wellex.com.ph
Zeus Holdings, Inc.	ZHI	1.00	www.zeusholdingsinc.com

Listed Issues and Companies

Issue / Security	Code	Par Value	Website
PROPERTY SECTOR			
Arthaland Corporation	ALCO	0.18	www.arthaland.net
Anchor Land Holdings, Inc.	ALHI	1.00	www.anchorland.com.ph
Ayala Land, Inc.	ALI	1.00	www.ayalaland.com.ph
Alphaland Corporation	ALPHA	1.00	www.alphaland.com.ph
Araneta Properties, Inc.	ARA	1.00	www.aranetaproperties.com
Belle Corporation	BEL	1.00	www.bellecorp.com
A Brown Company, Inc.	BRN	1.00	www.abrown.ph
Cityland Development Corporation	CDC	1.00	www.citylandcondo.com
Crown Equities, Inc.	CEI	0.10	www.crownequitiesinc.com
Cebu Holdings, Inc.	CHI	1.00	www.cebuholdings.com
Century Properties Group Inc.	CPG	0.53	www.century-properties.com
Cebu Property Venture & Development Corporation "A"	CPV	1.00	www.cpvdc.com
Cebu Property Venture & Development Corporation "B"	CPVB	1.00	www.cpvdc.com
Cyber Bay Corporation	CYBR	1.00	no corporate website
Empire East Land Holdings, Inc.	ELI	1.00	www.empire-east.com
Ever-Gotesco Resources & Holdings, Inc.	EVER	1.00	no corporate website
Filinvest Land, Inc.	FLI	1.00	www.filinvestland.com
Global-Estate Resorts, Inc.	GERI	1.00	www.global-estate.ph
Gotesco Land, Inc. "A"	GO	1.00	no corporate website
Gotesco Land, Inc. "B"	GOB	1.00	no corporate website
8990 Holdings, Inc.	HOUSE	1.00	www.8990housing.com
IRC Properties, Inc.	IRC	1.00	www.ircproperties.com
Keppel Philippines Properties, Inc.	KEP	1.00	www.keppelland.com
City & Land Developers, Inc.	LAND	1.00	www.citylandcondo.com
Marsteel Consolidated, Inc. "A"	MC	0.01	no corporate website
Marsteel Consolidated, Inc. "B"	MCB	0.01	no corporate website
Megaworld Corporation	MEG	1.00	www.megaworldcorp.com
MRC Allied, Inc.	MRC	0.10	www.mrcallied.com
Philippine Estates Corporation	PHES	1.00	www.phes.net
Primetown Property Group, Inc.	PMT	1.00	no corporate website
Primex Corporation	PRMX	1.00	www.primexcorporation.com
Robinsons Land Corporation	RLC	1.00	www.robinsonsland.com
Philippine Realty and Holdings Corporation	RLT	1.00	www.philrealty.com.ph
Rockwell Land Corporation	ROCK	1.00	www.e-rockwell.com
Shang Properties, Inc.	SHNG	1.00	www.shangproperties.com
Sta. Lucia Land, Inc.	SLI	1.00	www.stalucialand.com.ph
SM Prime Holdings, Inc.	SMPH	1.00	www.smprime.com
Starmalls, Inc.	STR	1.00	www.starmallsinc.com.ph
Suntrust Home Developers, Inc.	SUN	1.00	www.suntrusthomedevelopers.com
Philippine Tobacco Flue-Curing and Redrying Corporation	TFC	1.00	no corporate website
Uniwide Holdings, Inc.	UW	1.00	www.uni-wide.com
Vista Land & Lifescapes, Inc.	VLL	1.00	www.vistaland.com.ph

Issue / Security	Code	Par Value	Website
SERVICES SECTOR			
Media			
ABS-CBN Corporation	ABS	1.00	http://ir.abs-cbn.com
GMA Network, Inc.	GMA7	1.00	www.gmanetwork.com
Manila Bulletin Publishing Corporation	MB	1.00	www.mb.com.ph
Manila Broadcasting Company	MBC	1.00	www.manilabroadcasting.com
Telecommunications			
Globe Telecom, Inc.	GLO	50.00	www.globe.com.ph
Liberty Telecoms Holdings, Inc.	LIB	1.00	www.libertytelecomsholdingsinc.net
Philippine Telegraph and Telephone Corporation	PTT	1.00	www.ptt.net.ph
Philippine Long Distance Telephone Company	TEL	5.00	www.pldt.com
Information Technology			
DFNN, Inc.	DFNN	1.00	www.dfnn.com
Imperial Resources, Inc. "A"	IMP	5.00	www.imperialresources.ph
Imperial Resources, Inc. "B"	IMPB	5.00	www.imperialresources.ph
Island Information & Technology, Inc.	IS	0.01	no corporate website
ISM Communications Corporation	ISM	1.00	www.ismcomm.com
Millennium Global Holdings, Inc.	MG	1.00	no corporate website
Nextstage, Inc.	NXT	1.00	no corporate website
Transpacific Broadband Group International, Inc.	TBGI	1.00	www.tbgi.net.ph
Philweb Corporation	WEB	1.00	www.philweb.com.ph
Yehey! Corporation	YEHEY	1.00	www.yeheydigitalgroup.com
Transportation Services			
2GO Group, Inc.	2GO	1.00	www.2go.com.ph
Asian Terminals, Inc.	ATI	1.00	www.asianterminals.com.ph
Cebu Air, Inc.	CEB	1.00	www.cebupacificair.com
International Container Terminal Services, Inc.	ICT	1.00	www.ictsi.com
Lorenzo Shipping Corporation	LSC	1.00	www.lorenzoshipping.com
MacroAsia Corporation	MAC	1.00	www.macroasiacorp.com
PAL Holdings, Inc.	PAL	1.00	www.philippineairlines.com
Harbor Star Shipping Services, Inc.	TUGS	1.00	www.harborstar.com.ph
Hotel & Leisure			
Acesite (Philippines) Hotel Corporation	ACE	1.00	www.waterfronthotels.com.ph
Boulevard Holdings, Inc.	BHI	0.10	www.boulevardholdings.com
Discovery World Corporation	DWC	1.00	www.discovery.com.ph
Grand Plaza Hotel Corporation	GPH	10.00	www.grandplazahotelcorp.com
Waterfront Philippines, Inc.	WPI	1.00	www.waterfronthotels.com.ph
Education			
Centro Escolar University	CEU	1.00	www.ceu.edu.ph
Far Eastern University, Inc.	FEU	100.00	www.feu.edu.ph
iPeople, Inc.	IPO	1.00	www.ipeople.com.ph
STI Education Systems Holdings, Inc.	STI	0.50	www.stiholdings.com

Listed Issues and Companies

Issue / Security	Code	Par Value	Website
Casinos & Gaming			
Berjaya Philippines, Inc.	BCOR	1.00	www.pgpi.com.ph
Bloomberry Resorts Corporation	BLOOM	1.00	www.bloomberry.ph
IP E-Game Ventures, Inc.	EG	0.01	www.e-games.com.ph
Pacific Online Systems Corporation	LOTO	1.00	www.loto.com.ph
Leisure & Resorts World Corporation	LR	1.00	www.lrwc.com.ph
Manila Jockey Club, Inc.	MJC	1.00	www.manilajockey.com
Premiere Horizon Alliance Corporation	PHA	0.25	www.premierealliance.ph
Philippine Racing Club, Inc.	PRC	1.00	www.santa-ana-park.com
Travellers International Hotel Group, Inc.	RWM	0.10	www.rwmanila.com

Retail			
Calata Corporation	CAL	1.00	www.calatacorp.com
Puregold Price Club, Inc.	PGOLD	1.00	www.puregold.com.ph
Robinsons Retail Holdings, Inc.	RRHI	1.00	www.robinsonsretailholdings.com.ph
Philippine Seven Corporation	SEVN	1.00	www.7-eleven.com.ph

Other Services			
APC Group, Inc.	APC	1.00	www.apcaragorn.net
Easycall Communications Philippines, Inc.	ECP	1.00	www.easycall.com.ph
Now Corporation	NOW	1.00	www.now-corp.com
Paxys, Inc.	PAX	1.00	www.paxys.com
Philcomsat Holdings Corporation	PHC	1.00	www.philcomsat.com.ph
Globalport 900, Inc.	PORT	1.00	www.g900.com.ph

Issue / Security	Code	Par Value	Website
MINING & OIL SECTOR			

Mining			
Atok-Big Wedge Company, Inc.	AB	1.00	www.atokbigwedge.com
Apex Mining Company, Inc.	APX	1.00	www.apexmines.com
Abra Mining and Industrial Corporation	AR	0.01	www.abramining.com
Atlas Consolidated Mining and Development Corporation	AT	8.00	www.atlasphilippines.com
Benguet Corporation "A"	BC	3.00	www.benguetcorp.com
Benguet Corporation "B"	BCB	3.00	www.benguetcorp.com
Coal Asia Holdings Incorporated	COAL	1.00	www.coalasiaholdings.com
Century Peak Metals Holdings Corporation	CPM	1.00	www.centurypeakmetals.com
Dizon Copper Silver Mines, Inc.	DIZ	1.00	www.dizonmines.com
GEOGRACE Resources Philippines, Inc.	GEO	1.00	www.geograce.com
Lepanto Consolidated Mining Company "A"	LC	0.10	www.lepantomining.com
Lepanto Consolidated Mining Company "B"	LCB	0.10	www.lepantomining.com
Manila Mining Corporation "A"	MA	0.01	www.manilamining.com
Manila Mining Corporation "B"	MAB	0.01	www.manilamining.com
NiHAO Mineral Resources International, Inc.	NI	1.00	www.nihaomining.com
Nickel Asia Corporation	NIKL	0.50	www.nickelasia.com
Omico Corporation	OM	1.00	www.omico.com.ph
Oriental Peninsula Resources Group, Inc.	ORE	1.00	www.orientalpeninsula.com
Philex Mining Corporation	PX	1.00	www.philexmining.com.ph

Issue / Security	Code	Par Value	Website
Semirara Mining Corporation	SCC	1.00	www.semiraramining.com
United Paragon Mining Corporation	UPM	0.01	www.unitedparagon.com

Oil

Basic Energy Corporation	BSC	0.25	www.basicenergy.ph
Oriental Petroleum and Minerals Corporation "A"	OPM	0.01	www.opmc.com.ph
Oriental Petroleum and Minerals Corporation "B"	OPMB	0.01	www.opmc.com.ph
The Philodrill Corporation	OV	0.01	www.philodrill.com
PetroEnergy Resources Corporation	PERC	1.00	www.petroenergy.com.ph
Philex Petroleum Corporation	PXP	1.00	www.philexpetroleum.com.ph

PREFERRED

Allied Banking Corporation - 15% Cumulative Convertible Preferred A	ABC	1,000.00	www.alliedbank.com.ph
Ayala Corporation Preferred Class "A" Shares	ACPA	100.00	www.ayala.com.ph
Ayala Corporation Preferred Class "B" Shares	ACPB	100.00	www.ayala.com.ph
Benguet Corporation - 8% Cumulative Convertible Preferred A	BCP	3.44	www.benguetcorp.com
DMCI Holdings, Inc. - Cumulative Convertible Preferred	DMCP	1.00	www.dmciholdings.com
First Gen Corporation Series "F" Preferred Shares	FGENF	10.00	www.firstgen.com.ph
First Gen Corporation Series "G" Preferred Shares	FGENG	10.00	www.firstgen.com.ph
First Philippine Holdings Corporation - Preferred	FPHP	100.00	www.fphc.com
Globe Telecom, Inc. - Preferred A	GLOPA	5.00	www.globe.com.ph
Leisure & Resorts World Corporation Preferred	LRP	1.00	www.lrwc.com.ph
San Miguel Pure Foods Company, Inc. - Preferred	PFP	10.00	www.sanmiguelpurefoods.com
Petron Corporation - Preferred	PPREF	1.00	www.petron.com
Swift Foods, Inc. Convertible Preferred	SFIP	1.00	no corporate website
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-A"	SMC2A	5.00	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-B"	SMC2B	5.00	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-C"	SMC2C	5.00	www.sanmiguel.com.ph
San Miguel Corporation - Preferred Series "1"	SMCP1	5.00	www.sanmiguel.com.ph
PLDT 10% Cumulative Convertible Preferred Series HH	TLHH	10.00	www.pldt.com.ph

PHILIPPINE DEPOSITARY RECEIPTS

ABS-CBN Holdings Corporation - Philippine Deposit Receipts	ABSP	0.10*	www.abs-cbnpdr.com
GMA Holdings, Inc. - Philippine Deposit Receipts	GMAP	0.05*	www.gmanetwork.com

WARRANTS

Leisure & Resorts World Corporation Warrants	LRW	15.00*	www.lrwc.com.ph
Megaworld Corporation - Warrants1	MEGW1	1.00*	www.megaworldcorp.com
Megaworld Corporation - Warrants2	MEGW2	1.00*	www.megaworldcorp.com

SMALL & MEDIUM ENTERPRISES

Makati Finance Corporation	MFIN	1.00	www.makatifinance.ph
iRipple, Inc.	RPL	1.00	www.ripple.com

ETF SECTOR

ETF-Equity

First Metro Philippine Equity Exchange Traded Fund, Inc.	FMETF	100.00	www.firstmetroetf.com.ph
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*Exercise Price

The Philippine Stock Exchange, Inc.
Board of Directors & Officers



Jose T. Pardo
Chairman-Independent Director



Hans B. Sicat
President and
Chief Executive Officer, Director



Emmanuel O. Bautista
Director



Anabelle L. Chua
Director



David O. Chua
Director



Francis Chua
Director



Dakila B. Fonacier
Independent Director



Eddie T. Gobing
Director



Amor C. Iliscupidez
Director



Edgardo G. Lacson
Director



Cornelio T. Peralta
Independent Director



Eusebio H. Tanco
Director



Robert G. Vergara
Director



Alejandro T. Yu
Director



Ma. Vivian Yuchengco
Director



Omelita J. Tiangco
Treasurer



Aissa V. Encarnacion
Corporate Secretary



The Philippine Stock Exchange, Inc. Executive Officers

- 1 Hans B. Sicat**
President and Chief Executive Officer
- 2 Roel A. Refran**
Senior Vice President and
Chief Operating Officer
- 3 Rachelle C. Blanch**
Vice President and
Head, Market Operations Division
- 4 John Benette B. Mamañgun**
Assistant Vice President, Investor Relations
Officer & Head, Corporate Planning and
Investor Relations Division
- 5 J. Argel A. Astudillo**
Vice President, Compliance Officer, and
Head, Governance, Risk and Compliance
- 6 Marietta U. Tan**
Vice President and
Head, Controllership and Treasury Division
- 7 Jinky A. Alora**
Assistant Vice President and
Head, Internal Audit Group
- 8 Tristan G. Gillego**
Assistant Vice President and
Head, Technology Division
- 9 Buenaventura S. Sanguyo, jr.**
Assistant Vice President and
General Counsel
- 10 Marsha M. Resurreccion**
Assistant Vice President and
Head, Issuer Regulation Division
- 11 Precilla S. Sandoval**
Assistant Vice President and
OIC, Business Development Department
** Resigned effective April 17, 2014*







The Philippine Stock Exchange, Inc. Department Heads



Sheryl V. Perillo 1
Head, Trading Development Department

Sheryl J. Lopez 2
Head, Broker Systems Support and Certification
Department

Adonis H. Gildore 3
Head, Systems and Database Department

Riena Jo C. Eresmas 4
Head, Employee Services Department

Josielyn S. Arellano 5
Head, Materials Management & Procurement
Services Department

Marvin M. Refuerzo 6
Head, Trading Operations Department

Roel M. Villanueva 7
Head, Market Control Department

Jo Ann G. Bautista 8
Officer-In-Charge, Administration

Eliza L. Rodriguez 9
Head, Accounting Department

Elisa L. Benavidez 10
Head, Budget and Treasury Department

Jose Antonio S. Vilar 11
Head, Marketing Services Department and
OIC, Market Education Department

Emil G. Cruz 12
Head, Applications Development and Quality
Assurance Department

Jose Valeriano B. Zuño III 13
Head, Listings Department

Khomeini N. Zaman 14
Risk Management Officer, Governance,
Risk and Compliance

Geossiel A. Cotoco 15
Deputy General Counsel

Janet A. Encarnacion 16
Head, Disclosure Department

Herbert G. Vergara 17
Head, Administration Services Department

Martha H. Vinzons 18
Head, Public and Investor Relations Department

Mark Frederick V. Visda 19
Head, Corporate Planning and Research Department

Zaldy Ronie P. Rocero 20
Head, Network and Telecommunications Department

Securities Clearing Corporation of the Philippines Board of Directors & Officers



Jose T. Pardo
Chairman-Independent Director



Hans B. Sicat
President and
Chief Executive Officer, Director



William Ang
Director



Emmanuel O. Bautista
Director



Anabelle L. Chua
Director



Francis Chua
Director



Dakila B. Fonacier
Director



Eddie T. Gobing
Director



Amor C. Iliscupidez
Director



Cornelio T. Peralta
Independent Director



Alejandro T. Yu
Director



Omelita J. Tiangco
Treasurer



Renee D. Rubio
Chief Operating Officer



Aissa V. Encarnacion
Corporate Secretary



Capital Markets Integrity Corporation Board of Directors & Officers



Dakila B. Fonacier
Chairman



Cornelio C. Gison
President



Paul P. Sagayo, Jr.
Independent Director &
Corporate Secretary



Virginia T. Obcena
Independent Director



Omelita J. Tiangco
Treasurer



Jennifer B. Reyes
Assistant Corporate Secretary



Grace M. Calubaquib
Assistant Vice President and Head,
Surveillance Department

Securities Clearing Corporation of The Philippines

The Securities Clearing Corporation of the Philippines (SCCP), a wholly-owned subsidiary of the Philippine Stock Exchange (PSE), enjoyed a banner year with net income after tax of P345.40 million, a 46.6 percent increase over the previous year's net income of P235.62 million. The service fees earned by the SCCP increased by 44 percent to P454.68 million in 2013 from P316.38 million in 2012, behind the same 44 percent increase of total value turnover from 2012 to 2013.

On April 17, the SCCP Board declared cash dividends amounting to P35 million to stockholders of record as of April 18, and these were paid on April 29. This was in addition to the P200 million cash dividends paid on March 8, 2013 to stockholders of record as of December 31, 2012.

On December 11, the SCCP Board of Directors declared cash dividends amounting to P310 million to stockholders of record as of December 31 and these were paid on January 17, 2014.

Clearing and Settlement Operations

Clearing Members complied with the 12:00 noon settlement deadline, achieving an average compliance rate of 99.96 percent for both the delivery of their cash and securities obligations. There were no overnight fails during the year.

The release time of entitlements to the Clearing Members improved. From an average of 12:44 p.m. in the previous year, the average release time for entitlements in 2013 was 12:38 p.m. This allowed for an earlier release of cash and securities entitlements by the Clearing Members to their investor clients.

New Settlement Banks

The SCCP welcomed three new settlement banks following the accreditation of UnionBank of the Philippines (UBP), Hongkong and Shanghai Banking Corporation Limited (HSBC) and Maybank Philippines Incorporated (Maybank). All three banks started their settlement bank operations for the SCCP after an extensive user acceptance testing and integration with existing settlement banks as well as the accomplishment of the documentation requirements of the SCCP. This brings the total number of settlement banks to seven. The four previously-accredited settlement banks are BDO Unibank, Deutsche Bank, Metropolitan Bank and Trust Co. and Rizal Commercial Banking Corporation.

New Clearing Members

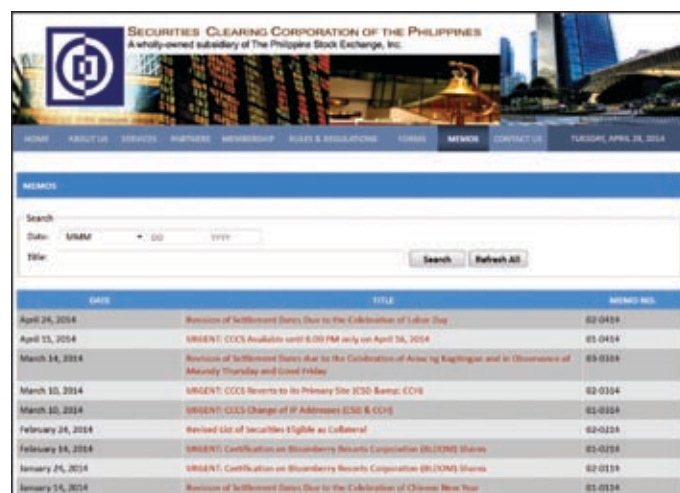
Star Alliance Securities Corp. and Timson Securities, Inc. became SCCP's new Clearing Members last January 21 and October 16, respectively. This increased to 135 the number of active Clearing Members of the SCCP.

The SCCP's Contribution to the Clearing and Trade Guaranty Fund

During its meeting held on April 17, the SCCP Board approved the additional contribution of P10 million to the Clearing and Trade Guaranty Fund (CTGF) by way of appropriation of its retained earnings, the use of which shall be restricted to the settlement of trade obligations of defaulting clearing members. With this, the total contribution of the SCCP to the CTGF amounts to P40 million.

The SCCP Investment Policy and Guidelines

During its meeting held on September 4, the SCCP Board approved the SCCP Investment Policy and Guidelines (SCCP-IPG) as endorsed by the SCCP Investment Committee. The SCCP-IPG formalizes the practice of investing the SCCP corporate funds in government securities or risk-free securities, consistent with good governance practices. In addition, in order to provide more interest income upside, corporate bonds with triple A Philrating have been added among the permissible investments under the approved IPG, subject to the limits and authorities stated in the policy which were adopted from the investment policy guidelines of the Exchange. Among these limits includes the capping of up to 10 percent the maximum exposure to corporate bonds/issues to the total investment portfolio of the Corporation. Likewise, the IPG provides that investments up to P10 million shall be approved by the Treasurer, while those exceeding P10 million shall be subject to Board approval. The investment guidelines also state that placements in time deposits of banks shall be made with universal banks only. The Finance Department shall monitor the fair market value of the investments on a regular basis and shall submit a monthly report to the Board of Directors on the status of the investments.



DATE	TITLE	MEMO NO.
April 26, 2014	Revision of Settlement Dates Due to the Celebration of Labor Day	02-0424
April 23, 2014	URGENT: CCCS Available until 4:00 PM only on April 24, 2014	01-0424
March 14, 2014	Revision of Settlement Dates due to the Celebration of Aringay Day and in Observance of Maundy Thursday and Good Friday	03-0324
March 10, 2014	URGENT: CCCS Reverts to its Primary Site 3030 Bamp; CCRB	02-0324
March 10, 2014	URGENT: CCCS Change of IP Addresses (CCB & CCRB)	01-0324
February 24, 2014	Revised List of Securities Eligible as Collateral	01-0324
February 14, 2014	URGENT: Certification on Shareholders Records Corporation (SRC) Shares	01-0324
January 24, 2014	URGENT: Certification on Shareholders Records Corporation (SRC) Shares	01-0324
January 14, 2014	Revision of Settlement Dates Due to the Celebration of Chinese New Year	01-0324

The SCCP Website

The SCCP Corporate Website, www.sccp.com.ph, was launched in December to give market participants a one-stop access to information about clearing and settlement operations in the Philippine stock market.

The website's homepage features market value in graphic form (for the recent 20 trading days), the previous day's market summary, stock dividend declarations, change in par, stocks for delisting and initial public offerings. Access to the SCCP's Central Clearing and Central Settlement (CCCS) system is likewise available in the homepage. In addition, as many as ten memos for brokers are posted in the homepage while in the inner page, memos for brokers for the past two years are available. The SEC-approved Rules and Operating Procedures are also posted in the SCCP website.

Alternative Cash Settlement

The SEC approved in February the SCCP's proposed amendments to the SCCP Rules and Operating Procedures governing Alternative Cash Settlement (ACS). As the name connotes, Alternative Cash Settlement allows the SCCP to convert the securities obligation of a defaulting Clearing Member to a cash obligation in case of a failed buy-in from the market.

With the current price band of 50 percent up – 50 percent down, the SCCP is fully exposed to the price fluctuation risk of the securities until such time that the securities are sourced from the market or the securities obligation can already be converted to cash, through the Alternative Cash Settlement. The SCCP is further exposed to replacement cost risk if the securities are highly illiquid.

The previous Rule provided for ACS to be triggered only upon lapse of the trading hours of the third day following the original settlement date or effectively on T+6. Under the amended Rule approved by the SEC, the SCCP President or COO can trigger the Alternative Cash Settlement in the afternoon of T+4, instead of on T+6, in the event of a failed buy-in and in order to limit the exposures of the SCCP to one day instead of three days, if:

- the Securities subject of the trade default are considered high risk, or
- the value of the trade default is deemed high risk for the SCCP relative to the exposure it imposes on the CTGF, or
- the defaulting Clearing Member is considered as high risk for the SCCP.

Since the affected counterparty Clearing Member will receive cash instead of securities, the SCCP will provide a compensation value by computing for the value of the securities obligation based on the highest price of said security on T+4, or the highest price on the day it was last traded if there were no trades on said security on T+4, plus a premium of 10 percent.

The SCCP will subject the defaulting Clearing Member to the usual monetary penalty under its Fails Management system, as well as suspension until such time that the securities have been delivered by the defaulting Clearing Member or until the Alternative Cash Settlement has been implemented.

The amended Rules and Operating Procedures became effective on April 1.

Rules and Operating Procedures Governing Settlement Restrictions

The SCCP submitted to the SEC on June 28 its proposed Rules and Operating Procedures governing Settlement Restrictions. Once approved by the SEC, Settlement Restrictions may be imposed by the SCCP on trades of an Identified Security or trades of an Identified Clearing Member and may come in the form of:

- Early Delivery of Securities, in the case of net selling brokers;
- Early Delivery of Cash, in the case of net buying brokers;
- Delivery of 100 percent Cash Collateral, should the Securities not be available for Early Delivery; or
- Such other settlement restrictions as may be deemed necessary by the SCCP Board.

Business Continuity and Disaster Recovery Testing

As it has done so religiously in the past years, the SCCP successfully conducted testing of its Business Continuity and Disaster Recovery (BC/DR). After the transfer of the DR site last May 24 to a new site, the SCCP ensured that its BC/DR plan was fully functional. The SCCP performed full cycle testing during the last three quarters of 2013 to ensure that all processes would run smoothly and properly using the new DR site.

Depository Project

The Securities and Exchange Commission (SEC) granted the SCCP a provisional license to operate a securities depository last February 4 subject to the fulfillment of several conditions.

Among the requirements of the SEC was for the PSE to earmark additional investment in the SCCP to support the operation of the depository function in the first three years of operation. In response to this requirement, the Board of Directors of the PSE and the SCCP approved the increase in the capital stock of the SCCP from P125 million to P500 million. Out of the increase of P375 million, the PSE will subscribe to an additional P156 million worth of shares to increase its subscribed capital to P250 million. On July 26, the PSE infused an additional P106 million into the SCCP, bringing the SCCP's total paid up capital to P200 million. The increase in capital stock and the corresponding amendment in the articles of incorporation were ratified in the annual stockholders' meeting of the SCCP last June 19.

The SCCP Project Team submitted the revised SCCP Depository Rules and Operating Procedures as well as the revised Internal Control Procedures to the SEC.

As approved by the SCCP Board, a team was sent to Jakarta to train with the Indonesia Depository for one week last March. The Indonesia Depository uses that same system as the SCCP's.

Consistent with the grant of the depository license by the SEC, the SCCP expanded its manpower complement. The depository personnel were given extensive training not only on depository, but likewise on trading, clearing and settlement to round up their knowledge of the stock market operations.

The SCCP's Multilateral Securities Borrowing and Lending

The SCCP has applied as a central Lending Agent for Securities Borrowing and Lending (SBL) transaction. Just like in the settlement of trades, it intends to act as central counterparty to SBL transactions of its Clearing Members. The full operations of the depository function of the SCCP will be critical in facilitating the SCCP's plan to become a central lending agent for securities borrowing and lending.

In the meantime, however, work on the multilateral SBL continues. The PSE Business Development Department (PSE-BDD) was tasked to increase the lender pool by engaging institutions who could participate in the securities lending program of the Exchange.

Upgrade of CCCS

In line with its objective of providing a more efficient and reliable system to its members and to be able to cope with the latest technology available in the market today, the SCCP has started the planning process to migrate the Central Clearing and Central Settlement (CCCS) to the latest Oracle Weblogic version and to a more robust multi-processor Intel Xeon machine. This project is expected to be completed in 2014.

Capital Markets Integrity Corporation

The Capital Markets Integrity Corporation (CMIC) was incorporated on March 14, 2011 and was granted Self-Regulatory Organization status on February 2, 2012. It is the independent audit, surveillance and compliance unit of the Philippine Stock Exchange. The CMIC is working towards a capital market industry that is fundamentally objective, integrally dynamic, and essentially progressive.

It is composed of three major departments: Surveillance Department (SD), Audit and Compliance Department (ACD), and Investigation and Enforcement Department (IED), all contributing to fulfill the group's role of protecting the interest of the investing public and maintaining the integrity of the market.

In pursuit of its goal, the SD, in 2013, investigated a total of 117 cases, of which, 26 were referred to IED.

The Audit and Compliance Department completed its regular audit of all 133 trading participants (TPs). Based on its 2012 and 2013 regular audits, the group identified TPs that need to be further audited for findings on the risk-based capital adequacy requirements. In 2013, the number of TPs that needed spot audit decreased by 44 percent, signaling a higher compliance from the previous year.

The IED, which conducts investigations and inquiries to determine possible violations of pertinent securities laws, resolved six investor complaints and 28 surveillance cases. Also, seven cases involving investors and beneficial owners were processed by IED and endorsed by CMIC to the Securities and Exchange Commission (SEC) for further investigation and/or action.

To improve compliance among TPs, the CMIC conducted the second of a series of seminars for TPs and other industry stakeholders to update them on current industry practices and developments in law relative to the capital markets.

In addition, the CMIC continued to provide training for its staff and personnel to equip them with the capabilities to adhere to the corporation's core standards and values of professionalism, integrity, teamwork, competence, honesty, and fairness. It sent two of its surveillance analysts from SD to Korea Exchange in Seoul, South Korea to participate in training activities relative to the Total Market Surveillance, the surveillance system that is customized to be responsive to the conditions of the Philippine stock market. CMIC's lawyers and auditors were also sent to relevant trainings spearheaded by various entities, including SEC, Philippine Institute of Certified Public Accountants, and Institute of Internal Auditors – Philippines.

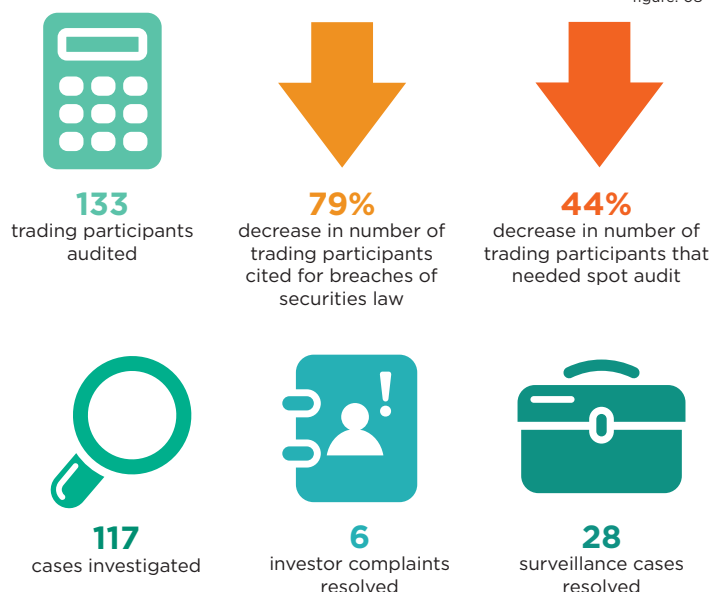
To further enhance the participation of industry stakeholders, CMIC is seeking amendments to its articles of incorporation and by-laws to enable it to include among its board of directors additional members who are knowledgeable of the capital markets and the stock brokerage business.

All told, the CMIC recorded a marked reduction in the number of TPs cited for breaches of the securities laws. Of the 133 TPs audited, only 10 percent or 13 were meted sanctions for violations, a marked decrease from the 44 percent or 59 at the end of 2012.

The CMIC looks forward to the day when all TPs will be compliant with set rules and regulations.



figure: 08



Information Required by The Securities Regulation Code

General Nature and Scope of Business of Registrant and Its Subsidiaries

The Philippine Stock Exchange, Inc. (PSE or Company) was incorporated on July 14, 1992 as a non-stock corporation and later became a stock corporation on August 3, 2001. On December 15, 2003, pursuant to the demutualization mandate of Republic Act No. 8799, or the Securities Regulation Code, the Company's outstanding capital stock was listed by way of introduction. On February 18, 2004, the Company sold 6,077,505 shares from its unissued stock to five strategic investors by way of private placement that was approved by the Securities and Exchange Commission. The strategic investors were the PLDT Beneficial Trust Fund, SMC Retirement Fund, Government Service Insurance System, Kim Eng Investment, Ltd., and KE Strategic Pte. Ltd.

The Company's revenues are primarily derived from listing-related fees. The Company charges listing fees for initial public offerings and additional listings, and for annual listing maintenance. Other sources of revenue are membership, transaction, data feed, and miscellaneous fees, which include service fees. Membership and transaction fees are charged to trading participants while data feed fees are collected from data vendors.

Subsidiary and Affiliates

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary organized primarily as a clearance, settlement and depository agency for SCCP-eligible trades executed through the facilities of the Company. SCCP is responsible for (a) synchronizing the settlement of funds for transactions of clearing members and the transfer of securities through Delivery versus Payment (DVP) clearing; (b) the administration of the Clearing and Trade Guaranty Fund (CTGF) and guaranteeing the settlement of trade through the implementation of its Fails Management System in the event of a Trading Participant's default; and (c) performance of Risk Management and Monitoring to ensure final and irrevocable settlement. Recently, the Securities and Exchange Commission provisionally granted SCCP the license to operate a depository.

The Capital Markets Integrity Corporation (CMIC) is another wholly-owned subsidiary. It functions as the independent audit, surveillance and compliance unit of the Company, having taken over the Market Regulation Division of the Company. CMIC operates to ensure the integrity of the capital market and has jurisdiction to investigate all violations of the Securities Regulation Code and CMIC Rules by Trading Participants, and investigate trading-related irregularities and unusual trading activities committed by Issuers. The Securities and Exchange Commission granted CMIC its authority to operate as the independent audit, surveillance and compliance unit of the Company with provisional self-regulatory organization status on February 2, 2012.

The Company is also a shareholder of the Philippine Dealing System Holdings Corporation (PDSHC), the holding company of the Philippine Dealing & Exchange Corporation (PDEX), otherwise known as the Fixed Income Exchange (FIE), the Philippine Depository & Trust Corp. (PDTC) and the Philippines Securities Settlement Corporation (PSSC). As of December 31, 2010, the Company is a stockholder of record of 1,311,439 shares, or 20.98 percent, of all of the issued and outstanding shares.

Properties

The Company is the registered owner of offices at the PSE Centre in Ortigas Center, Pasig City, and the PSE Plaza along Ayala Avenue, Makati City.

In addition, over a seven-year period beginning January 2005, the outstanding shares of Crescent West Development Corporation (CWDC), a subsidiary of Fort Bonifacio Development Corporation (FBDC) and the registered owner of a 2,182 square meter lot in Bonifacio Global City, will be transferred to the Company. In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Company, FBDC and Ayala Land, Inc. for the joint development of an office building in Bonifacio Global City to house the Company's headquarters, management offices and unified operations in equities and securities for the National Capital Region. The Company provisionally approved the relocation of its headquarters and offices to a new building located at Bonifacio Global City to be developed by Ayala Land, Inc.

Market Information

Principal market where the registrant's common equity is traded:

The common stock of the Company is listed in The Philippine Stock Exchange, Inc.

Stock Prices

The high and low prices of the Company's shares in the stock exchange for each quarter of fiscal years 2012 and 2013 are as follows:

2012	High	Low
Q1	P416.67	P193.50
Q2	P320.83	P285.00
Q3	P330.83	P291.33
Q4	P354.17	P304.17
2013	High	Low
Q1	P429.17	P340.83
Q2	P415.83	P308.50
Q3	P345.83	P294.17
Q4	P330.00	P292.67

The highest and lowest prices of the Company's shares during the year were P429.17 and P292.67, respectively. The stock price of the Company closed at P300.00 on March 14, 2014.

Dividends

Dividends per Share:

P20.00 in 2008.

P8.00 in 2009.

P10.00 in 2010.

P12.00 in 2011.

P7.00 in 2012.

P9.00 in 2013, broken down as P4.59 regular dividend and P4.41 special cash dividend to stockholders of record as of April 2, 2013 payable on April 26, 2013.

Dividend Policy

The Company adopts a policy for the declaration of regular cash dividend out of the unrestricted retained earnings equivalent to 50 percent of the Company's audited net income. The declaration of dividends is dependent on the cash flow, business plan and financial condition of the Company.

Recent Sale of Unregistered/Exempt Securities

The common shares granted to eligible employees pursuant to the Employee Stock Purchase Plan is an exempt transaction under Section 10.2 of the Securities Regulation Code, as stated under Resolution No. 179 Series of 2008 of the Securities and Exchange Commission.

Holders

The number of shareholders of record as of February 28, 2014 is 256. Total shares outstanding as of February 28, 2014 is 73,330,396 shares with a par value of P1.00.

The top 20 holders as of February 28, 2014 are as follows:

	Stockholder	Nationality	No. of Shares	Amount	Percentage
1	PCD Nominee Corp.	Filipino	48,982,951	48,982,951.00	66.80%
2	San Miguel Corporation Retirement Plan	Filipino	7,555,200	7,555,200.00	10.30%
3	The First Resources Management and Securities Corp.	Filipino	6,786,584	6,786,584.00	9.71%
4	Banco de Oro Trust Banking Group	Filipino	6,673,200	6,673,200.00	9.10%
5	Government Service Insurance System	Filipino	6,673,200	6,673,200.00	9.10%
6	PCD Nominee Corp.	Other Alien	5,186,065	5,186,065.00	7.07%
7	Ansaldo Godinez & Company, Inc.	Filipino	240,000	240,000.00	0.33%
8	Apex Phils. Equities Corporation	Filipino	240,000	240,000.00	0.33%
9	BDO Securities Corporation	Filipino	240,000	240,000.00	0.33%
10	Christfund Securities (Phils.), Inc.	Filipino	240,000	240,000.00	0.33%
11	DBS Vickers Securities (Phils.), Inc.	Filipino	240,000	240,000.00	0.33%
12	Deutsche Regis Partners, Inc.	Filipino	240,000	240,000.00	0.33%
13	FEB Stock Brokers, Inc.	Filipino	240,000	240,000.00	0.33%
14	Goldstar Securities, Inc.	Filipino	240,000	240,000.00	0.33%
15	Chan, Vicky L.	Filipino	240,000	240,000.00	0.33%
16	Chia Kim Teck	Singaporean	240,000	240,000.00	0.33%
17	Chilip, Christopher L.	Filipino	240,000	240,000.00	0.33%
18	Chong, Jose	Filipino	240,000	240,000.00	0.33%
19	Cruz, Ismael G.	Filipino	240,000	240,000.00	0.33%
20	Go, Genevieve W. J.	Filipino	240,000	240,000.00	0.33%

2013 Report of the Audit Committee

The Audit Committee is the body tasked with assisting the Board of Directors of the Exchange in the performance of its supervision and control over the financial reporting process, system of internal controls, audit process, and monitoring of compliance with applicable laws, rules and regulations. The Audit Committee directly exercises oversight authority over the financial management functions of the Exchange, as well as oversight and direct interface with its internal and external auditors. It is composed of six members and chaired by an independent director.

In accordance with its mandate, the Committee confirms that:

- It held a total of fifteen (15) meetings during the year, in which a majority of the members were present;
- It reviewed and endorsed to the Board of Directors the approval of the PSE Enterprise Risk Management (ERM) Framework as a means to strengthen the Exchange's processes of identifying, assessing, mitigating, monitoring and reporting its key risks;
- It discussed and approved the scope, frequency and risk-based audit plan of the Internal Audit Group of the Exchange as well as the engagement of Reyes, Tacandong & Co. to conduct an IT audit;
- It reviewed and approved the audit scope and approach of Punongbayan & Araullo, assessed their performance in relation to their engagement, and approved all audit services rendered for 2013, including the related fees for such services after concluding that such services do not impair their independence;
- It reviewed and discussed with management and Punongbayan & Araullo the annual consolidated financial statements of the Exchange, and its subsidiaries, the Securities Clearing Corporation of the Philippines and Capital Markets Integrity Corporation as of December 31, 2013, before submission to the Board.

The Committee performed this function in the following context:

Management retains primary responsibility for the financial statements and reporting process of the Exchange; and

Punongbayan & Araullo is responsible for expressing an opinion on the conformity of the annual consolidated financial statements with Philippine Financial Reporting Standards.

In keeping with the mandate of the Committee and based on the reviews and discussions undertaken, the Committee recommended to the Board of Directors of the Exchange – the inclusion of its audited consolidated financial statements as of December 31, 2013 in the Annual Report to the Stockholders; and the filing of the audited consolidated financial statements with the Securities and Exchange Commission.

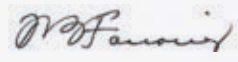
19 March 2014.



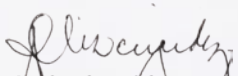
CORNELIO T. PERALTA
Committee Chairman



ANABELLE LIM-CHUA
Member



DAKILA B. FONACIER
Member



AMOR C. ILISCUPIDEZ
Member



EUSEBIO H. TANCO
Member



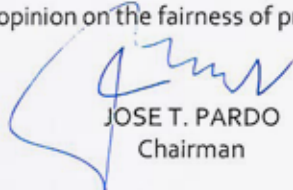
ALEJANDRO T. YU
Member

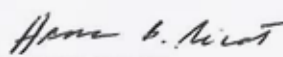
STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

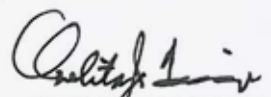
The management of The Philippine Stock Exchange, Inc. and Subsidiaries is responsible for the preparation and fair presentation of the consolidated financial statements, which comprise the consolidated balance sheets as at December 31, 2013 and 2012, and the consolidated statements of comprehensive income, statements of changes in equity and statements of cash flows for each of the three years in the period ended December 31, 2013, including the additional components attached therein, in accordance with Philippine Financial Reporting Standards. This responsibility includes designing and implementing internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The Board of Directors reviews and approves the financial statements and submits the same to the stockholders.

Punongbayan & Araullo, the independent auditors, appointed by the stockholders, has examined the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries in accordance with Philippine Standards on Auditing, and its report to the Board of Directors and stockholders, has expressed its opinion on the fairness of presentation upon completion of such examination.


JOSE T. PARDO
Chairman


HANS B. SICAT
President and Chief Executive
Officer


OMELITA J. TIANGCO
Treasurer

REPUBLIC OF THE PHILIPPINES)

CITY OF **MAKATI CITY**

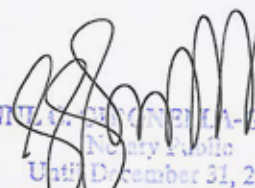
MAR 27 2014

SUBSCRIBED AND SWORN TO before me affiants presented to me the following competent evidence of their identity:

Name	Community Tax Certificate Number	Date and Place of Issuance	Government Issued ID
Jose T. Pardo	28165162	Jan. 13, 2014/ Muntinlupa City	Passport ID/ EB6622316/ 22-Oct-2017
Hans B. Sicat	22764300	Jan. 15, 2014/ Mandaluyong City	Passport ID/ EB3469834/ 23-Aug-2016
Omelita J. Tiangco	28840513	Jan. 15, 2014/ Las Piñas City	PRC ID/ 0030206/ 3-Sept- 2014

Doc. No. 159
Page No. 32
Book No. IV
Series of 2014




JOANNE C. GIRONELLA-GASTROCK
Notary Public
Until December 31, 2014
PTR # 4231153; 01-09-2014; Makati City
IBP # 954671; 01-09-2014; Quezon City
ROLL OF ATTORNEYS NO. 51986
NOTARIAL COMMISSION NO. M-248
5F MONTEPINO BLDG., 138 AMORSOLO ST.,
LEGASPI VILLAGE, MAKATI CITY

Report of Independent Auditors

**The Board of Directors and Stockholders
The Philippine Stock Exchange, Inc.
and Subsidiaries**

PSE Plaza, Ayala Triangle
Ayala Avenue, Makati City

We have audited the accompanying consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries which comprise the consolidated statement of financial position as at December 31, 2013, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Philippine Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with Philippine Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

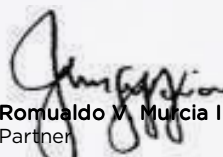
Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of The Philippine Stock Exchange, Inc. and Subsidiaries as at December 31, 2013, and their consolidated financial performance and their consolidated cash flows for the year then ended, in accordance with Philippine Financial Reporting Standards.

Other Matters

The consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries for the years ended December 31, 2012 and 2011 were audited by another auditor who expressed an unqualified opinion on those statements on March 13, 2013. As part of our audit of the 2013 consolidated financial statements, we also audited the adjustments described in Note 2 that were applied to the 2012 and 2011 consolidated financial statements. The consolidated statement of financial position as at December 31, 2011 was restated to come up with consolidated statement of financial position as at January 1, 2012 presented herein as corresponding figures. In our opinion, such adjustments are appropriate and have been properly applied. We were not engaged to audit, review, or apply any procedures to the 2012 and 2011 consolidated financial statements of The Philippine Stock Exchange, Inc. other than with respect to the adjustments discussed in Note 2 to the consolidated financial statements, and accordingly, we do not express an opinion or any other form of assurance on the 2012 and 2011 consolidated financial statements taken as a whole.

PUNONGBAYAN & ARAULLO


By: Romualdo V. Murcia III
Partner

CPA Reg. No. 0095626
TIN 906-174-059
PTR No. 4225011, January 2, 2014, Makati City
SEC Group A Accreditation
Partner - No. 0628-AR-2 (until Sept. 5, 2016)
Firm - No. 0002-FR-3 (until Jan. 18, 2015)
BIR AN 08-002511-22-2013 (until Nov. 7, 2016)
Firm's BOA/PRC Cert. of Reg. No. 0002 (until Dec. 31, 2015)

March 12, 2014

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2013
(With Comparative Figures as of December 31, 2012 and Corresponding Figures as of January 1, 2012)
(Amounts in Philippine Pesos)

	Notes	December 31, 2013	December 31, 2012 (As Restated - see Note 2)	January 1, 2012 (As Restated - see Note 2)
ASSETS				
CURRENT ASSETS				
Cash and cash equivalents	8	P 1,086,696,085	P 1,051,355,197	P 1,041,644,458
Trade and other receivables - net	9	190,594,179	87,089,598	72,441,798
Financial assets at fair value through profit or loss	10	374,277,271	274,585,220	207,881,747
Available-for-sale financial assets	11	-	-	42,342,741
Prepayments and other current assets	12	31,043,209	25,402,351	33,198,310
Total Current Assets		1,682,610,744	1,438,432,366	1,397,509,054
NON-CURRENT ASSETS				
Available-for-sale financial assets	11	626,008,883	327,847,291	167,407,020
Property and equipment - net	13	509,847,016	498,382,519	520,023,288
Investment in an associate	14	275,737,820	211,518,573	172,745,546
Deferred tax assets - net	24	26,881,507	9,931,538	22,206,988
Other non-current assets	15	31,373,834	33,366,945	11,110,473
Total Non-current Assets		1,469,849,060	1,081,046,866	893,493,315
TOTAL ASSETS		P 3,152,459,804	P 2,519,479,232	P 2,291,002,369
LIABILITIES AND EQUITY				
CURRENT LIABILITIES				
Trade and other payables	16	P 287,250,797	P 176,027,969	P 159,547,625
Income tax payable	2	93,680,491	31,454,623	45,456,302
Deferred fees and others	17	173,860,301	33,419,693	23,321,548
Total Current Liabilities		554,791,589	240,902,285	228,325,475
NON-CURRENT LIABILITIES				
Post-employment defined benefit obligation	23	33,249,397	16,184,497	46,688,558
Total Liabilities		588,040,986	257,086,782	275,014,033
EQUITY				
Capital stock	27	73,430,409	61,158,130	61,108,733
Additional paid-in capital		1,057,118,399	1,038,100,114	1,018,810,564
Treasury shares, at cost	27	(68,000,012)	(68,000,012)	(68,000,012)
Net unrealized gains on available-for-sale financial assets	11	6,422,857	13,243,674	5,062,059
Remeasurements of post-employment defined benefit obligation		(26,549,185)	(21,086,168)	(41,687,867)
Retained earnings	27	1,521,996,350	1,238,976,712	1,040,694,859
Total Equity		2,564,418,818	2,262,392,450	2,015,988,336
TOTAL LIABILITIES AND EQUITY		P 3,152,459,804	P 2,519,479,232	P 2,291,002,369

See Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2013
(With Comparative Figures for the Years Ended December 31, 2012 and 2011)
(Amounts in Philippine Pesos)

	Notes	2013	2012 (As Restated - see Note 2)	2011 (As Restated - see Note 2)
REVENUES	18	P 1,528,005,052	P 1,141,914,400	P 899,450,634
COSTS OF SERVICES	19	<u>187,943,825</u>	<u>176,954,410</u>	<u>167,365,578</u>
GROSS PROFIT		<u>1,340,061,227</u>	<u>964,959,990</u>	<u>732,085,056</u>
OTHER OPERATING EXPENSES (INCOME)				
Administrative expenses	20	340,027,698	321,376,444	268,766,891
Equity in net income of an associate	14	(40,848,060)	(38,773,027)	(30,064,062)
Other operating income - net	21	(26,468,135)	(1,851,964)	(1,437,021)
		<u>272,711,503</u>	<u>280,751,453</u>	<u>237,265,808</u>
OPERATING PROFIT		<u>1,067,349,724</u>	<u>684,208,537</u>	<u>494,819,248</u>
FINANCE INCOME (COSTS)	22			
Finance income		51,006,446	124,907,332	69,160,600
Finance costs		(1,420,286)	(5,083,704)	(2,246,198)
		<u>49,586,160</u>	<u>119,823,628</u>	<u>66,914,402</u>
PROFIT BEFORE TAX		<u>1,116,935,884</u>	<u>804,032,165</u>	<u>561,733,650</u>
TAX EXPENSE	24	<u>272,166,126</u>	<u>178,689,300</u>	<u>153,898,008</u>
NET PROFIT		<u>844,769,758</u>	<u>625,342,865</u>	<u>407,835,642</u>
OTHER COMPREHENSIVE INCOME (LOSS)				
Items that will not be reclassified subsequently to profit or loss:				
Remeasurements of defined benefit post-employment obligation	23	(7,164,813)	29,562,398	(16,503,838)
Tax income (expense)	24	2,834,716	(8,960,699)	4,779,659
Share in other comprehensive income of an associate - Remeasurements of post-employment defined benefit obligation	14	(1,132,920)	-	-
		<u>(5,463,017)</u>	<u>20,601,699</u>	<u>(11,724,179)</u>
Items that will be reclassified subsequently to profit or loss:				
Fair value gains (losses) on available-for-sale financial assets during the year	11	(11,349,782)	10,575,792	(13,291,870)
Tax income (expense)	24	<u>4,528,965</u>	<u>(2,394,177)</u>	<u>2,134,788</u>
		<u>(6,820,817)</u>	<u>8,181,615</u>	<u>(11,157,082)</u>
Total Other Comprehensive Income (Loss)		<u>(12,283,834)</u>	<u>28,783,314</u>	<u>(22,881,261)</u>
TOTAL COMPREHENSIVE INCOME		<u>P 832,485,924</u>	<u>P 654,126,179</u>	<u>P 384,954,381</u>
Earnings Per Share				
Basic/Diluted	28	<u>P 11.53</u>	<u>P 8.54</u>	<u>P 5.57</u>

See Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2013
(With Comparative Figures for the Years Ended December 31, 2012 and 2011)
(Amounts in Philippine Pesos)

	Notes	Capital Stock	Additional Paid-in Capital	Treasury Shares	Net Unrealized Gains on Available-for-Sale Financial Assets	Accumulated Actuarial Losses	Unappropriated	Appropriated	Retained Earnings	Donated Capital	Total	Total
Balance at January 1, 2013		P 61,258,130	P 1,038,100,114	(P 68,000,012)	P 13,243,674	P -	P 771,459,300	P 71,000,000	P 387,637,585	P 1,230,096,885	P 2,274,698,791	
As previously reported	2	-	-	-	-	(21,086,168)	8,779,827	-	-	8,779,827	(12,306,341)	
Effect of adoption of PAS 19 (Revised)	27	(100,000)	-	-	-	-	100,000	-	-	-	-	
Effect of correction of an error												
As restated		61,158,130	1,038,100,114	(68,000,012)	13,243,674	(21,086,168)	780,339,127	71,000,000	387,637,585	1,238,976,712	2,262,392,450	
Cash dividends	27	-	-	-	-	-	(549,528,444)	-	-	(549,528,444)	-	
Stock dividends	27	12,221,676	-	-	-	-	(12,221,676)	-	-	(12,221,676)	-	
Share-based payments	26	50,603	19,018,285	-	-	-	-	-	-	-	19,068,888	
Total comprehensive income (loss) for the year		-	-	-	(6,820,817)	(5,463,017)	844,769,758	-	-	844,769,758	832,485,924	
Balance at December 31, 2013		P 73,430,409	P 1,057,118,399	(P 68,000,012)	P 6,422,857	(P 26,549,185)	P 1,063,358,765	P 71,000,000	P 387,637,585	P 1,521,996,350	P 2,564,418,918	
Balance at January 1, 2012		P 61,208,733	P 1,018,810,564	(P 68,000,012)	P 5,062,059	(41,687,867)	P 574,354,178	P 71,000,000	P 387,637,585	P 1,032,991,763	P 2,050,073,107	
As previously presented	2	-	-	-	-	(41,687,867)	7,603,096	-	-	7,603,096	(34,084,771)	
Effect of adoption of PAS 19 (Revised)	27	(100,000)	-	-	-	-	100,000	-	-	-	-	
Effect of correction of an error												
As restated		61,108,733	1,018,810,564	(68,000,012)	5,062,059	(41,687,867)	582,057,274	71,000,000	387,637,585	1,040,594,859	2,015,988,336	
Cash dividends	27	-	-	-	-	-	(427,061,012)	-	-	(427,061,012)	-	
Share-based payments	26	49,397	19,289,550	-	-	-	-	-	-	-	19,338,947	
Total comprehensive income for the year		-	-	-	8,181,615	20,601,699	625,342,865	-	-	625,342,865	654,126,179	
Balance at December 31, 2012		P 61,158,130	P 1,038,100,114	(P 68,000,012)	P 13,243,674	(P 21,086,168)	P 780,339,127	P 71,000,000	P 387,637,585	P 1,238,876,712	P 2,262,392,450	
Balance at January 1, 2011		P 30,704,370	P 1,018,810,564	(P 68,000,007)	P 16,219,141	(29,963,688)	P 564,718,740	P 71,000,000	P 387,637,585	P 1,023,356,325	P 2,021,090,393	
As previously presented	2	-	-	-	-	(29,963,688)	5,959,611	-	-	5,959,611	(24,004,077)	
Effect of adoption of PAS 19 (Revised)	27	(100,000)	-	-	-	-	100,000	-	-	-	-	
Effect of correction of an error												
As restated		30,604,370	1,018,810,564	(68,000,007)	16,219,141	(29,963,688)	570,778,351	71,000,000	387,637,585	1,029,315,936	1,997,086,316	
Cash dividends	27	-	-	-	-	-	(366,052,356)	-	-	(366,052,356)	-	
Stock dividends	27	30,504,363	-	-	-	-	(30,504,363)	-	-	(30,504,363)	-	
Acquisition of treasury stock		-	-	(5)	-	-	-	-	-	-	(5)	
Total comprehensive income (loss) for the year		-	-	-	(11,157,082)	(11,724,179)	407,835,642	-	-	407,835,642	384,954,381	
Balance at December 31, 2011		P 61,108,733	P 1,018,810,564	(P 68,000,012)	P 5,062,059	(P 41,687,867)	P 582,057,274	P 71,000,000	P 387,637,585	P 1,040,594,859	P 2,015,988,336	

See Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2013
(With Comparative Figures for the Years Ended December 31, 2012 and 2011)
(Amounts in Philippine Pesos)

	Notes	2013	2012 (As Restated - see Note 2)	2011 (As Restated - see Note 2)
CASH FLOWS FROM OPERATING ACTIVITIES				
Profit before tax		P 1,116,935,884	P 804,032,165	P 561,733,650
Adjustments for:				
Depreciation	13, 20	80,683,875	77,327,730	75,117,275
Interest income	22	(43,070,419)	(54,770,921)	(59,761,719)
Share in net income of an associate	14	(40,848,060)	(38,773,027)	(30,064,062)
Reversal of impairment losses	11, 14	(24,684,106)	-	(2,721,640)
Dividend income	10, 22	(7,191,893)	(5,027,755)	(1,983,735)
Amortization of computer software	15	5,476,100	3,388,474	5,108,493
Share-based payment expense	26	2,457,259	2,560,331	-
Unrealized foreign currency exchange losses (gains) - net	22	(564,134)	2,555,313	438,224
Gain on sale of property and equipment	13	(171,189)	-	-
Fair value losses (gains) on financial assets at fair value through profit or loss	10, 22	158,381	(65,108,656)	(7,415,146)
Operating profit before working capital changes		1,089,181,698	726,183,654	540,451,340
Decrease (increase) in trade and other receivables - net		(101,302,879)	(15,957,756)	21,305,767
Decrease (increase) in prepayments and other current assets		(5,640,858)	7,795,959	(7,681,195)
Increase in trade and other payables		80,356,679	16,480,344	12,964,397
Increase (decrease) in deferred fees and others		140,440,608	10,098,145	(32,219,459)
Increase (decrease) in post-employment defined benefit obligation		8,767,167	(941,663)	22,219,944
Cash generated from operations		1,211,802,415	743,658,683	557,040,794
Cash paid for income taxes		(219,526,546)	(191,770,405)	(159,179,824)
Interest received		41,210,381	55,495,218	56,641,473
Net Cash From Operating Activities		1,033,486,250	607,383,496	454,502,443
CASH FLOWS FROM INVESTING ACTIVITIES				
Acquisitions of available-for-sale financial assets	11	(315,595,219)	(149,955,537)	(82,523,235)
Acquisitions of financial assets at fair value through profit or loss	10	(100,000,000)	-	(200,466,601)
Acquisitions of property and equipment	13	(75,677,300)	(61,891,194)	(37,158,219)
Proceeds from disposal of property and equipment	13	14,566,266	6,204,233	12,419,885
Proceeds from sale of available-for-sale financial assets		6,263,845	42,433,799	824,108,564
Dividends received		7,341,461	3,432,938	2,010,485
Additions to computer software	15	(3,626,868)	(24,637,095)	-
Decrease (increase) in other non-current assets		1,541,634	(703,628)	46,096,239
Net Cash From (Used) in Investing Activities		(465,186,181)	(185,116,485)	564,487,118
CASH FLOWS FROM FINANCING ACTIVITIES				
Dividends paid	27	(549,528,444)	(427,061,012)	(366,052,356)
Proceeds from share-based payments	26	16,346,793	16,474,393	-
Acquisition of treasury stock	27	-	-	(5)
Net Cash Used in Financing Activities		(533,181,651)	(410,586,619)	(366,052,361)
Effect of Exchange Rate Changes on Cash		222,470	(1,969,654)	438,224
NET INCREASE IN CASH AND CASH EQUIVALENTS		35,340,888	9,710,739	652,498,976
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR		1,051,355,197	1,041,644,458	389,145,482
CASH AND CASH EQUIVALENTS AT END OF YEAR		P 1,086,696,085	P 1,051,355,197	P 1,041,644,458

Supplemental Information on Non-cash Investing Activity

During the year ended December 31, 2013, the Group has acquisitions of property and equipment amounting to P30,866,149 which remained unpaid as at the end of the year and are recorded under Trade Payables in the 2013 consolidated statement of financial position (see Note 16).

See Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2013
(With Comparative Figures as of and for the Years Ended
December 31, 2012 and 2011)
(Amounts in Philippine Pesos)

1. CORPORATE INFORMATION

1.1 Company Background

The Philippine Stock Exchange, Inc. (the Exchange or the Parent Company) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on July 14, 1992 as a non-stock corporation. On August 8, 2001, the Exchange was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of P36.8 million divided into 36.8 million shares with a par value of P1 per share as prescribed by Republic Act No. 8799 entitled "Securities Regulation Code" (SRC) and pursuant to a conversion plan approved by the SEC (see Note 27.1).

On December 15, 2003, the Exchange's shares of stocks were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Exchange into a stock corporation. All of the Exchange's common shares of stock are listed at the local stock market.

The Exchange is presently engaged in providing and maintaining a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments.

The Exchange currently maintains two trading floors, one at the PSE Centre (Tektite), Ortigas Center in Pasig City, and one at the Ayala Tower One in Makati City's Central Business District. Its registered office, which is also its principal place of business, is located at PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City.

1.2 Subsidiaries, Associate, and their Operations

As of December 31, the Exchange holds interest in the following entities which are all incorporated in the Philippines:

Subsidiaries/Associate	Explanatory Notes	Percentage of Ownership		
		2013	2012	2011
Subsidiaries:				
Securities Clearing Corporation of the Philippines (SCCP)	(a)	100.00%	100.00%	100.00%
Capital Markets Integrity Corporation (CMIC)	(b)	100.00%	100.00%	100.00%
Associate –				
Philippine Dealing System Holdings Corp. (PDSHC)	(c)	20.98%	20.98%	20.98%

(a) SCCP was incorporated and registered with the SEC on January 23, 1996 as a domestic corporation. It is organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment (DVP) trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and, (3) risk monitoring and management. To ensure compliance of clearing members, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD). SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency." The registered office of SCCP, which is also its principal place of business, is located at 2nd floor, Tower 1, Ayala Triangle, Ayala Avenue, Makati City.

(b) CMIC was incorporated and registered with the SEC on March 14, 2011 as a domestic stock corporation and started operations on April 1, 2011. It is organized primarily to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange. The registered office of CMIC, which is also its principal place of business, is located at 27th Floor, Tower 1, Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City.

- (c) PDSHC was incorporated and registered with the SEC on April 24, 2001 as a domestic corporation. It is organized primarily to invest in, purchase, or otherwise hold, use, sell, assign, transfer, mortgage, pledge, exchange or otherwise dispose of shares of stock in exchanges as defined in the SRC or other laws as well as in one or more corporations which will provide depository, registry, clearing, settlement, custody, securities borrowing and lending, information technology, and other support services for the exchange or for the other exchanges of securities or monetary transactions or platforms. The registered office of PDSHC, which is also its principal place of business, is located at the 37th Floor, The Enterprise Center, 6766 Ayala Avenue, Makati City.

1.3 Approval of the Consolidated Financial Statements

The consolidated financial statements of the Exchange and its subsidiaries (collectively referred to as the Group) as of and for the year ended December 31, 2013 (including the comparative consolidated financial statements for December 31, 2012 and 2011 and the corresponding consolidated figures as of January 1, 2012) were authorized for issue by the Parent Company's BOD on March 12, 2014.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies that have been used in the preparation of these consolidated financial statements are summarized below and in the succeeding pages. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation of Consolidated Financial Statements

(a) Statement of Compliance with Philippine Financial Reporting Standards

The consolidated financial statements of the Group have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). PFRS are adopted by the Financial Reporting Standards Council from the pronouncements issued by the International Accounting Standards Board (IASB).

The consolidated financial statements have been prepared using the measurement bases specified by PFRS for each type of asset, liability, income and expense. The measurement bases are more fully described in the accounting policies that follow.

(b) Presentation of the Consolidated Financial Statements

The consolidated financial statements are presented in accordance with Philippine Accounting Standard (PAS) 1, *Presentation of Financial Statements*. The Group presents all items of income and expense in a single consolidated statement of comprehensive income

The Group presents a third statement of financial position as at the beginning of the preceding period when it applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items that has a material effect on the information in the statement of financial position at the beginning of the preceding period. The related notes to the third statement of financial position are not required to be disclosed.

The Group's adoption of PAS 19 (Revised), *Employee Benefits*, resulted in material retrospective restatements on certain accounts in the comparative financial statements for December 31, 2012 and in the corresponding figures as of January 1, 2012 [see Note 2.2(a)(ii)]. Accordingly, the Group presents a third consolidated statement of financial position as of January 1, 2012 without the related notes, except for the disclosures required under PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*.

(c) Functional and Presentation Currency

These consolidated financial statements are presented in Philippine pesos, the Group's functional and presentation currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the consolidated financial statements of the Group are measured using the Group's functional currency. Functional currency is the currency of the primary economic environment in which the Group operates.

2.2 Adoption of New and Amended PFRS

(a) Effective in 2013 that are Relevant to the Group

In 2013, the Group adopted for the first time the following new PFRS, revisions, amendments and improvements thereto that are relevant to the Group and effective for consolidated financial statements for the annual periods beginning on or after July 1, 2012 or January 1, 2013:

PAS 1 (Amendment)	:	Presentation of Financial Statements - Presentation of Items of Other Comprehensive Income
PAS 19 (Revised)	:	Employee Benefits
Consolidation Standards	:	
PFRS 10	:	Consolidated Financial Statements
PFRS 12	:	Disclosure of Interests in Other Entities
PAS 27 (Revised)	:	Separate Financial Statements
PAS 28 (Revised)	:	Investments in Associate and Joint Venture
PFRS 10 and 12 (Amendment)	:	Amendments to PFRS 10 and 12 - Transition Guidance to PFRS 10 and 12
PFRS 7 (Amendment)	:	Financial Instruments: Disclosures - Offsetting Financial Assets and Financial Liabilities
PFRS 13	:	Fair Value Measurement
Annual Improvements	:	Annual Improvements to PFRS (2009 - 2011 Cycle)

Discussed below are the relevant information about these new, revised and amended standards.

- (i) PAS 1 (Amendment), *Presentation of Financial Statements - Presentation of Items of Other Comprehensive Income* (effective from July 1, 2012). The amendment requires an entity to group items presented in other comprehensive income into those that, in accordance with other PFRS: (a) will not be reclassified subsequently to profit or loss; and, (b) will be reclassified subsequently to profit or loss when specific conditions are met. The amendment has been applied retrospectively, hence, the presentation of other comprehensive income has been modified to reflect the changes. In 2013, the Group opted to present a single consolidated statement of comprehensive income. Prior period comparatives have been restated as a consequence of this change in presentation.
- (ii) PAS 19 (Revised 2011), *Employee Benefits* (effective from January 1, 2013). This revised standard made a number of changes to the accounting for employee benefits. The most significant changes relate to defined benefit plans as follows:
 - eliminates the corridor approach and requires the recognition of remeasurements (including actuarial gains and losses) arising in the reporting period in other comprehensive income;
 - changes the measurement and presentation of certain components of the defined benefit cost. The net amount in profit or loss is affected by the removal of the expected return on plan assets and interest cost components and their replacement by a net interest expense or income based on the net defined benefit liability or asset; and,
 - enhances disclosure requirements, including information about the characteristics of defined benefit plans and the risks that entities are exposed to through participation in those plans.

The Group has applied PAS 19 (Revised) retrospectively in accordance with its transitional provisions. Consequently, it restated the comparative financial statements for December 31, 2012 and the corresponding figures as of January 1, 2012. The effect of the restatement on the affected assets, liabilities, and equity components as shown below.

		December 31, 2012		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Changes in asset and liability:</i>				
Deferred tax assets	P	6,268,914	P 3,662,624	P 9,931,538
Post-employment defined benefit obligation	(	215,532)	(15,968,965)	(16,184,497)
Net decrease in equity			(P 12,306,341)	
<i>Changes in components of equity:</i>				
Remeasurements of post-employment defined benefit obligation	P	-	(P 21,086,168)	(P 21,086,168)
Retained earnings		1,230,196,885	8,779,827	1,238,976,712
Net decrease in equity			(P 12,306,341)	
		January 1, 2012		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Changes in asset and liability:</i>				
Deferred tax assets	P	9,149,514	P 13,057,474	P 22,206,988
Post-employment defined benefit obligation		453,687	(47,142,245)	(46,688,558)
Net decrease in equity			(P 34,084,771)	
<i>Changes in components of equity:</i>				
Remeasurements of post-employment defined benefit obligation	P	-	(P 41,687,867)	(P 41,687,867)
Retained earnings		1,033,091,763	7,603,096	1,040,694,859
Net decrease in equity			(P 34,084,771)	

The effects of the adoption of PAS 19 (Revised) on the consolidated statement of profit or loss and consolidated statement of comprehensive income for the years ended December 31, 2012 and 2011 are shown below.

		December 31, 2012		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Changes in profit or loss:</i>				
Administrative expenses	(P	320,201,868)	(P 1,174,576)	(P 321,376,444)
Finance costs	(	7,435,011)	2,351,307	(5,083,704)
Net increase in net profit			P 1,176,731	
<i>Changes in other comprehensive income:</i>				
Remeasurements of post-employment defined benefit obligation - net of tax	P	-	P 20,601,699	P 20,601,699
		December 31, 2011		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Changes in profit or loss:</i>				
Cost of services	(P	166,935,700)	(P 429,878)	(P 167,365,578)
Administrative expenses	(	269,212,936)	446,045	(268,766,891)
Finance costs	(	3,873,516)	1,627,318	(2,246,198)
Net increase in net profit			P 1,643,485	
<i>Changes in other comprehensive income:</i>				
Remeasurements of post-employment defined benefit obligation - net of tax	P	-	(P 11,724,179)	(P 11,724,179)

The prior period adjustments have the following effect on the 2012 and 2011 consolidated statement of cash flows:

		December 31, 2012		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Changes in cash flows:</i>				
Profit before tax	P	802,421,278	P 1,610,887	P 804,032,165
Post-employment defined benefit obligation		669,224	(1,610,887)	(941,663)
		December 31, 2011		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Changes in cash flows:</i>				
Profit before tax	P	559,422,316	P 2,311,334	P 561,733,650
Post-employment defined benefit obligation		24,531,278	(2,311,334)	22,219,944

The prior period adjustment has the following effect on the 2012 and 2011 basic and diluted earnings per share:

		December 31, 2012		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Change in earnings per share:</i>				
Net profit attributable to parent company's shareholders	P	624,166,134	P 1,176,731	P 625,342,865
Divided by the weighted average number of issued and outstanding common shares		<u>73,230,397</u>	<u>-</u>	<u>73,230,397</u>
	P	<u>8.52</u>	<u>P 1,176,731</u>	<u>P 8.54</u>
		December 31, 2011		
		As Previously Reported	Effect of Adoption of PAS 19 (Revised)	As Restated
<i>Change in earnings per share:</i>				
Net profit attributable to parent company's shareholders	P	406,192,157	P 1,643,485	P 407,835,642
Divided by the weighted average number of issued and outstanding common shares		<u>73,261,515</u>	<u>-</u>	<u>73,261,515</u>
	P	<u>5.54</u>	<u>P 1,643,485</u>	<u>P 5.57</u>

The weighted average number of issues and outstanding common shares for 2012 and 2011 were also restated for the effect of 20% stock dividends declared in 2013.

(iii) Consolidation, Joint Arrangements, Associates and Disclosures

This package of consolidation, joint arrangements, associates and disclosures standards comprise of PFRS 10, *Consolidated Financial Statements*, PFRS 11, *Joint Arrangements*, PFRS 12, *Disclosure of Interests in Other Entities*, PAS 27 (Revised 2011), *Separate Financial Statements* and PAS 28 (Revised 2011), *Investments in Associates and Joint Ventures*. In 2013, the Group has adopted the following consolidation standards that are relevant to the Group and effective as of January 1, 2013:

- PFRS 10 changes the definition of control focusing on three elements which determines whether the investor has control over the investee such as the (a) power over the investee; (b) exposure or rights to variable returns from involvement with the investee; and, (c) ability to use such power to affect the returns. This standard also provides additional guidance to assist in determining controls when this is difficult to assess, particularly in situation where an investor that owns less than 50% of the voting rights in an investee may demonstrate control to the latter.
- PFRS 12 integrates and makes consistent the disclosure requirements for entities that have interest in subsidiaries, joint arrangements, associates, special purpose entities and unconsolidated structured entities. In general, this requires more extensive disclosure about the risks to which an entity is exposed from its involvement with structured entities.

- PAS 27 (Revised) deals with the requirements pertaining solely to separate financial statements after the relevant discussions on control and consolidated financial statements have been transferred and included in PFRS 10, while PAS 28 (Revised) includes the requirements for joint ventures, as well as for associates, to be accounted for using the equity method following the issuance of PFRS 11.

Subsequent to the issuance of these standards, amendments to PFRS 10 and PFRS 12 were issued to clarify certain transitional guidance for the first-time application of the standards. The guidance clarifies that an entity is not required to apply PFRS 10 retrospectively in certain circumstances and clarifies the requirements to present adjusted comparatives. The guidance also made changes to PFRS 10 and PFRS 12 which provide similar relief from the presentation or adjustment of comparative information for periods prior to the immediately preceding period. Further, it provides relief by removing the requirement to present comparatives for disclosures relating to unconsolidated structured entities for any period before the first annual period for which PFRS 12 is applied.

The Group has evaluated the various facts and circumstances related to its interests in other entities and have determined that the adoption of the foregoing standards, revisions and amendments had no material impact on the amounts recognized in the consolidated financial statements. Additional information, however, are disclosed in compliance with the requirements of PAS 27 (Revised) with respect to principal place of business and incorporation of the significant subsidiaries and associates (see Note 1.2).

- (iv) PFRS 7 (Amendment), *Financial Instruments: Disclosures – Offsetting of Financial Assets and Financial Liabilities* (effective from January 1, 2013). The amendment requires qualitative and quantitative disclosures relating to gross and net amounts of recognized financial instruments that are set-off in accordance with PAS 32, *Financial Instruments: Presentation*. The amendment also requires disclosure of information about recognized financial instruments which are subject to enforceable master netting arrangements or similar agreements, even if they are not set-off in the statement of financial position, including those which do not meet some or all of the offsetting criteria under PAS 32 and amounts related to a financial collateral. These disclosures allow financial statement users to evaluate the effect or potential effect of netting arrangements, including rights of set-off associated with recognized financial assets and financial liabilities on the entity's statement of financial position. This amendment did not have a significant impact on the Group's consolidated financial statements as the Group is not setting off financial instruments in accordance with PAS 32 and does not have relevant offsetting arrangements.
- (v) PFRS 13, *Fair Value Measurement* (effective from January 1, 2013). This new standard clarifies the definition of fair value and provides guidance and enhanced disclosures about fair value measurements. The requirements under this standard do not extend the use of fair value accounting but provide guidance on how it should be applied to both financial instrument items and non-financial items for which other PFRS require or permit fair value measurements or disclosures about fair value measurements, except in certain circumstances. This new standard applies prospectively from annual period beginning January 1, 2013; hence, disclosure requirements need not be presented in the comparative information in the first year of operation. Other than the additional disclosure presented in Note 6, the application of this new standard had no significant impact on the amounts recognized in the consolidated financial statements.
- (vi) 2009-2011 Annual Improvements to PFRS. Annual Improvements to PFRS (2009-2011 Cycle) made minor amendments to a number of PFRS. Among those improvements, the following amendments are relevant to the Group but management does not expect a material impact on the Group's consolidated financial statements:
 - (a) PAS 1 (Amendment), *Presentation of Financial Statements – Clarification of the Requirements for Comparative Information*. The amendment clarifies that a statement of financial position at the beginning of the preceding period (third statement of financial position) is required when an entity applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items that has a material effect on the information in the third statement of financial position. The amendment specifies that other than disclosures of certain specified information in accordance with PAS 8, related notes to the opening statement of financial position are not required to be presented.

Consequent to the Group's adoption of PAS 19 (Revised) in the current year which resulted in retrospective restatement of the prior years' consolidated financial statements, the Group has presented a third consolidated statement of financial position as of January 1, 2012 without the related notes, except for the disclosure requirements of PAS 8.

- (b) PAS 16 (Amendment), *Property, Plant and Equipment – Classification of Servicing Equipment*. The amendment addresses a perceived inconsistency in the classification requirements for servicing equipment which resulted in classifying servicing equipment as part of inventory when it is used for more than one period. It clarifies that items such as spare parts, stand-by equipment and servicing equipment shall be recognized as property, plant and equipment when they meet the definition of property, plant and equipment, otherwise, these are classified as inventory. This amendment had no impact on the Group's consolidated financial statements since it has been recognizing those servicing equipment in accordance with the recognition criteria under PAS 16.
- (c) PAS 32 (Amendment), *Financial Instruments – Presentation – Tax Effect of Distributions to Holders of Equity Instruments*. The amendment clarifies that the consequences of income tax relating to distributions to holders of an equity instrument and to transaction costs of an equity transaction shall be accounted for in accordance with PAS 12, *Income Taxes*. Accordingly, income tax relating to distributions to holders of an equity instrument is recognized in profit or loss while income tax related to the transaction costs of an equity transaction is recognized in equity. This amendment had no effect on the Group's consolidated financial statements as it has been recognizing the effect of distributions to holders of equity instruments and transaction costs of an equity transaction in accordance with PAS 12.
- (d) PAS 34 (Amendment), *Interim Financial Reporting and Segment Information for Total Assets and Liabilities* (effective from January 1, 2013). This standard clarifies the requirements on segment information for total assets and liabilities for each reportable segment to enhance consistency with the requirements in paragraph 23 of International Financial Reporting Standard (IFRS) 8, *Operating Segments*. It also clarifies that the total assets and liabilities for a particular reportable segment are required to be disclosed if, and only if: (a) a measure of total assets or of total liabilities (or both) is regularly provided to the chief operating decision maker; and, (b) there has been a material change from those measures disclosed in the last annual financial statements for that reportable segment. This standard did not have significant impact on the Group's consolidated financial statements as it does not present segment information.

(b) *Effective in 2013 that are not Relevant to the Group*

The following new PFRS, amendments and interpretation to PFRS are mandatory for accounting periods beginning on or after January 1, 2013 but are not relevant to the Group's consolidated financial statements:

PFRS 1 (Amendment)	:	First-time Adoption of PFRS – Government Loans
Annual Improvement		
PFRS 1 (Amendment)	:	First-time Adoption of PFRS – Government Loans, and Repeated Application of PFRS 1 and Borrowing Costs
Philippine Interpretation		
International Financial Reporting Interpretations Committee 20	:	Stripping Costs in the Production Phase of a Surface Mine

(c) *Effective Subsequent to 2013 but not Adopted Early*

There are new PFRS, amendments, annual improvements and interpretations to existing standards that are effective for periods subsequent to 2013. Management has initially determined the following pronouncements, which the Group will apply in accordance with their transitional provisions, to be relevant to its consolidated financial statements:

- (i) PAS 19 (Amendment), *Employee Benefits – Defined Benefit Plans – Employee Contributions* (effective from January 1, 2014). The amendment clarifies that if the amount of the contributions from employees or third parties is dependent on the number of years of service, an entity shall attribute the contributions to periods of service using the same attribution method (i.e., either using the plan's contribution formula or on a straight-line basis) for the gross benefit. Management has initially determined that this amendment will have no impact on the Group's consolidated financial statements.

- (ii) PAS 32 (Amendment), *Financial Instruments: Presentation – Offsetting Financial Assets and Financial Liabilities* (effective from January 1, 2014). The amendment provides guidance to address inconsistencies in applying the criteria for offsetting financial assets and financial liabilities. It clarifies that a right of set-off is required to be legally enforceable, in the normal course of business; in the event of default; and in the event of insolvency or bankruptcy of the entity and all of the counterparties. The amendment also clarifies the principle behind net settlement and provided characteristics of a gross settlement system that would satisfy the criterion for net settlement. The Group does not expect this amendment to have a significant impact on its consolidated financial statements.
- (iii) PAS 36 (Amendment), *Impairment of Assets – Recoverable Amount Disclosures for Non-financial Assets* (effective from January 1, 2014). The amendment clarifies that the requirements for the disclosure of information about the recoverable amount of assets or cash-generating units is limited only to the recoverable amount of impaired assets that is based on fair value less cost of disposal. It also introduces an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount based on fair value less cost of disposal is determined using a present value technique. Management will reflect in its subsequent years' consolidated financial statements the changes arising from this relief on disclosure requirements, if the impact of the amendment will be applicable.
- (iv) PFRS 9, *Financial Instruments: Classification and Measurement*. This is the first part of a new standard on financial instruments that will replace PAS 39, *Financial Instruments: Recognition and Measurement*, in its entirety. The first phase of the standard was issued in November 2009 and October 2010 and contains new requirements and guidance for the classification, measurement and recognition of financial assets and financial liabilities. It requires financial assets to be classified into two measurement categories: amortized cost or fair value. Debt instruments that are held within a business model whose objective is to collect the contractual cash flows that represent solely payments of principal and interest on the principal outstanding are generally measured at amortized cost. All other debt instruments and equity instruments are measured at fair value. In addition, PFRS 9 allows entities to make an irrevocable election to present subsequent changes in the fair value of an equity instrument that is not held for trading in other comprehensive income.

The accounting for embedded derivatives in host contracts that are financial assets is simplified by removing the requirement to consider whether or not they are closely related, and, in most arrangements, does not require separation from the host contract.

For liabilities, the standard retains most of the PAS 39 requirements which include amortized cost accounting for most financial liabilities, with bifurcation of embedded derivatives. The main change is that, in case where the fair value option is taken for financial liabilities, the part of a fair value change due to the liability's credit risk is recognized in other comprehensive income rather than in profit or loss, unless this creates an accounting mismatch.

In November 2013, the IASB has published amendments to IFRS 9 that contain new chapter and model on hedge accounting that provides significant improvements principally by aligning hedge accounting more closely with the risk management activities undertaken by entities when hedging their financial and non-financial risk exposures. The amendment also now requires changes in the fair value of an entity's own debt instruments caused by changes in its own credit quality to be recognized in other comprehensive income rather than in profit or loss. It also includes the removal of the January 1, 2015 mandatory effective date of IFRS 9.

To date, the remaining chapter of IFRS/PFRS 9 dealing with impairment methodology is still being completed. Further, the IASB is currently discussing some limited modifications to address certain application issues regarding classification of financial assets and to provide other considerations in determining business model.

The Group does not expect to implement and adopt PFRS 9 until its effective date. In addition, management is currently assessing the impact of PFRS 9 on the consolidated financial statements of the Group and it plans to conduct a comprehensive study of the potential impact of this standard prior to its mandatory adoption date to assess the impact of all changes.

- (v) PFRS 10, 12 and PAS 27 (Amendments) - *Investment Entities* (effective from January 1, 2014). The amendments define the term "investment entities," provide supporting guidance, and require investment entities to measure investments in the form of controlling interest in another entity, at fair value through profit or loss.

Management does not anticipate this amendment to have a material impact on the Group's consolidated financial statements.

- (vi) Annual Improvements to PFRS. Annual Improvements to PFRS (2010-2012 Cycle) and PFRS (2011-2013 Cycle) made minor amendments to a number of PFRS, which are effective for annual period beginning on or after July 1, 2014. Among those improvements, the following amendments are relevant to the Group but management does not expect a material impact on the Group's consolidated financial statements:

Annual Improvements to PFRS (2010-2012 Cycle)

- (a) PAS 16 (Amendment), *Property, Plant and Equipment* and PAS 38 (Amendment), *Intangible Assets*. The amendments clarify that when an item of property, plant and equipment, and intangible assets is revalued, the gross carrying amount is adjusted in a manner that is consistent with a revaluation of the carrying amount of the asset.
- (b) PAS 24 (Amendment), *Related Party Disclosures*. The amendment clarifies that an entity providing key management services to a reporting entity is deemed to be a related party of the latter. It also requires and clarifies that the information required to be disclosed in the financial statements are the amounts incurred by the reporting entity for key management personnel services that are provided by a separate management entity and not the amounts of compensation paid or payable by the key management entity to its employees or directors.
- (c) PFRS 13 (Amendment), *Fair Value Measurement*. The amendment, through a revision only in the basis of conclusion of PFRS 13, clarifies that issuing PFRS 13 and amending certain provisions of PFRS 9 and PAS 39 related to discounting of financial instruments, did not remove the ability to measure short-term receivables and payables with no stated interest rate on an undiscounted basis, when the effect of not discounting is immaterial.

Annual Improvement to PFRS (2011-2013 Cycle)

PFRS 13 (Amendment), *Fair Value Measurement*. The amendment clarifies that the scope of the exception for measuring the fair value of a group of financial assets and financial liabilities on a net basis (the portfolio exception) applies to all contracts within the scope of, and accounted for in accordance with, PAS 39 or PFRS 9, regardless of whether they meet the definition of financial assets or financial liabilities as defined in PAS 32.

2.3 Basis of Consolidation

The Parent Company obtains and exercises control through voting rights. The Group's consolidated financial statements comprise the accounts of the Parent Company and its subsidiaries (see Note 1), after the elimination of material intercompany transactions. All intercompany balances and transactions with subsidiaries, including income, expenses and dividends, are eliminated in full. Unrealized profits and losses from intercompany transactions that are recognized in assets are also eliminated in full. Intercompany losses that indicate impairment are recognized in the consolidated financial statements.

The financial statements of subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting principles.

The Parent Company accounts for its investments in subsidiaries and an associate as follows:

(a) Investments in Subsidiaries

Subsidiaries are entities over which the Parent Company has the power to control the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. The Parent Company controls an entity when (i) it has power over the entity, (ii) it is exposed, or has rights to, variable returns from its involvement with the entity; and, (iii) it has the ability to affect those returns through its power over the entity. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Parent Company controls another entity. Subsidiaries are consolidated from the date the Parent Company obtains control. The Parent Company reassesses whether or not it controls an entity if facts and circumstances indicate that there are changes to one or more of the three elements of controls indicated above. Accordingly, entities are deconsolidated from the date that control ceases.

The acquisition method is applied to account for acquired subsidiaries. This requires recognizing and measuring the identifiable assets acquired, the liabilities assumed and any noncontrolling interest in the acquiree. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred and the equity interests issued by the Parent Company, if any. The consideration transferred also includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Acquisition-related costs are expensed as incurred and subsequent change in the fair value of contingent consideration is recognized directly in profit or loss.

The excess of the consideration transferred and the acquisition-date fair value of any existing equity interest in the acquiree over the acquisition-date fair value of the identifiable net assets acquired is recognized as goodwill. If the consideration transferred is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognized directly in profit or loss as gain.

(b) Investment in an Associate

Associate is an entity over which the Parent Company is able to exert significant influence but not control and is neither a subsidiary nor an interest in a joint venture. Investment in an associate is initially recognized at cost and subsequently accounted for in the consolidated financial statements using the equity method.

Acquired investments in associates are also subject to purchase accounting. However, any goodwill or fair value adjustment attributable to the share in the associate is included in the amount recognized as investment in associates. All subsequent changes to the share in the equity of the associate are recognized in the carrying amount of the Parent Company's investment. Changes resulting from the profit or loss generated by the associate are reported as Equity in Net Income of an Associate in the Group's consolidated profit or loss.

Changes resulting from other comprehensive income of the associate or items that have been directly recognized in the associate's equity, for example, resulting from the associate's accounting for available-for-sale (AFS) financial assets, are recognized in other comprehensive income of the Group. Any distributions received from the associate (e.g., dividends) are recognized as reduction in the carrying amount of investment in an associate.

When the Parent Company's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Parent Company does not recognize further losses, unless it has incurred obligations or made payments on behalf of the associate. If the associate subsequently reports profits, the Parent Company recognizes its share on those profits only after its share of the profits exceeds the accumulated share of losses that has previously not been recognized.

In computing the Parent Company's share in net profit or loss of an associate, unrealized gains or losses on transactions between the Parent Company and its associates are eliminated to the extent of the Parent Company's interest in the associate. Unrealized losses are also eliminated, unless the transaction provides evidence of an impairment of the assets transferred. Accounting policies of associates have been changed when necessary to ensure consistency with the policies adopted by the Group.

2.4 Financial Assets

Financial assets are recognized when the Group becomes a party to the contractual terms of the financial instrument. Financial assets other than those designated and effective as hedging instruments are classified into the following categories: financial assets at fair value through profit or loss (FVTPL), loans and receivables, held-to-maturity investments and AFS financial assets. Financial assets are assigned to the different categories by management on initial recognition, depending on the purpose for which the investments were acquired.

Regular purchases and sales of financial assets are recognized on their trade date. All financial assets that are not classified as at FVTPL are initially recognized at fair value plus any directly attributable transaction costs. Financial assets carried at FVTPL are initially recorded at fair value and the related transaction costs are recognized in profit or loss.

The relevant financial assets of the Group are categorized as follows:

(a) Financial Assets at FVTPL

This category includes financial assets that are either classified as held for trading or that meets certain conditions and are designated by the entity to be carried at fair value through profit or loss upon initial recognition. Assets in this category are classified as current if they are either held for trading or are expected to be realized within 12 months from the end of the reporting period.

Financial assets at FVTPL are measured at fair value, and changes therein are recognized in profit or loss. Financial assets (except derivatives and financial instruments originally designated as financial assets at FVTPL) may be reclassified out of FVTPL category if they are no longer held for the purpose of being sold or repurchased in the near term.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivables. They are included in current assets, except for maturities greater than 12 months after the reporting period which are classified as non-current assets.

The Group's financial assets categorized as loans and receivables include Cash and Cash Equivalents, Trade and Other Receivables, Refundable deposits (presented as part of Prepayments and Other Current Assets), and Deposits in banks (presented as part of Other Non-current Assets) in the consolidated statement of financial position. Cash and cash equivalents include cash on hand, demand deposits and short-term, highly liquid investments with original maturities of three months or less, readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value.

Loans and receivables are subsequently measured at amortized cost using the effective interest method, less impairment losses, if any. Impairment loss is provided when there is objective evidence that the Group will not be able to collect all amounts due to it in accordance with the original terms of the receivables. The amount of the impairment loss is determined as the difference between the assets' carrying amount and the present value of estimated cash flows (excluding future credit losses that have not been incurred), discounted at the financial asset's original effective interest rate or current effective interest rate determined under the contract if the loan has a variable interest rate.

(c) *AFS Financial Assets*

This category includes non-derivative financial assets that are either designated to this category or do not qualify for inclusion in any of the other categories of financial assets. They are included in non-current assets in the consolidated statement of financial position unless management intends to dispose of the investment within 12 months from the end of the reporting period. The Group's AFS financial assets include government debt securities, corporate bonds and golf club shares.

All financial assets within this category are subsequently measured at fair value. Gains and losses from changes in fair value are recognized in other comprehensive income, net of any income tax effects, and are reported as part of the Net Unrealized Gains on Available-for-sale Financial Assets account in equity. When the financial asset is disposed of or is determined to be impaired, the cumulative fair value gains or losses recognized in other comprehensive income is reclassified from equity to profit or loss and is presented as reclassification adjustment within other comprehensive income.

Reversal of impairment losses are recognized in other comprehensive income, except for financial assets that are debt securities and golf club shares which are recognized in profit or loss only if the reversal can be objectively related to an event occurring after the impairment loss was recognized.

All income and expenses, including impairment losses, relating to financial assets that are recognized in profit or loss are presented as part of Finance Income or Finance Costs account in the consolidated statement of profit or loss.

Non-compounding interest, dividend income and other cash flows resulting from holding financial assets are recognized in profit or loss when earned, regardless of how the related carrying amount of financial assets is measured.

The financial assets are derecognized when the contractual rights to receive cash flows from the financial instruments expire, or when the financial assets and all substantial risks and rewards of ownership have been transferred to another party.

2.5 *Prepayments and Other Assets*

Prepayments and other current assets pertain to other resources controlled by the Group as a result of past events. They are recognized in the consolidated financial statements when it is probable that the future economic benefits will flow to the entity and the asset has a cost or value that can be measured reliably.

Other recognized assets of similar nature, where future economic benefits are expected to flow to the Group beyond one year after the end of the reporting period (or in the normal operating cycle of the business, if longer), are classified as non-current assets.

2.6 *Property and Equipment*

All items of property and equipment, except land, are stated at cost less accumulated depreciation and amortization and any impairment in value. As no finite useful life for land can be determined, related carrying amount are not depreciated. The cost of land, which is represented by shares in a condominium corporation donated to the Parent Company, is valued at the fair value of the land at the date of donation. Land is subsequently carried at cost less any impairment in value.

The cost of an asset comprises its purchase price and directly attributable costs of bringing the asset to working condition for its intended use. Expenditures for additions, major improvements and renewals are capitalized, while expenditures for repairs and maintenance are charged to expense as incurred.

Depreciation is computed on the straight-line basis over the estimated useful lives of the assets as follows:

Buildings	25 years
Office and building improvements	10 years
Transportation equipment	5 years
Trading system equipment	3-7 years
Computer hardware and peripherals	3-5 years
Office equipment, furniture and fixtures	2-5 years

Fully-depreciated and amortized assets are retained in the accounts until they are no longer in use and no further charge for depreciation and amortization is made in respect of those assets.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount (see Note 2.15).

The residual values and estimated useful lives of property and equipment are reviewed, and adjusted if appropriate, at the end of each reporting period.

An item of property and equipment, including the related accumulated depreciation and impairment losses, is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is included in profit or loss in the year the item is derecognized.

2.7 Computer Software

The cost of computer software is the amount of cash or cash equivalents paid or the fair value of the other considerations given up to acquire an asset at the time of its acquisition or production. Capitalized costs are amortized on a straight-line basis over the estimated useful life ranging from five to seven years. In addition, the cost of computer software is subject to impairment testing as described in Note 2.15.

Acquired computer software licenses are capitalized on the basis of the costs incurred to acquire and install the specific software. Costs associated with maintaining computer software are recognized as expense in profit or loss as incurred.

The Group's computer software is presented as part of Other Non-current Assets in the consolidated statement of financial position.

2.8 Financial Liabilities

Financial liabilities, which include Trade and Other Payables (except tax-related payables) and other current liabilities are recognized when the Group becomes a party to the contractual terms of the instrument. All interest-related charges incurred on a financial liability are recognized as an expense in profit or loss under the caption Finance Costs in the consolidated statement of comprehensive income.

Trade and Other Payables are recognized initially at their fair values and subsequently measured at amortized cost, using effective interest method for maturities beyond one year, less settlement payments.

Dividend distributions to shareholders are recognized as financial liabilities upon declaration by the Group.

Financial liabilities are classified as current liabilities if payment is due to be settled within one year or less after the end of the reporting period (or in the normal operating cycle of the business, if longer), or the Group does not have an unconditional right to defer settlement of the liability for at least twelve months after the end of the reporting period. Otherwise, these are presented as non-current liabilities.

Financial liabilities are derecognized from the consolidated statement of financial position only when the obligations are extinguished either through discharge, cancellation or expiration. The difference between the carrying amount of the financial liability derecognized and the consideration paid or payable is recognized in profit or loss.

2.9 Deferred Fees

Deferred fees represent deferred listing fees, deferred listing maintenance fees, and deferred data feed fees. Deferred listing fees are recorded upon billing, which coincides with the approval of the application for initial or additional listing. These are reversed and recognized as revenues upon actual listing of the applicant company. Deferred listing maintenance fees are billed and collected at the start of the year and amortized on a monthly basis as the services are rendered. Deferred data feed fees are billed and collected at the start of each quarter and amortized on a monthly basis as the services are rendered.

2.10 Offsetting Financial Instruments

Financial assets and liabilities are offset and the resulting net amount is reported in the consolidated statement of financial position when there is a legally enforceable right to set off the recognized amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously.

2.11 Provisions and Contingencies

Provisions are recognized when present obligations will probably lead to an outflow of economic resources and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. A present obligation arises from the presence of a legal or constructive obligation that has resulted from past events.

Provisions are measured at the estimated expenditure required to settle the present obligation, based on the most reliable evidence available at the end of the reporting period, including the risks and uncertainties associated with the present obligation. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. When time value of money is material, long-term provisions are discounted to their present values using a pretax rate that reflects market assessments and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as finance cost. Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate.

In those cases where the possible outflow of economic resource as a result of present obligations is considered improbable or remote, or the amount to be provided for cannot be measured reliably, no liability is recognized in the consolidated financial statements. Similarly, possible inflows of economic benefits to the Group that do not yet meet the recognition criteria of an asset are considered contingent assets, hence, are not recognized in the consolidated financial statements. On the other hand, any reimbursement that the Group can be virtually certain to collect from a third party with respect to the obligation is recognized as a separate asset not exceeding the amount of the related provision.

2.12 Revenue and Expense Recognition

Revenue comprises revenue from rendering of services measured by reference to the fair value of consideration received or receivable by the Group for services rendered, excluding value-added tax (VAT).

Revenue is recognized to the extent that the revenue can be reliably measured; it is probable that future economic benefits will flow to the Group; and the costs incurred or to be incurred can be measured reliably. In addition, the following specific recognition criteria must also be met before revenue is recognized:

- (a) *Listing fees* – Listing fees for initial public offering are recognized upon listing of an applicant. The annual listing fees are recognized on an accrual basis based on the listing agreement. The additional listing fees are recognized upon the listing of new securities issued by an applicant.
- (b) *Listing processing fee* – Revenue is recognized upon receipt of payment by an applicant company.
- (c) *Listing maintenance, service fees, trading-related and regulatory fees* – Revenue is recognized when the related services are rendered.
- (d) *Other revenues* – Revenue is recognized when the services are rendered or when penalties or fines are charged.
- (e) *Interest income* – This is recognized as the interest accrues taking into account the effective yield on the asset.
- (f) *Dividends* – Revenue is recognized when the Group's right to receive payment is established.

Costs and expenses are recognized in profit or loss upon utilization of goods or services or at the date they are incurred. All finance costs are reported in profit or loss on an accrual basis.

2.13 Leases – Group as Lessee

Leases which do not transfer to the Group substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments (net of any incentive received from the lessor) are recognized as expense in profit or loss on a straight-line basis over the lease term. Associated costs, such as repairs and maintenance and insurance, are expensed as incurred.

The Group determines whether an arrangement is, or contains, a lease based on the substance of the arrangement. It makes an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

2.14 Foreign Currency Transactions and Translation

The accounting records of the Group are maintained in Philippine pesos. Foreign currency transactions during the year are translated into the functional currency at exchange rates which approximate those prevailing on transaction dates.

Foreign currency gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in profit or loss.

2.15 Impairment of Non-financial Assets

The Group's property and equipment, computer software, other non-financial assets and the Parent Company's investment in an associate are subject to impairment testing. Intangible assets with an indefinite useful life or those not yet available for use are tested for impairment at least annually. All other individual assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount of those assets may not be recoverable.

For purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). As a result, assets are tested individually for impairment and some are tested at the cash-generating unit level.

Impairment loss is recognized for the amount by which the asset or cash-generating unit's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of fair value, reflecting market conditions less costs to sell and its value in use. In determining value in use, management estimates the expected future cash flows from each cash-generating unit and determines the suitable interest rate in order to calculate the present value of those cash flows. The data used for impairment testing procedures are directly linked to the Group's latest approved budget, adjusted as necessary to exclude the effects of asset enhancements. Discount factors are determined individually for each cash-generating unit and reflect management's assessment of respective risk profiles, such as market and asset-specific risk factors.

All assets are subsequently reassessed for indications that an impairment loss previously recognized may no longer exist. An impairment loss is reversed if the asset's or cash-generating unit's recoverable amount exceeds its carrying amount.

2.16 Employee Benefits

The Group's employee benefits are recognized and measured as follows:

(a) Post-employment Defined Benefit Plan

A defined benefit plan is a post-employment plan that defines an amount of post-employment benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and salary. The legal obligation for any benefits from this kind of post-employment plan remains with the Group, even if plan assets for funding the defined benefit plan have been acquired. Plan assets may include assets specifically designated to a long-term benefit fund, as well as qualifying insurance policies. The Group's defined benefit post-employment plan covers all regular full-time employees. The pension plan is tax-qualified, non-contributory and administered by a trustee.

The liability recognized in the consolidated statement of financial position for a defined benefit post-employment plan is the present value of the defined benefit obligation (DBO) at the end of the reporting period less the fair value of plan assets. The DBO is calculated annually by independent actuaries using the projected unit credit method. The present value of the DBO is determined by discounting the estimated future cash outflows using a discount rate derived from the interest rates of zero coupon government bonds as published by Philippine Dealing & Exchange Corporation (PDEx), that are denominated in the currency in which the benefits will be paid and that have terms to maturity approximating the terms of the related post-employment liability.

Remeasurements, comprising of actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions and the return on plan assets (excluding amount included in interest) are reflected immediately in the consolidated statement of financial position with a charge or credit recognized in other comprehensive income in the period in which they arise. Net interest is calculated by applying the discount rate at the beginning of the period, taking into account of any changes in the net defined benefit liability or asset during the period as a result of contributions and benefit payments. Net interest is reported as part of Finance Costs or Finance Income account in the consolidated statement of comprehensive income.

Past-service costs are recognized immediately in profit or loss in the period of a plan amendment.

(b) *Post-employment Defined Contribution Plans*

A defined contribution plan is a post-employment plan under which the Group pays fixed contributions into an independent entity. The Group has no legal or constructive obligations to pay further contributions after payment of the fixed contribution. The contributions recognized in respect of defined contribution plans are expensed as they fall due. Liabilities and assets may be recognized if underpayment or prepayment has occurred and are included in current liabilities or current assets as they are normally of a short-term nature.

(c) *Termination Benefits*

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting period are discounted to their present value.

(d) *Profit-sharing and Bonus Plans*

The Parent Company recognizes a liability and an expense for bonuses and profit-sharing, based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Parent Company recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

(e) *Compensated Absences*

Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting period. They are included in Trade and Other Payables account in the consolidated statement of financial position at the undiscounted amount that the Group expects to pay as a result of the unused entitlement.

2.17 Employee Stock Purchase Plan

The Group operates equity-settled share-based remuneration plans for all regular employees of the Parent Company and of SCCP who are in good standing, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). None of the Group's plans are cash-settled.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which they are granted. The fair value is determined using a quoted market price at the time of payment, which is also the date of grant.

All goods and services received in exchange for the grant of any share-based payment are measured at their fair values. Where employees are rewarded using share-based payments, the fair value of employees' services is determined indirectly by reference to the fair value of the equity instruments granted. This fair value is appraised at the grant date and excludes the impact of non-market vesting conditions (for example profitability and sales growth targets and performance conditions).

All share-based remuneration is ultimately recognized as an expense in profit or loss with a corresponding credit to retained earnings. If vesting periods or other vesting conditions apply, the expense is allocated over the vesting period, based on the best available estimate of the number of share options expected to vest.

Non-market vesting conditions are included in assumptions about the number of options that are expected to become exercisable. Estimates are subsequently revised if there is any indication that the number of share options expected to vest differs from previous estimates. Any cumulative adjustment prior to vesting is recognized in the current period. No adjustment is made to any expense recognized in prior periods if share options ultimately exercised are different to that estimated on vesting.

Upon exercise of share options, the proceeds received are allocated to capital stock with any excess being recorded as additional paid-in capital.

2.18 Income Taxes

Tax expense recognized in profit or loss comprises the sum of deferred tax and current tax not recognized in other comprehensive income or directly in equity, if any.

Current tax assets or liabilities comprise those claims from, or obligations to, fiscal authorities relating to the current or prior reporting period, that are uncollected or unpaid at the end of the reporting period. They are calculated using tax rates and tax laws applicable to the fiscal periods to which they relate, based on the taxable profit for the year. All changes to current tax assets or liabilities are recognized as a component of tax expense in profit or loss.

Deferred tax is accounted for using the liability method, on temporary differences at the end of the reporting period between the tax base of assets and liabilities and their carrying amounts for financial reporting purposes. Under the liability method, with certain exceptions, deferred tax liabilities are recognized for all taxable temporary differences and deferred tax assets are recognized for all deductible temporary differences and the carryforward of unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. Unrecognized deferred tax assets are reassessed at the end of each reporting period and are recognized to the extent that it has become probable that future taxable profit will be available to allow such deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realized or the liability is settled provided such tax rates have been enacted or substantively enacted by the end of the reporting period.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

Most changes in deferred tax assets or liabilities are recognized as a component of tax expense in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

Deferred tax assets and deferred tax liabilities are offset if the Group has a legally enforceable right to set off current tax assets against current tax liabilities and the deferred taxes relate to the same entity and the same taxation authority.

2.19 Related Party Relationships and Transactions

Related party transactions are transfers of resources, services or obligations between the Group and its related parties, regardless whether a price is charged.

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. These parties include: (a) individuals owning, directly or indirectly through one or more intermediaries, control or are controlled by, or under common control with the Group; (b) associates; (c) individuals owning, directly or indirectly, an interest in the voting power of the Group that gives them significant influence over the Group and close members of the family of any such individual; and, (d) the Group's retirement plan.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

2.20 Equity

Capital stock represents the nominal value of shares that have been issued.

Additional paid-in capital includes any premium received on the issuance of capital stock. Any transaction costs associated with the issuance of shares are deducted from additional paid-in capital, net of any related income tax benefits. This also includes any premium received on the issuance of shares under the ESPP between the fair value of the shares at grant date and the par value of the Parent Company's capital stock.

Treasury shares are stated at the cost of reacquiring such shares and are deducted from equity attributable to the Group's equity holders until the shares are cancelled, reissued or disposed of.

Net unrealized gains on AFS financial assets comprise gains and losses due to the revaluation of certain financial assets.

Remeasurements of post-employment defined benefit obligation comprise the actuarial gains or losses from changes in demographic and financial assumptions and the return on plan assets.

Retained earnings represent all current and prior period results of operations as reported in the profit or loss section of the consolidated statement of comprehensive income, reduced by the amounts of dividends declared, if any.

2.21 Earnings Per Share

Basic earnings per share (EPS) is computed by dividing net profit attributable to equity holders of the Parent Company by the weighted average number of shares issued and outstanding, adjusted retroactively for any stock dividend, stock split or reverse stock split declared during the current year.

Diluted EPS is computed by adjusting the weighted average number of ordinary shares outstanding to assume conversion of dilutive potential shares. Stocks under ESPP are deemed to have been converted into shares on the date when granted.

2.22 Segment Reporting

For purposes of segment reporting, the Group does not have other reportable segments.

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

2.23 Events After the End of the Reporting Period

Any post-year-end event that provides additional information about the Group's financial position at the end of the reporting period (adjusting event) is reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, if any, are disclosed when material to the consolidated financial statements.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the Group's consolidated financial statements in accordance with PFRS requires management to make judgments and estimates that affect the amounts reported in the consolidated financial statements and related notes. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

3.1 Critical Management Judgments in Applying Accounting Policies

In the process of applying the Exchange's accounting policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements:

(a) Evaluating Impairment of AFS Financial Assets

The determination when an investment is other-than-temporarily impaired requires significant judgment. In making this judgment, the Group evaluates, among other factors, the duration and extent to which the fair value of an investment is less than its cost, and the financial health of and near-term business outlook for the investee, including factors such as industry and sector performance, changes in technology and operational and financing cash flows.

The allowance for impairment losses on AFS equity investments amounted to P2.7 million and P2.9 million as of December 31, 2013 and 2012, respectively. The carrying value of AFS equity investments amounted to P626.0 million and P327.8 million as of December 31, 2013 and 2012, respectively (see Note 11).

(b) Distinguishing Operating and Finance Leases

The Group has entered into various lease agreements. Critical judgment was exercised by management to distinguish each lease agreement as either an operating or a finance lease by looking at the transfer or retention of significant risk and rewards of ownership of the properties covered by the agreements. Failure to make the right judgment will result in either overstatement or understatement of assets and liabilities.

(c) Recognition of Provisions and Contingencies

Judgment is exercised by management to distinguish between provisions and contingencies. Policies on recognition of provisions and contingencies are discussed in Note 2.11 and disclosures on relevant provisions and contingencies are presented in Note 29.

3.2 Key Sources of Estimation Uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period:

(a) *Evaluating Impairment of Trade and Other Receivables*

Adequate amount of allowance for impairment is provided for specific and groups of accounts, where objective evidence of impairment exists. The Group evaluates the amount of allowance for impairment based on available facts and circumstances affecting the collectibility of the accounts, including, but not limited to, the length of the Group's relationship with the customers, the customers' current credit status, average age of accounts, collection experience and historical loss experience. The carrying value of trade and other receivables and the analysis of allowance for impairment on such financial assets are shown in Note 9.

(b) *Determining Fair Value Measurement for Financial Instruments*

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on market inputs, using observable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the reporting date.

The carrying values of the Group's financial assets at FVTPL and AFS financial assets and the amounts of fair value changes recognized during the years on those assets are disclosed in Notes 10 and 11, respectively.

(c) *Estimating Useful Lives of Property and Equipment and Computer Software*

The Group estimates the useful lives of property and equipment and computer software based on the period over which the assets are expected to be available for use. The estimated useful lives of property and equipment are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the assets.

The carrying amounts of property and equipment are analyzed in Note 13. Based on management's assessment as at December 31, 2013 and 2012, there is no change in estimated useful lives of those assets during those years. Actual results, however, may vary due to changes in estimates brought about by changes in factors mentioned above.

(d) *Determining Realizable Amount of Deferred Tax Assets*

The Group reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Management assessed that the deferred tax assets recognized as at December 31, 2013 and 2012 will be fully utilized in the coming years. The carrying value of deferred tax assets as of those dates is disclosed in Note 24.

(e) *Evaluating Impairment of Non-financial Assets*

In assessing impairment, management estimates the recoverable amount of each asset or a cash-generating unit based on expected future cash flows and uses an interest rate to calculate the present value of those cash flows. Estimation uncertainty relates to assumptions about future operating results and the determination of a suitable discount rate (see Note 2.15). Though management believes that the assumptions used in the estimation of fair values reflected in the consolidated financial statements are appropriate and reasonable, significant changes in these assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have a material adverse effect on the results of operations.

Impairment losses recognized on Investment in an Associate are discussed in Note 14.

(f) *Valuation of Post-employment Defined Benefit*

The determination of the Group's obligation and cost of post-employment defined benefit is dependent on the selection of certain assumptions used by actuaries in calculating such amounts. Those assumptions include, among others, discount rates, expected rate of return on plan assets, salary rate increase, and employee turnover rate. In accordance with PFRS, actual results that differ from the assumptions are accumulated and amortized over future periods and therefore, generally affect the expense and the carrying amount of post-employment obligation in such future periods.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 23.2.

4. RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group is exposed to a variety of financial risks in relation to financial instruments. The Group's financial assets and liabilities by category are summarized in Note 5. The main types of risks are market risk, credit risk and liquidity risk.

The Group's risk management is focused on actively securing the Group's short-to-medium term cash flows by minimizing the exposure to financial markets. Long-term financial investments are managed to generate lasting returns.

The Group does not actively engage in the trading of financial assets for speculative purposes nor does it write options. The most significant financial risks to which the Group is exposed to are described in the succeeding paragraphs.

4.1 Market Risk

The Group is exposed to market risk through its use of financial instruments and specifically to foreign currency risk, interest rate risk and certain other price risk which result from both its operating, investing and financing activities.

(a) Foreign Currency Risk

Most of the Group's transactions are carried out in Philippine pesos, its functional currency. Exposures to currency exchange rates arise from the translation of the Group's United States (U.S.) dollar-denominated cash and cash equivalents and investments in debt securities.

To mitigate the Group's exposure to foreign currency risk, non-Philippine peso cash flows are monitored.

As at December 31, 2013 and 2012, foreign currency-denominated financial assets and liabilities, translated into Philippine pesos at the closing rate of P44.41 and P41.05, respectively, are shown below.

	2013	2012
Financial assets	P 12,723,040	P 31,386,126
Financial liabilities	(27,976,819)	-
Net exposure	(P 15,253,779)	P 31,386,126

The sensitivity of the Group's profit (loss) before tax for the year with regard to the Group's financial assets and the U.S. dollar - Philippine peso exchange rate assumes a +/- 23.40% and +/- 13.83% change for the years ended December 31, 2013 and 2012, respectively. The percentage changes in rates have been determined based on the average market volatility in exchange rates, using standard deviation, in the previous 12 months, estimated at 99% level of confidence. The sensitivity analysis is based on the Group's foreign currency financial instruments held at the end of each reporting period, with effect estimated from the beginning of the year.

If the Philippine peso were to strengthen against the U.S. dollar, with all other variables held constant, then profit before tax and equity would have been higher or lower by the following amounts:

	2013	2012
Profit before tax	P 3,569,384	(P 4,340,701)
Equity	2,498,569	(3,038,491)

On the other hand, if the Philippine peso were to weaken against the U.S. dollar by the same percentage, with all other variables held constant, then profit before tax and equity would have been lower in 2013 while higher in 2012 by the same amounts.

Exposures to foreign exchange rates vary during the year depending on the volume of foreign currency-denominated transactions. Nonetheless, the analysis above is considered to be representative of the Group's currency risk.

(b) *Interest Rate Risk*

The Group's exposure to interest rate risk pertains to the fluctuations in interest rates of its short-term placements. To minimize the possible adverse effects of these fluctuations on the Group's profit or loss, only placements with interest rates that are within the prevailing market rates are pursued. Placements with interest rates which are significantly higher or lower than the prevailing market rates are not prioritized by the Group following the concept of risk and return trade-off.

The Group's policy is to minimize interest rate cash flow risk exposures on long-term financing. At December 31, 2013 and 2012, the Group is exposed to changes in market interest rates through its cash and cash equivalents, which are subject to variable interest rates (see Note 8). All other financial assets and liabilities have fixed rates.

The following table illustrates the sensitivity of the Group's net profit and equity for the years ended December 31, 2013 and 2012 to a reasonably possible change in interest rates of the Group's short-term placements (savings and time deposits), with all other variables held constant:

		2013	
		<u>+69 basis points</u>	<u>-69 basis points</u>
Profit before tax	P	7,459,644	(P 7,459,644)
Equity		5,221,751	(5,221,751)
		2012	
		<u>+49 basis points</u>	<u>-49 basis points</u>
Profit before tax	P	5,084,221	(P 5,084,221)
Equity		3,558,955	(3,558,955)

The changes in interest rates used in this analysis are based on the volatility of the compilation of PDEx of domestic rates on short-term placements computed using standard deviation at 99% confidence level.

(c) *Equity Price Risk*

Equity price risk is the risk to earnings or capital arising from changes in stock exchange indices. The Group's exposure to equity price risk relates primarily to its quoted AFS financial assets.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

As at December 31, 2013 and 2012, the Group's exposure to equity price risk is minimal.

4.2 Credit Risk

Credit risk is the risk that a counterparty may fail to discharge an obligation to the Group. The Group is exposed to this risk for various financial instruments arising from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges.

The Group continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. The Group's policy is to deal only with creditworthy counterparties.

Generally, the maximum credit risk exposure of financial assets is the carrying amount of the financial assets (gross of any allowance) as shown in the consolidated statement of financial position or in the detailed analysis provided in the notes to the consolidated financial statements, as summarized below.

	<u>Notes</u>	<u>2013</u>	<u>2012</u>
Cash and cash equivalents	8	P 1,086,696,085	P 1,051,355,197
Trade and other receivables	9	193,198,125	89,693,544
AFS financial assets	11	625,628,883	327,647,291
Refundable deposit	12	315,165	-
Deposits in bank	15	333,960	331,824
		<u>P 1,906,172,218</u>	<u>P 1,469,027,856</u>

None of the Group's financial assets are secured by collateral or other credit enhancements, except for cash and cash equivalents as described below.

(a) *Cash and cash equivalents and deposits in bank*

The credit risks for cash and cash equivalents and deposits in bank are considered negligible since the counterparties are reputable banks with high quality external credit ratings. Included in cash and cash equivalents are cash in banks and short-term placements and included in other non-current assets are deposits in bank which are insured by the Philippine Deposit Insurance Corporation up to a maximum coverage of P0.5 million for every depositor per banking institution.

(b) *Trade and other receivables and refundable deposits*

In respect of trade and other receivables and refundable deposits, the Group is not exposed to any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The Group continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls.

Except those amounts of trade and other receivables that were provided with valuation allowance, the Group's management considers the above financial assets that are not impaired for each of the reporting dates under review are of good credit quality.

(c) *AFS Financial Assets*

The credit risk for AFS financial assets is low since these assets pertain to bonds and notes issued by the Philippine government.

The tables below show the aging analysis of the Group's financial assets (gross of allowance) as at December 31, 2013 and 2012:

		2013						
		Past due but not impaired					Total	
Notes		Neither past due nor impaired	30 to 60 days	60 to 120 days	120 to 180 days	Over 180 days but less than 360 days		
Financial assets								
Loans and receivables								
Cash and cash equivalents	8	P1,086,696,085	P -	P -	P -	P -	P -	P1,086,696,085
Receivables:	9							
Trading participants		79,168,894	-	-	-	110,759	102,668	79,382,321
Listed companies		85,567,816	512,896	380,720	50,000	3,967,433	2,474,278	92,953,143
Data vendors		9,937,027	17,961	1,670,977	431,250	1,514,002	-	13,571,217
Accrued interest receivable		4,229,237	-	-	-	-	-	4,229,237
Advances to officers and employees		1,343,149	-	-	-	-	-	1,343,149
Refundable deposits	12	315,165	-	-	-	-	-	315,165
Deposits in bank	15	333,960	-	-	-	-	-	333,960
Others		1,358,798	1,680	963	27,000	303,616	27,000	1,719,057
AFS financial assets	11							
Government debt securities		522,332,154	-	-	-	-	-	522,332,154
Corporate bonds		103,296,729	-	-	-	-	-	103,296,729
		P1,894,579,014	P 532,537	P2,052,660	P 508,250	P 5,895,810	P 2,603,946	P1,906,172,218
		2012						
		Past due but not impaired					Total	
Notes		Neither past due nor impaired	30 to 60 days	60 to 120 days	120 to 180 days	Over 180 days but less than 360 days		
Financial assets								
Loans and receivables								
Cash and cash equivalents	8	P 1,051,355,197	P -	P -	P -	P -	P -	P 1,051,355,197
Receivables:	9							
Trading participants		61,156,445	349,440	-	-	43,559	102,668	61,652,112
Listed companies		218,705	-	28,000	950,000	3,709,193	2,474,278	7,380,176
Data vendors		7,452,340	2,011,376	893,938	-	5,701	-	10,363,355
Accrued interest receivable		2,369,199	-	-	-	-	-	2,369,199
Advances to officers and employees		5,307,767	-	-	-	-	-	5,307,767
Deposits in bank	15	331,824	-	-	-	-	-	331,824
Others		2,587,415	6,720	-	-	-	27,000	2,621,135
AFS financial assets	11							
Government debt securities		275,646,893	-	-	-	-	-	275,646,893
Corporate bonds		52,000,398	-	-	-	-	-	52,000,398
		P 1,458,426,183	P2,367,536	P 921,938	P 950,000	P 3,758,453	P 2,603,946	P1,469,028,056

The following tables provide information regarding the credit risk exposure of the Group by classifying financial assets (net of allowance) according to credit ratings of the counterparties:

		2013					
		Neither past due nor impaired			Past due but not impaired		
Notes		High grade	Medium grade	Low grade	Total		Total
Loans and receivables							
Cash and cash equivalents	8	P 1,086,696,085	P -	P -	P 1,086,696,085	P -	P 1,086,696,085
Receivables:	9						
Trading participants		79,168,894	-	-	79,168,894	110,759	79,279,653
Listed companies		85,567,816	-	-	85,567,816	4,911,049	90,478,865
Data vendors		9,937,027	-	-	9,937,027	3,634,190	13,571,217
Accrued interest receivable		4,229,237	-	-	4,229,237	-	4,229,237
Advances to officers and employees		1,343,149	-	-	1,343,149	-	1,343,149
Refundable deposits	12	315,165	-	-	315,165	-	315,165
Deposits in banks		333,960	-	-	333,960	-	333,960
Other receivable		1,358,799	-	-	1,358,799	333,259	1,692,058
AFS financial assets	11						
Government debt securities		522,332,154	-	-	522,332,154	-	522,332,154
Corporate bonds		103,296,729	-	-	103,296,729	-	103,296,729
		P 1,894,579,015	P -	P -	P 1,894,579,015	P 8,989,257	P 1,903,568,272
		2012					
		Neither past due nor impaired			Past due but not impaired		
Notes		High grade	Medium grade	Low grade	Total		Total
Loans and receivables							
Cash and cash equivalents	8	P 1,051,355,197	P -	P -	P 1,051,355,197	P -	P 1,051,355,197
Receivables:	9						
Trading participants		61,156,445	-	-	61,156,445	392,999	61,549,444
Listed companies		218,705	-	-	218,705	4,687,193	4,905,898
Data vendors		7,452,340	-	-	7,452,340	2,911,015	10,363,355
Accrued interest receivable		2,369,199	-	-	2,369,199	-	2,369,199
Advances to officers and employees		5,307,767	-	-	5,307,767	-	5,307,767
Deposits in banks	15	331,824	-	-	331,824	-	331,824
Other receivable		2,587,415	-	-	2,587,415	6,720	2,594,135
AFS financial assets	11						
Government debt securities		275,646,893	-	-	275,646,893	-	275,646,893
Corporate bonds		52,000,398	-	-	52,000,398	-	52,000,398
		P 1,458,426,183	P -	P -	P 1,458,426,183	P 7,997,927	P 1,466,424,110

4.3 Liquidity Risk

Liquidity risk or funding risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may also result from the inability to sell financial assets quickly at their fair values.

The Group manages its liquidity needs by carefully monitoring cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week basis, as well as on the basis of a rolling 30-day projection. Long-term liquidity needs for a six-month and one-year period are identified monthly.

The Group maintains cash and cash equivalents deemed sufficient to finance its operations. Excess cash are invested in an organized mix of short-term and long-term investments to achieve maximum returns.

As at December 31, 2013 and 2012, the Group's financial liabilities, which consist of trade and other payables, with contractual maturity of less than six months amounted to P269.5 million and P169.5 million, respectively.

The tables below summarize the maturity profile of the Group's financial assets and liabilities held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

		December 31, 2013				
Notes		Within one Year	1 - 2 Years	More than 2 Years	No Date of Maturity	Total
Financial assets						
Loans and receivables						
Cash and						
cash equivalents	8	P 1,086,696,085	P -	P -	P -	P 1,086,696,085
Receivables:	9					
Receivables from:						
Trading						
participants		79,382,321	-	-	-	79,382,321
Listed companies		92,953,144	-	-	-	92,953,144
Data vendor		13,571,217	-	-	-	13,571,217
Accrued interest						
receivable		4,229,237	-	-	-	4,229,237
Advances to officers						
and employees		1,343,149	-	-	-	1,343,149
Refundable deposits	12	315,165	-	-	-	315,165
Deposits in bank	15	-	-	333,960	-	333,960
Others		1,719,057	-	-	-	1,719,057
Financial assets at FVTPL	10	374,277,271	-	-	-	374,277,271
AFS financial assets	11					
Government						
debt securities		-	53,021,727	469,310,427	-	522,332,154
Corporate bonds		10,256,543	-	93,040,186	-	103,296,729
Equity securities		-	-	-	3,078,000	3,078,000
		P 1,664,743,189	P 53,021,727	P 562,684,573	P 3,078,000	P 2,283,527,489
Financial liabilities						
Due to SEC	16	P 114,179,641	P -	P -	P -	P 114,179,641
Trade payables		56,975,547	-	-	-	56,975,547
Accrued expenses		57,278,616	-	-	-	57,278,616
Funds held in trust		15,728,081	-	-	-	15,728,081
Others		25,298,030	-	-	-	25,298,030
		P 269,459,915	P -	P -	P -	P 269,459,915
		December 31, 2012				
Notes		Within one Year	1 - 2 Years	More than 2 Years	No Date of Maturity	Total
Financial assets						
Loans and receivables						
Cash and						
cash equivalents	8	P 1,051,355,197	P -	P -	P -	P 1,051,355,197
Receivables:	9					
Receivables from:						
Trading						
participants		61,652,112	-	-	-	61,652,112
Listed companies		7,380,176	-	-	-	7,380,176
Data vendor		10,363,355	-	-	-	10,363,355
Accrued interest						
receivable		2,369,199	-	-	-	2,369,199
Advances to officers						
and employees		5,307,767	-	-	-	5,307,767
Deposits in bank	15	-	-	331,824	-	331,824
Others		2,621,135	-	-	-	2,621,135
Financial assets at FVTPL	10	274,585,220	-	-	-	274,585,220
AFS financial assets	11					
Government						
debt securities		-	-	275,646,893	-	275,646,893
Corporate bonds		-	-	52,000,398	-	52,000,398
Equity securities		-	-	-	3,078,000	3,078,000
		P 1,415,634,161	P -	P 327,979,115	P 3,078,000	P 1,746,691,276
Financial liabilities						
Due to SEC	16	P 82,398,201	P -	P -	P -	P 82,398,201
Trade payables		38,899,048	-	-	-	38,899,048
Accrued expenses		37,782,768	-	-	-	37,782,768
Others		10,419,017	-	-	-	10,419,017
		P 169,499,034	P -	P -	P -	P 169,499,034

The above contractual maturities reflect the gross cash flows and carrying values of the liabilities at the end of the reporting period.

5. CATEGORIES AND FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The carrying amounts and fair values of the categories of financial assets and liabilities presented in the consolidated statement of financial position are shown below.

		2013		2012	
	Notes	Carrying Values	Fair Values	Carrying Values	Fair Values
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	8	P1,086,696,085	P1,086,696,085	P 1,051,355,197	P 1,051,355,197
Trade and other receivables	9	190,594,179	190,594,179	87,089,598	87,089,598
Refundable deposits	12	315,165	315,165	-	-
Deposits in banks	15	333,960	333,960	331,824	331,824
		<u>1,277,939,389</u>	<u>1,277,939,389</u>	<u>1,138,776,619</u>	<u>1,138,776,619</u>
Financial assets at FVTPL -					
Equity securities	10	<u>374,277,271</u>	<u>374,277,271</u>	<u>274,585,220</u>	<u>274,585,220</u>
AFS financial assets:	11				
Debt securities		625,628,883	625,628,883	327,647,291	327,647,291
Equity securities		<u>3,078,000</u>	<u>3,078,000</u>	<u>3,078,000</u>	<u>3,078,000</u>
		<u>628,706,883</u>	<u>628,706,883</u>	<u>330,725,291</u>	<u>330,725,291</u>
		<u>P2,280,923,543</u>	<u>P2,280,923,543</u>	<u>P 1,744,087,130</u>	<u>P 1,744,087,130</u>
Financial Liabilities					
Financial liabilities at amortized cost -					
Trade and other payables	16	<u>P 269,459,915</u>	<u>P 269,459,915</u>	<u>P 169,499,034</u>	<u>P 169,499,034</u>

See Notes 2.4 and 2.8 for a description of the accounting policies for each category of financial instruments including the determination of fair values. A description of the Group's risk management objectives and policies for financial instruments is provided in Note 4.

6. FAIR VALUE MEASUREMENTS AND DISCLOSURES

6.1 Fair Value Hierarchy

In accordance with PFRS 13, the fair value of financial assets and liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS, are categorized into three levels based on the significance of inputs used to measure the fair value. The fair value hierarchy has the following levels:

- (a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;
- (b) Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,
- (c) Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

6.2 Financial Instruments Measured at Fair Value

The table below shows the fair value hierarchy of the Group's classes of financial assets and financial liabilities measured at fair value in the consolidated statement of financial position on a recurring basis, as of December 31.

	Level 1	Level 2	Level 3	Total
December 31, 2013				
Financial assets at FVTPL	P 374,277,271	P -	P -	P 374,277,271
AFS financial assets				
Debt securities	625,628,883	-	-	625,628,883
Equity securities	-	-	3,078,000	3,078,000
	<u>P 999,906,154</u>	<u>P -</u>	<u>P 3,078,000</u>	<u>P1,002,984,154</u>

The Group has no financial liabilities measured at fair value as of December 31, 2013.

There were neither transfers between Levels 1 and 2 nor changes in Level 3 instruments in both years.

Described below are the information about how the fair values of the Group's classes of financial assets are determined.

(a) *Debt securities*

The fair value of the Group's debt securities classified as AFS financial assets which consist of government and corporate bonds is estimated by reference to prices quoted in Bloomberg and PDEX, respectively, representing the close prices at the end of the reporting period and is categorized within Level 1.

(b) *Equity securities*

As of December 31, 2013 and 2012, instruments included in Level 1 comprise equity securities classified as financial assets at FVTPL, while equity instruments included in Level 3 are classified as AFS financial assets. These equity securities were valued based on their market prices quoted at the end of each reporting period.

6.3 Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed

The Group's financial assets which are not measured at fair value in the 2013 statement of financial position but for which fair value is disclosed include cash and cash equivalents and trade and other receivables, which are categorized as Level 1 and Level 3, respectively. Financial liabilities which are not measured at fair value but for which fair value is disclosed pertain to trade and other payables which are categorized under Level 3.

For financial assets with fair values included in Level 1, management considers that the carrying amounts of these financial instruments approximate their fair values due to their short-term duration.

The fair values of the financial assets and financial liabilities included in Level 3, which are not traded in an active market, are determined based on the expected cash flows of the underlying net asset or liability based on the instrument where the significant inputs required to determine the fair value of such instruments are not based on observable market data.

7. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

The Group's objectives when managing capital are:

- (a) To safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders;
- (b) To support the Group's stability and growth; and,
- (c) To provide capital for the purpose of strengthening the Group's risk management capability.

The Group considers all the components of its total equity amounting to P2,564.4 million and P2,262.4 million as of December 31, 2013 and 2012, respectively, as capital.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2013 and 2012.

The Group adopts a practice of providing shareholders with regular dividends.

8. CASH AND CASH EQUIVALENTS

Cash and cash equivalents include the following components as of December 31:

	<u>2013</u>	<u>2012</u>
Cash on hand and in banks	P 76,473,853	P 78,659,311
Short-term placements	1,010,222,232	972,695,886
	<u>P 1,086,696,085</u>	<u>P 1,051,355,197</u>

Cash in banks generally earn interest at rates based on daily bank deposit rates. Short-term placements are made for varying periods from 15 to 45 days and earn effective interest ranging from 0.88% to 1.50% in 2013 and 1.63% to 3.90% in 2012.

The balance of cash on hand and in banks as of December 31, 2013 and 2012 did not include an amount of P0.3 million which is shown as part of Other Non-current Assets account (see Note 15). Such amount is not available for the general use of the Group in accordance with the restriction provided in connection with pending labor cases which are still on appeal (see Note 29).

Interest income earned from cash in banks and short-term placements amounted to P18.8 million, P38.4 million and P31.0 million in 2013, 2012 and 2011, respectively, and are presented as part of Finance Income in the consolidated statement of comprehensive income (see Note 22.1).

9. TRADE AND OTHER RECEIVABLES

This account is composed of the following:

	Note	2013	2012
Receivables from:			
Listed companies		P 92,953,144	P 7,380,176
Trading participants	25	79,382,321	61,652,112
Data vendors		13,571,217	10,363,355
Accrued interest receivable		4,229,237	2,369,199
Advances to officers and employees		1,343,149	5,307,567
Others		1,719,057	2,621,135
		193,198,125	89,693,544
Allowance for impairment		(2,603,946)	(2,603,946)
		<u>P 190,594,179</u>	<u>P 87,089,598</u>

All of the Group's trade and other receivables have been reviewed for indicators of impairment. Based on such review, no additional allowance for impairment loss on receivables was required to be provided in both years.

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

As at December 31, 2013 and 2012, receivables from trading participants and listed companies with total carrying value of P2.6 million, which were specifically identified to be impaired, were fully provided with allowance.

10. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the bank's full discretion. In 2013, the Group placed an additional P100.0 million in these investments. The fair value of the investment as at December 31, 2013 and 2012 amounted to P374.3 million and P274.6 million, respectively.

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted close prices in active markets (see Note 6).

The Group earned interest income from FVTPL amounting to P0.2 million, P0.3 million, and P0.8 million in 2013, 2012 and 2011, respectively, and are presented as part of Finance Income in the consolidated statement of comprehensive income (see Note 22.1).

The Group recognized the decrease in value of financial assets at FVTPL of P0.2 million in 2013 and an increase in value of financial assets at FVTPL of P65.1 million and P7.4 million in 2012 and 2011, respectively. These are presented as part of Finance Income (Costs) in the consolidated statement of comprehensive income (see Note 22).

11. AVAILABLE-FOR-SALE FINANCIAL ASSETS

This account consists of:

	2013	2012
Government debt securities	P 522,332,154	P 275,646,893
Corporate bonds	103,296,729	52,000,398
	<u>625,628,883</u>	<u>327,647,291</u>
Equity securities	3,078,000	3,078,000
Allowance for impairment	(2,698,000)	(2,878,000)
	<u>380,000</u>	<u>200,000</u>
	<u>P 626,008,883</u>	<u>P 327,847,291</u>

As at December 31, 2013 and 2012, movements of net unrealized gains on AFS financial assets presented in the consolidated statement of changes in equity are as follows:

	<u>2013</u>	<u>2012</u>
Balance at beginning of year	P 13,243,674	P 5,062,059
Net unrealized gains (losses) on AFS financial assets for the year	(6,820,817)	8,181,615
Balance at end of year	<u>P 6,422,857</u>	<u>P 13,243,674</u>

The reconciliation of the carrying amounts of AFS financial assets are as follows:

	<u>2013</u>	<u>2012</u>
Balance at beginning of year	P 327,847,291	P 209,749,761
Additions	315,595,219	149,955,537
Disposals	(6,263,845)	(42,433,799)
Reversal of impairment loss	180,000	-
Fair value gains (losses)	(11,349,782)	10,575,792
Balance at end of year	<u>P 626,008,883</u>	<u>P 327,847,291</u>

Peso-denominated government debt securities earn annual interest rates ranging from 3.25% to 6.00%, 5.38% to 6.00%, and 5.75% to 6.00% in 2013, 2012 and 2011, respectively. All of the Group's government debt securities as at December 31, 2013 and 2012 will mature in 2015 until 2032.

Peso-denominated corporate bonds earn annual interest rates ranging from 4.16% to 8.25%, 5.45% to 8.25% and 7.20% to 8.25% in 2013, 2012 and 2011, respectively. Corporate bonds as at December 31, 2013 and 2012 will mature in 2014 until 2024 and 2014 until 2019, respectively.

Interest income earned from AFS financial assets amounted to P24.0 million, P16.0 million and P28.0 million in 2013, 2012 and 2011, respectively, and are presented as part of Finance Income in the consolidated statement of comprehensive income (see Note 22.1).

Golf club shares are proprietary membership club shares. In 2013, the fair value of these shares increased by P0.2 million. The recovery of impairment losses is presented as part of Finance Income in the 2013 consolidated statement of comprehensive income (see Note 22.1).

The significant portion of the fair values of AFS financial assets have been determined directly by reference to published prices in active markets.

12. PREPAYMENTS AND OTHER CURRENT ASSETS

The composition of this account is shown below.

	<u>2013</u>	<u>2012</u>
Input VAT	P 18,073,377	P 12,714,919
Prepaid expenses	4,755,925	10,514,617
Supplies	2,970,733	1,680,121
Others	<u>5,243,174</u>	<u>492,694</u>
	<u>P 31,043,209</u>	<u>P 25,402,351</u>

13. PROPERTY AND EQUIPMENT

The gross carrying amounts and accumulated depreciation of property and equipment at the beginning and end of 2013 and 2012 are shown below.

	Land	Buildings	Trading System Equipment	Building Improvements	Computer Hardware and Peripherals	Office Equipment, Furniture and Fixtures	Transportation Equipment	Total
December 31, 2013								
Cost or valuation	P 155,690,154	P 225,120,034	P 458,871,594	P 160,830,026	P 287,397,581	P 84,508,391	P 14,746,500	P 1,387,164,280
Accumulated depreciation and amortization	-	170,969,061	311,007,119	143,690,919	173,980,879	70,391,690	7,277,596	877,317,264
Net carrying amount	P 155,690,154	P 54,150,973	P 147,864,475	P 17,139,107	P 113,416,702	P 14,116,701	P 7,468,904	P 509,847,016
December 31, 2012								
Cost or valuation	P 155,690,154	P 224,895,034	P 447,465,365	P 157,348,572	P 223,382,493	P 82,013,314	P 16,477,857	P 1,307,272,789
Accumulated depreciation and amortization	-	161,973,258	272,925,752	136,793,366	165,382,922	65,519,123	6,295,849	808,890,270
Net carrying amount	P 155,690,154	P 62,921,776	P 174,539,613	P 20,555,206	P 57,999,571	P 16,494,191	P 10,182,008	P 498,382,519
January 1, 2012								
Cost or valuation	P 155,690,154	P 224,895,034	P 447,465,365	P 154,940,112	P 186,372,042	P 79,455,837	P 12,600,086	P 1,261,418,630
Accumulated depreciation and amortization	-	152,977,457	234,844,386	129,975,506	154,030,722	64,117,697	5,449,574	741,395,342
Net carrying amount	P 155,690,154	P 71,917,577	P 212,620,979	P 24,964,606	P 32,341,320	P 15,338,140	P 7,150,512	P 520,023,288

A reconciliation of the carrying amounts of property and equipment at the beginning and end of 2013 and 2012 is shown below.

	Land	Buildings	Trading System Equipment	Building Improvements	Computer Hardware and Peripherals	Office Equipment, Furniture and Fixtures	Transportation Equipment	Total
Balance at January 1, 2013,								
net of accumulated depreciation and amortization	P 155,690,154	P 62,921,776	P 174,539,613	P 20,555,206	P 57,999,571	P 16,494,191	P 10,182,008	P 498,382,519
Additions	-	-	11,406,228	4,476,261	84,558,025	4,708,221	1,394,714	106,543,449
Disposals	-	-	-	(769,806)	(10,389,404)	(2,213,144)	(1,022,723)	(14,395,077)
Reclassification	-	225,000	-	(225,000)	-	-	-	-
Depreciation charges for the year	-	(8,995,803)	(38,081,366)	(6,897,554)	(18,751,490)	(4,872,567)	(3,085,095)	(80,683,875)
Balance at December 31, 2013,								
net of accumulated depreciation and amortization	P 155,690,154	P 54,150,973	P 147,864,475	P 17,139,107	P 113,416,702	P 14,116,701	P 7,468,904	P 509,847,016
Balance at January 1, 2012,								
net of accumulated depreciation and amortization	P 155,690,154	P 71,917,577	P 212,620,979	P 24,964,606	P 32,341,320	P 15,338,140	P 7,150,512	P 520,023,288
Additions	-	-	-	4,703,739	45,408,283	6,113,101	5,666,071	61,891,194
Disposals	-	-	-	(2,291,471)	(3,783,805)	(104,835)	(24,122)	(6,204,233)
Reclassification	-	-	-	-	(7,902)	7,902	-	-
Depreciation charges for the year	-	(8,995,801)	(38,081,366)	(6,821,668)	(15,958,325)	(4,860,117)	(2,610,453)	(77,327,730)
Balance at December 31, 2012,								
net of accumulated depreciation and amortization	P 155,690,154	P 62,921,776	P 174,539,613	P 20,555,206	P 57,999,571	P 16,494,191	P 10,182,008	P 498,382,519

Land represents shares in the condominium corporation donated to the Parent Company. Ayala Land, Inc. (ALI) established a stock condominium corporation with the corporate name of Tower One and PSE Exchange Plaza Condominium for the purpose of holding title to the parcel of land where the Exchange Plaza is located and other common areas of the condominium. The donation is divided into two tranches consisting of 120 and 176 shares, each valued at P63,117,630 and P92,572,524, respectively. Such shares were received by the Parent Company on December 29, 1994 for the 120 shares and on January 15, 1995 for the 176 shares and were valued at fair market value of the land at the time of donation.

Buildings represent properties donated by Philippine Realty and Holdings Corporation (PRHC) and ALI and a condominium unit at the Philippine Stock Exchange Centre in Pasig City.

Trading System Equipment represents software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

The Group recognized gain on disposals of building improvements, computer hardware and peripherals, office furniture and equipment and transportation equipment totalling P0.2 million in 2013 and is presented as part of Miscellaneous under Other Operating Income - net in the consolidated statement of comprehensive income (see Note 21). No similar transactions occurred in 2012 and 2011.

Depreciation is allocated and presented in the consolidated statement of comprehensive income as follows:

	Notes	2013	2012	2011
Cost of services	19	P 56,636,854	P 53,574,537	P 52,331,528
Administrative expenses		<u>24,047,021</u>	<u>23,753,193</u>	<u>22,785,748</u>
	20	P <u>80,683,875</u>	P <u>77,327,730</u>	P <u>75,117,276</u>

As of December 31, 2013 and 2012, the gross carrying amount of the Group's fully-depreciated property and equipment that are still in use is P480.8 million and P308.3 million, respectively. The Group has no idle property and equipment as at December 31, 2013 and 2012.

14. INVESTMENT IN AN ASSOCIATE

This account pertains to 20.98% ownership interest in PDSHC. The carrying amount of the investment in associate accounted for under the equity method are as follows:

	2013	2012
Acquisition cost	P 137,050,657	P 137,050,657
Accumulated equity in net earnings		
Balance at beginning of year	98,972,023	60,198,996
Equity share in net income for the year	<u>40,848,060</u>	<u>38,773,027</u>
Balance at end of year	<u>139,820,083</u>	<u>98,972,023</u>
Accumulated equity in other comprehensive income		
Balance at beginning of year	-	-
Equity share in other comprehensive loss for the year	(<u>1,132,920</u>)	-
Balance at end of year	(<u>1,132,920</u>)	-
Impairment losses at end of year	-	(<u>24,504,107</u>)
	P <u>275,737,820</u>	P <u>211,518,573</u>

In 2013, the Group recognized gain on reversal of impairment losses on its investment in an associate amounting to P24.5 million and is presented as part of Other Operating Income in the 2013 statement of comprehensive income (see Note 21).

The aggregated amounts of assets, liabilities and net income of the associate are as follows (amounts in millions):

	Assets	Liabilities	Revenues	Net Income
2013	P <u>1,349.3</u>	P <u>178.5</u>	P <u>837.1</u>	P <u>194.7</u>
2012	P <u>1,138.6</u>	P <u>129.0</u>	P <u>749.6</u>	P <u>184.8</u>

15. OTHER NON-CURRENT ASSETS

This account is composed of the following:

	Notes	2013	2012
Computer software - net		P 19,553,247	P 21,402,479
Other investments	27.2	10,480,181	10,480,181
Deposits in bank	8	333,960	331,824
Others		<u>1,006,446</u>	<u>1,152,461</u>
		P <u>31,373,834</u>	P <u>33,366,945</u>

Other investments pertain to the donation of Fort Bonifacio Development Corporation (FBDC) in favor of the Exchange of 10,480,181 shares of Crescent West Development Corporation (CWDC).

Deposits in bank represent the balance of P0.3 million cash deposits posted by the Exchange in favor of the National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the rules of the NLRC, the amount may not be withdrawn by the Group until final disposition of the cases (see Note 29).

A reconciliation of the carrying amount of computer software at the beginning and end of 2013 and 2012 is shown below.

	Note	2013	2012
Cost:			
Balance at beginning of year		P 61,184,661	P 36,547,566
Additions		<u>3,626,868</u>	<u>24,637,095</u>
Balance at end of year		<u>64,811,529</u>	<u>61,184,661</u>
Accumulated amortization:			
Balance at beginning of year		39,782,182	36,393,708
Amortization during the year	19	<u>5,476,100</u>	<u>3,388,474</u>
Balance at end of year		<u>45,258,282</u>	<u>39,782,182</u>
Net book value		<u>P 19,553,247</u>	<u>P 21,402,479</u>

16. TRADE AND OTHER PAYABLES

This account consists of:

	2013	2012
Due to SEC	P 114,179,641	P 82,398,201
Trade payables	<u>56,975,547</u>	<u>38,899,048</u>
Accrued expenses:		
Compensation and other related costs	37,845,373	13,045,469
Repairs and maintenance	7,689,141	9,463,775
Occupancy costs	3,829,809	3,791,177
Taxes	2,812,466	-
Professional fees	2,338,496	4,272,184
Telecommunications	1,668,039	2,635,230
Travel	453,173	114,456
Others	3,454,585	4,460,477
Funds held in trust	15,728,081	-
Output VAT payable	14,978,416	6,528,935
Others	<u>25,298,030</u>	<u>10,419,017</u>
	<u>P 287,250,797</u>	<u>P 176,027,969</u>

Due to SEC represents license fees to operate an exchange imposed under Section 35 of the SRC, *Additional Fees of Exchanges*, which are subsequently billed and collected from active trading participants.

Funds held in trust pertain to the consideration to be received by two trading participants for the sale of their trading rights. The amounts were held in trust by the Group, pending the Group's BOD approval of the application of the respective transferees.

Others pertain to mandatory contributions to government agencies and contributions of the trading participants to the Securities Investors Protection Fund (SIPF) which are billed and collected by the Group on a monthly basis and also remitted to the SIPF on a monthly basis.

Trade payables, accrued expenses, and others are noninterest-bearing and are normally settled within the next financial year.

17. DEFERRED FEES AND OTHERS

This account is composed of the following:

	2013	2012
Listing and listing maintenance fees	P 141,767,701	P 17,530,468
Deferred output VAT	17,430,081	3,104,263
Data feed income	11,193,286	8,671,496
Fines and penalties	2,872,233	3,397,822
Others	<u>597,000</u>	<u>715,644</u>
	<u>P 173,860,301</u>	<u>P 33,419,693</u>

18. REVENUES

The following are the details of revenues:

	2013	2012	2011
Listing-related fees:			
Listing	P 495,404,343	P 356,741,822	P 234,786,035
Listing maintenance	223,846,477	203,398,245	193,553,103
Processing	2,860,000	1,900,000	950,000
Service fees	454,675,515	316,376,987	254,034,164
Transaction-related fees:			
Transaction	184,201,056	101,279,075	120,029,889
Block sales	56,635,825	30,632,267	22,229,243
Data feed	56,503,262	50,314,730	45,600,353
Subscription	19,441,642	16,469,264	14,996,700
Regulatory fees	13,780,931	45,259,770	-
Other revenues	20,656,001	19,542,240	13,271,147
	<u>P 1,528,005,052</u>	<u>P 1,141,914,400</u>	<u>P 899,450,634</u>

19. COST OF SERVICES

The following are the details of direct costs and expenses from rendering of services:

	Notes	2013	2012	2011
Salaries and employee benefits	23.1	P 78,141,383	P 73,676,926	P 69,397,425
Depreciation	13	56,636,854	53,574,537	52,331,528
Repairs and maintenance		34,090,371	33,261,358	30,386,397
Communication		7,482,808	8,431,961	9,405,923
Office supplies		535,403	666,347	648,655
Insurance		100,820	93,964	87,157
Miscellaneous		10,956,186	7,249,317	5,108,493
	20	<u>P 187,943,825</u>	<u>P 176,954,410</u>	<u>P 167,365,578</u>

Miscellaneous pertains to amortization of software license, occupancy costs, professional fees, public relations and other expenses.

20. OPERATING EXPENSES BY NATURE

The details of operating expenses by nature are shown below.

	Notes	2013	2012 (As Restated)	2011 (As Restated)
Salaries and employee benefits	23.1	P 249,415,798	P 215,407,525	P 170,307,018
Depreciation	13	80,683,875	77,327,730	75,117,276
Occupancy costs		48,668,168	44,708,794	41,290,177
Professional fees		44,271,963	43,568,019	56,236,423
Repairs and maintenance		36,659,689	35,393,914	30,450,156
Communication		8,939,546	9,794,516	11,769,168
Taxes and licenses		8,408,921	7,713,557	7,820,350
Public relations		8,320,575	12,617,117	6,827,067
Membership development		6,884,123	8,990,373	7,403,478
Donations and contributions		4,541,952	1,315,000	1,000,000
Office supplies		4,515,776	4,640,003	3,966,476
Transportation and travel		3,324,467	3,472,150	6,202,744
Insurance		1,990,930	2,001,390	2,085,066
Market development		1,670,390	3,865,126	4,351,725
Meetings and conferences		1,384,322	1,096,083	1,296,747
Miscellaneous		18,291,028	26,419,557	10,008,598
		<u>P 527,971,523</u>	<u>P 498,330,854</u>	<u>P 436,132,469</u>

Miscellaneous pertains to amortization of computer software, brokers' commission, management fee for the Group's investment management fund, and other miscellaneous operating expenses.

These expenses are classified in the consolidated statement of comprehensive income as follows:

	Notes	2013	2012 (As Restated)	2011 (As Restated)
Administrative expenses		P 340,027,698	P 321,376,444	P 268,766,891
Cost of services	19	187,943,825	176,954,410	167,365,578
	20	<u>P 527,971,523</u>	<u>P 498,330,854</u>	<u>P 436,132,469</u>

21. OTHER OPERATING INCOME

Presented below are the details of other operating income.

	Notes	2013	2012	2011
Reversal of impairment losses	14	P 24,504,106	P -	P -
Miscellaneous	13	<u>1,964,029</u>	<u>1,851,964</u>	<u>1,437,021</u>
		<u>P 26,468,135</u>	<u>P 1,851,964</u>	<u>P 1,437,021</u>

22. FINANCE INCOME (COSTS)

The breakdown of this account follows:

22.1 Finance Income

	Notes	2013	2012	2011
Interest income:				
AFS financial assets	11	P 24,044,027	P 16,003,310	P 28,000,085
Time deposits	8	<u>16,933,068</u>	<u>37,206,616</u>	<u>29,483,538</u>
Cash in banks	8	<u>1,857,130</u>	<u>1,215,024</u>	<u>1,507,931</u>
Financial assets at FVTPL	10	<u>236,194</u>	<u>345,971</u>	<u>770,165</u>
Dividend income on FVTPL		<u>7,191,893</u>	<u>5,027,755</u>	<u>1,983,735</u>
Foreign exchange gains - net		<u>564,134</u>	-	-
Gain on reversal of impairment of AFS financial assets	11	<u>180,000</u>	-	-
Fair value gains on financial assets at FVTPL	10	<u>-</u>	<u>65,108,656</u>	<u>7,415,146</u>
		<u>P 51,006,446</u>	<u>P 124,907,332</u>	<u>P 69,160,600</u>

22.2 Finance Costs

	Notes	2013	2012 (As Restated)	2011 (As Restated)
Remeasurement of retirement benefit obligation	23.2	P 969,205	P 2,351,307	P 1,627,318
Bank charges		<u>292,700</u>	<u>177,084</u>	<u>180,656</u>
Fair value loss on financial assets at FVTPL	10	<u>158,381</u>	-	-
Foreign exchange loss - net		<u>-</u>	<u>2,555,313</u>	<u>438,224</u>
		<u>P 1,420,286</u>	<u>P 5,083,704</u>	<u>P 2,246,198</u>

23. EMPLOYEE BENEFITS

23.1 Salaries and Employee Benefits Expense

Details of salaries and employee benefits are presented below (see also Note 20).

	2013	2012 (As Restated)	2011 (As Restated)
Salaries and wages	P 227,694,654	P 190,749,800	P 157,657,670
Other employee benefits	<u>7,590,051</u>	<u>7,883,768</u>	-
Post-employment benefits	<u>14,131,093</u>	<u>16,773,957</u>	<u>12,649,348</u>
	<u>P 249,415,798</u>	<u>P 215,407,525</u>	<u>P 170,307,018</u>

Other employee benefits include share-based payment expense amounting to P2.5 million, P2.6 million and nil in 2013, 2012 and 2011, respectively (see Note 26). The amounts of salaries and other employee benefits are allocated as follows:

	Notes	2013	2012	2011
Administrative expenses		P 171,274,415	P 141,730,599	P 100,909,593
Cost of services	19	<u>78,141,383</u>	<u>73,676,926</u>	<u>69,397,425</u>
	20	<u>P 249,415,798</u>	<u>P 215,407,525</u>	<u>P 170,307,018</u>

23.2 Post-employment Defined Benefit

(a) Characteristics of the Defined Benefit Plan

The Group maintains a funded, tax-qualified, noncontributory post-employment benefit plan that is being administered by a trustee bank that is legally separated from the Group. The post-employment plan covers all regular full-time employees.

The normal retirement age is 60 with a minimum of 5 years of credited service. The plan also provides for an early retirement at age 50 with a minimum of 10 years of credited service and late retirement after age 60, both subject to the approval of the Parent Company's BOD. The retirement benefit shall be a sum equivalent to 150% of the latest monthly compensation paid for every year of credited service.

(b) Explanation of Amounts Presented in the Consolidated Financial Statements

Actuarial valuations are made annually to update the retirement benefit costs and the amount of contributions. All amounts presented below are based on the actuarial valuation report obtained from an independent actuary in 2013 including the comparative year which has been restated in line with the adoption of PAS 19 (Revised), [see Note 2.2(a)(ii)].

The amounts of post-employment defined benefit obligation recognized in the consolidated statement of financial position are determined as follows:

	<u>2013</u>	<u>2012</u> (As Restated)
Present value of the obligation	P 126,442,265	P 100,636,149
Fair value of plan assets	(93,192,868)	(84,451,652)
	<u>P 33,249,397</u>	<u>P 16,184,497</u>

The movements in the present value of the post-employment defined benefit obligation recognized in the books are as follows:

	<u>2013</u>	<u>2012</u> (As Restated)
Balance at beginning of the year	P 100,636,149	P 104,077,067
Current service cost	14,131,093	16,773,957
Interest expense	6,171,558	6,561,609
Remeasurements -		
Actuarial losses (gains) arising from:		
Changes in demographic assumptions	2,015,074	(10,357,443)
Changes in financial assumptions	7,355,819	1,415,103
Experience adjustments	-	(16,863,064)
Benefits paid	(3,867,428)	(971,080)
Balance at end of year	<u>P 126,442,265</u>	<u>P 100,636,149</u>

The movements in the fair value of plan assets are presented below.

	<u>2013</u>	<u>2012</u> (As Restated)
Balance at beginning of the year	P 84,451,652	P 57,388,509
Interest income	5,202,353	4,210,302
Return on plan assets (excluding amounts included in net interest)	2,206,080	3,756,994
Contributions to the plan	5,200,211	20,066,927
Benefits paid	(3,867,428)	(971,080)
Balance at end of year	<u>P 93,192,868</u>	<u>P 84,451,652</u>

The composition of the fair value of plan assets at the end of the reporting period by category and risk characteristics is shown below.

	2013	2012
Cash and cash equivalents	P 13,555,237	P 26,316,818
Quoted equity securities	15,787,335	11,502,399
Debt securities		
- Philippine government bonds	52,134,869	46,028,861
- Corporate bonds	11,099,991	-
Other receivables	671,132	603,574
Accrued liabilities	(55,696)	-
	P 93,192,868	P 84,451,652

The fair values of the above equity and debt securities are determined based on quoted market prices in Bloomberg or PDEX.

The plan assets earned a return of P7.4 million, P8.0 million and P2.4 million in 2013, 2012 and 2011, respectively.

Plan assets do not comprise any of the Group's own financial instruments or any of its assets occupied and/or used in its operations.

The components of amounts recognized in profit or loss and in other comprehensive income in respect of the defined benefit post-employment plan are as follows:

	2013	2012	2011
<i>Reported in profit or loss:</i>			
Current service cost	P 14,131,093	P 16,773,957	P 12,649,348
Interest income on plan assets	(5,202,353)	(4,210,302)	(4,804,150)
Interest expense	6,171,558	6,561,609	6,431,468
	P 15,100,298	P 19,125,264	P 14,276,666
<i>Reported in other comprehensive income:</i>			
Actuarial gains (losses) arising from changes in:			
Financial assumption	(P 7,355,819)	(P 1,415,103)	(P 104,077,067)
Experience adjustments	(2,015,074)	10,357,443	1,037,865
Demographic assumption	-	16,863,064	88,957,528
Actuarial gain (loss) on interest income from plan asset	2,206,080	3,756,994	(2,422,164)
	(P 7,164,813)	P 29,562,398	(P 16,503,838)

Current service cost is allocated and presented in the consolidated statement of comprehensive income under the following accounts:

	2013	2012	2011
Administrative expenses	P 12,479,166	P 15,259,649	P 11,274,827
Cost of services	1,651,927	1,514,308	1,374,521
	P 14,131,093	P 16,773,957	P 12,649,348

The net interest expense is included in Finance Costs account (see Note 22.2).

Amounts recognized in other comprehensive income were included within items that will not be reclassified subsequently to profit or loss.

In determining the amounts of the post-employment defined benefit obligation, the following significant actuarial assumptions were used:

	2013		2012	
	Parent Company	SCCP	Parent Company	SCCP
Discount rates	5.32%	5.32%	6.11%	6.28%
Salary increase rate	10.00%	10.00%	10.00%	10.00%

Assumptions regarding future mortality experience are based on published statistics and mortality tables. These assumptions were developed by management with the assistance of an independent actuary. Discount factors are determined close to the end of each reporting period by reference to the interest rates of a zero coupon government bonds with terms to maturity approximating to the terms of the post-employment obligation. Other assumptions are based on current actuarial benchmarks and management's historical experience.

(c) *Risks Associated with the Retirement Plan*

The plan exposes the Group to actuarial risks such as investment risk, interest rate risk, longevity risk and salary risk.

Investment and Interest Risks

The present value of the defined benefit obligation is calculated using a discount rate determined by reference to market yields of government bonds. Generally, a decrease in the interest rate of a reference government bonds will increase the plan obligation. However, this will be partially offset by an increase in the return on the plan's investments in debt securities and if the return on plan asset falls below this rate, it will create a deficit in the plan. Currently, the plan has relatively balanced investment in cash and cash equivalents, equity securities and debt securities. Due to the long-term nature of the plan obligation, a level of continuing debt and equity investments is an appropriate element of the Group's long-term strategy to manage the plan efficiently.

Longevity and Salary Risks

The present value of the defined benefit obligation is calculated by reference to the best estimate of the mortality of the plan participants both during and after their employment, and to their future salaries. Consequently, increases in the life expectancy and salary of the plan participants will result in an increase in the plan obligation.

(d) *Other Information*

The information on the sensitivity analysis for certain significant actuarial assumptions, the Group's asset-liability matching strategy, and the timing and uncertainty of future cash flows related to the retirement plan are described in the succeeding pages.

Sensitivity Analysis

The following table summarizes the effects of changes in the significant actuarial assumptions used in the determination of the defined benefit obligation as of December 31, 2013:

	<u>Change in assumption</u>	<u>Impact on post-employment obligation</u>	
		<u>Increase in assumption</u>	<u>Decrease in assumption</u>
Discount rate	100 basis points	Decrease by 7.4%	Increase by 8.4%
Salary increase rate	100 basis points	Increase by 7.1%	Decrease by 6.5%

The sensitivity analysis above is based on a change in an assumption while holding all other assumptions constant. This analysis may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated. Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation recognized in the consolidated statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous years.

Asset-liability Matching Strategies

To efficiently manage the retirement plan, the Group ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as they fall due and in the appropriate currency. The Group actively monitors how the duration and the expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets as of December 31, 2013 and 2012 consists of equity and debt securities, although the Group also invests in cash and cash equivalents. The Group believes that debt securities offer the best returns over the long term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Group's strategies to manage its risks from previous periods.

Funding Arrangements and Expected Contributions

The plan is currently underfunded by P33.2 million based on the latest actuarial valuation. While there are no minimum funding requirement in the country, the size of the underfunding may pose a cash flow risk in about 20 years' time when a significant number of employees is expected to retire.

The Group expects to make contribution of P26.9 million to the plan during the next financial year.

The maturity profile of undiscounted expected benefit payments from the plan for the next 20 years follows:

Within one year	P	11,607,500
More than one year to five years		22,755,641
More than five years to 10 years		18,999,659
More than 10 years to 15 years		10,339,570
More than 15 years to 20 years		<u>9,914,739</u>
	P	<u>73,617,109</u>

The weighted average duration of the defined benefit obligation at the end of the reporting period is 20 years.

24. CURRENT AND DEFERRED TAXES

The components of tax expense reported in the consolidated statement of comprehensive income are as follows:

	<u>2013</u>	<u>2012</u> <u>(As Restated)</u>	<u>2011</u> <u>(As Restated)</u>
<i>Reported in profit or loss</i>			
Current tax expense:			
Regular corporate income tax (RCIT) at 30%	P 269,024,444	P 165,029,021	P 137,798,360
Final tax at 20% and 7.5%	<u>12,727,970</u>	<u>12,739,705</u>	<u>13,727,245</u>
	281,752,414	177,768,726	151,525,605
Deferred tax expense (income) relating to origination and reversal of temporary differences	(9,586,288)	920,574	2,372,403
	<u>P 272,166,126</u>	<u>P 178,689,300</u>	<u>P 153,898,008</u>
<i>Reported in other comprehensive income</i>			
Deferred tax expense (income) relating to origination and reversal of temporary differences	(P 7,363,681)	P 11,354,876	(P 6,914,447)

A reconciliation of tax on pretax profit computed at the applicable statutory rates to tax expense reported in the consolidated statement of comprehensive income follows:

	<u>2013</u>	<u>2012</u> <u>(As Restated)</u>	<u>2011</u> <u>(As Restated)</u>
Tax on pretax profit at 30%	P 335,080,765	P 241,209,650	P 168,520,095
Adjustment for income subjected to lower income tax rates	(2,346,752)	(5,196,887)	5,106,331
Tax effects of:			
Optional standard deductions over itemized deductions	(48,313,469)	(29,954,012)	-
Equity in net income of an associate	(12,254,418)	(11,631,908)	(9,019,219)
Others - net	<u>-</u>	<u>(15,737,543)</u>	<u>(10,709,199)</u>
Tax expense	<u>P 272,166,126</u>	<u>P 178,689,300</u>	<u>P 153,898,008</u>

The deferred tax assets and liabilities relate to the following as of December 31:

	<u>2013</u>	<u>2012</u>
Accrued expense	P 10,284,966	P 4,997,557
Post-employment defined benefit obligation	9,974,821	851,227
Unamortized past service cost	6,013,004	7,159,831
Allowance for impairment losses	781,184	781,184
Unrealized foreign exchange losses (gains) - net	(173,051)	670,379
Unamortized discount on refundable deposits	18,062	22,032
Deferred lease expense	(17,479)	(21,707)
Unrealized gains on AFS financial assets	-	(4,528,965)
	<u>P 26,881,507</u>	<u>P 9,931,538</u>

The components of deferred tax expense (income) presented in the consolidated statement of comprehensive income are as follows:

	<u>Profit or Loss</u>			<u>Other Comprehensive Income</u>		
	<u>2013</u>	<u>2012</u>	<u>2011</u>	<u>2013</u>	<u>2012</u>	<u>2011</u>
Changes in deferred tax assets:						
Accrued expense	(P5,287,409)	(P1,561,404)	P 3,525,454	P -	P -	P -
Post-employment defined benefit obligation	(6,288,878)	923,666	(3,654,007)	(2,834,716)	8,960,699	(4,779,659)
Unamortized past service cost	1,146,827	(413,237)	990,821	-	-	-
Allowance for impairment losses	-	-	1,689,666	-	-	-
Unrealized foreign exchange losses (gains) - net	843,430	(622,734)	2,393,045	-	-	-
Unamortized discount on refundable deposits	3,970	-	-	-	-	-
Deferred lease expense	(4,228)	21,707	-	-	-	-
Unrealized gains on AFS NOLCO	-	-	-	(4,528,965)	2,394,177	(2,134,788)
	<u>-</u>	<u>2,572,576</u>	<u>(2,572,576)</u>	<u>-</u>	<u>-</u>	<u>-</u>
Deferred Tax Expense (Income)	<u>(P9,586,288)</u>	<u>P 920,574</u>	<u>P 2,372,403</u>	<u>(P 7,363,681)</u>	<u>P11,354,876</u>	<u>(P 6,914,447)</u>

As at December 31, 2013 and 2012, the Group did not recognize the deferred tax assets on the following temporary differences since management believes that these temporary differences may not be realized in the future:

	<u>2013</u>		<u>2012</u>	
	<u>Amount</u>	<u>Tax Effect</u>	<u>Amount</u>	<u>Tax Effect</u>
Allowance for impairment losses				
AFS financial assets	P 2,698,000	P 809,400	P 2,878,000	P 863,400
Investment in an associate	-	-	24,504,107	7,351,232
Retirement liability	-	-	9,524,520	2,857,356
	<u>P 2,698,000</u>	<u>809,400</u>	<u>P 36,906,627</u>	<u>P 11,071,988</u>

The Group is subject to the minimum corporate income tax (MCIT) which is computed at 2% of gross income, as defined under the tax regulations, or RCIT, whichever is higher. No MCIT was reported in 2013 and 2012 as the RCIT was higher than MCIT in all years.

In 2013, 2012 and 2011, the Parent Company and CMIC opted to claim itemized deductions in computing for its income tax due while SCCP opted to apply optional standard deduction.

25. RELATED PARTY TRANSACTIONS

The Group's related parties include its stockholders (e.g. trading participants), associate, the Exchange's key management personnel and others as described in the succeeding pages.

The summary of the Exchange's transactions with its related parties as of and for the years ended December 31, 2013, 2012 and 2011 are as follows:

<u>Related Party Category</u>	<u>Year</u>	<u>Notes</u>	<u>Amount of Transaction</u>	<u>Outstanding Receivable</u>
Stockholders				
Trading-related fees		25.1		
Transaction	2013		P 184,201,056	P 10,369,649
	2012		101,279,075	62,737,616
	2011		120,029,889	56,494,988
Block sales	2013		56,635,825	8,602,520
	2012		30,632,267	-
	2011		22,229,243	-
Subscription	2013		19,441,642	428,467
	2012		16,469,264	-
	2011		14,996,700	-
Other revenues	2013		7,460,976	-
	2012		657,021	-
	2011		843,643	-
Key management personnel	2013	25.2	86,275,845	-
	2012		62,851,090	-
	2011		46,558,242	-
Retirement plan	2013	26	5,200,211	-
	2012		20,066,927	-
	2011		-	-

25.1 Fees from Trading Participants

The Group charges fees to trading participants for trading activities performed in the Exchange and for services that it renders. Transaction fees represent billings imposed for all buy and sell transactions passing through the Exchange, while block sale fees represent the processing fee charged to each executed buy and sell contract with a particular bulk value. Subscription fees pertain to fee income from trading participants for access to the trading system.

Other revenues include recoveries from printing of data transaction report, penalty on trading floor, cancellation of matched orders and other fees.

The outstanding receivables from trading participants, which are generally noninterest-bearing, unsecured and settled through cash within three to six months, are presented as part of Trade receivables under the Trade and Other Receivables account in the consolidated statement of financial position (see Note 9).

25.2 Key Management Personnel Compensation

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under Salaries and Employee Benefits account are as follows:

	<u>2013</u>	<u>2012</u>	<u>2011</u>
Short-term benefits	P 80,345,054	P 58,894,859	P 45,741,163
Share-based payments	707,662	2,679,528	-
Post-employment benefits	5,223,129	1,276,703	817,129
	<u>P 86,275,845</u>	<u>P 62,851,090</u>	<u>P 46,558,292</u>

There are no amounts due from or to related parties arising from the above compensation agreement as at December 31, 2013 and 2012.

26. SHARE-BASED PAYMENTS

On April 11, 2012, the BOD of the Exchange approved the ESPP for its employees and SCCP's employees, with the following terms and condition:

- (a) number of shares allotted for the offering is 150,000 shares for three years or about 0.25% of the outstanding capital stock of the Exchange. Each offering consists of 50,000 shares;
- (b) all regular employees in good standing of the Exchange and SCCP with at least one year of continuous service as at the offer date is eligible;
- (c) offer date is annual for a period of three years exercisable from July to December of each year;
- (d) if the exercise period shall lapse without the allocation having been exercised in full, the ESPP shares corresponding to the unexercised allocation will be forfeited and reverted back to the pool of unexercised allocation to be made available to interested participants;
- (e) offer price is fixed based on Volume Weighted Average Price of PSE shares of the month preceding the offer date;
- (f) discount of 10% from the offer price; and,
- (g) cash payment is required during the exercise period.

The rollforward analysis of number of shares on ESPP is as follows:

	2013	2012
Outstanding at the beginning of year	603	-
Granted during the year	50,000	50,000
Exercised during the year	(50,603)	(49,397)
Outstanding at end of year	<u>-</u>	<u>603</u>

In 2013, a total of 50,000 shares of the Exchange were offered for availment. Subscription period was in November 2013 with an exercise price of P323.04 per share, which is based on the volume weighted average price of the shares during the preceding month, with a 10% discount, while the average fair value at grant date was P386.17, which is based on quoted market price.

Out of the 50,603 shares of the Exchange that were availed of and fully paid by the participants under the ESPP, 44,512 shares and 6,091 shares were availed by the Exchange's and SCCP's employees, respectively.

In 2012, a total of 50,000 shares of the Exchange were offered for availment. Subscription period was from November to December 2012 with an exercise price of P333.51 per share, which is based on the volume weighted average price of the shares during the preceding month, with a 10% discount, while the average fair value at grant date was P386.17, which is based on quoted market price.

Total additional paid-in capital arising from share-based payments amounted to P19.0 million and P19.3 million in 2013 and 2012, respectively. Total expense arising from share-based payments amounted to P2.5 million and P2.6 million in 2013 and 2012, respectively (see Note 23.1).

27. EQUITY

27.1 Capital Stock

Details of capital stock as of December 31 are as follows:

	Note	Shares		Amount	
		2013	2012	2013	2012
Common shares - P1 par value					
Authorized - 120.0 million shares					
Issued:					
Balance at beginning of year (as restated)		61,158,130	61,108,733	P 61,158,130	P 61,108,733
Issued during the year	28	12,272,279	49,397	12,272,279	49,397
Balance at end of year		<u>73,430,409</u>	<u>61,158,130</u>	<u>P 73,430,409</u>	<u>P 61,158,130</u>

The following summarizes the information on the Parent Company's registration of securities under the SRC:

<u>Date of SEC Approval</u>	<u>Authorized Shares</u>	<u>No. of Shares Issued</u>	<u>Issue/Offer Price</u>
August 8, 2001	36,800,000	9,200,008	31.16
January 28, 2004		6,077,505	120.50
September 10, 2008		15,177,499	
September 12, 2008	61,000,000	-	
November 14, 2013	22,200,000	-	
June 9, 2011		30,504,363	
November 14, 2013		12,221,676	
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2013		50,603	
	<u>120,000,000</u>	<u>73,430,409</u>	

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange to stockholders of record as at December 13, 2013. The SEC issued an Order dated November 27, 2013 authorizing the issuance of shares to cover the stock dividend declaration. The issuance date will be on January 6, 2014.

As of December 31, 2013 and 2012, the Exchange has outstanding treasury shares consisting of 100,012 common shares with cost amounting to P68.0 million.

27.2 Donated Capital

This account is composed of donations from:

Ayala Land, Inc. (ALI)	P	235,690,154
Philippine Realty and Holdings Corporation (PRHC)		139,542,000
FBDC		10,480,181
United States Agency International Development		<u>1,925,250</u>
	P	<u>387,637,585</u>

On November 12, 2002, the Exchange and FBDC executed a Definitive Agreement with the following salient terms and conditions:

- (a) The Exchange agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to Bonifacio Global City;
- (b) CWDC shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Exchange; and,
- (c) FBDC and the Exchange agree to develop the land and construct the building that will house the Exchange's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.

Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Exchange on the following dates:

<u>Date of Donation</u>	<u>Shares to be Donated</u>
January 7, 2005	5,247,419 shares or 14.32%
January 7, 2006	5,232,762 shares or 14.28%
January 7, 2007	5,232,762 shares or 14.28%
January 7, 2008	5,232,762 shares or 14.28%
January 7, 2009	5,232,762 shares or 14.28%
January 7, 2010	5,232,762 shares or 14.28%
January 7, 2011	5,232,762 shares or 14.28%

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Exchange, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for P10.5 million. Such shares received were classified as Other investments as part of the Other Non-current Assets account in the consolidated statement of financial position (see Note 15).

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Exchange, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an office building in Bonifacio Global City for the relocation of the Exchange's headquarters, majority of its management offices and unified trading operations in equity securities for the NCR to Bonifacio Global City.

As at December 31, 2013, negotiations among the Exchange, FBDC and ALI are still ongoing.

27.3 Parent Company's Retained Earnings

Date of Declaration	Cash Dividends		Record Date	Payment Date
	Per Share	Total Amount		
March 26, 2013	P 9.00	P 549,528,444	April 2, 2013	April 26, 2013
March 14, 2012	7.00	427,061,012	March 29, 2012	April 18, 2012
March 9, 2011	12.00	366,052,356	March 24, 2011	April 11, 2011

The balance of unappropriated retained earnings includes the accumulated equity in net income of an associate and subsidiaries amounting to P139.8 million, P99.0 million and P60.2 million as of December 31, 2013, 2012 and 2011, respectively. The amount is not available for dividend distribution until such time that the Parent Company receives dividends from the respective associate and subsidiaries.

As of December 31, 2013 and 2012, the total appropriated retained earnings is P71.0 million. On August 13, 2008, the Parent Company's BOD appropriated P68.0 million in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated P3.0 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers (see Note 29).

The Parent Company's retained earnings are restricted to the extent of the cost of the treasury shares as of the end of the reporting periods.

27.4 Ownership in the Exchange

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Exchange. On August 13, 2007, the SEC imposed on the Exchange a penalty of P101,100 plus a daily fine of P100 for every day of delay of compliance because the total trading participant ownership in the Exchange exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is P500. The Exchange is studying the alternative courses of action in order to comply with the SRC.

27.5 Events After the End of the Reporting Period

On March 12, 2014, the Parent Company's BOD declared cash dividends of P9.0 per share to stockholders of record as of April 3, 2014 payable on April 28, 2014.

28. EARNINGS PER SHARE

Earnings per share amounts were computed as follows:

	2013	2012 (As Restated)	2011 (As Restated)
Net profit attributable to parent company's shareholders	P 844,769,758	P 625,342,865	P 407,835,642
Divided by the weighted average number of issued and outstanding common shares	73,286,119	73,230,397	73,261,515
Basic and diluted earnings per share	P 11.53	P 8.54	P 5.57

The basic and diluted earnings per share are the same as the dilutive effect of potential common shares from share-based payments have no impact. The weighted average number of issues and outstanding common shares for 2012 and 2011 were restated for the effect of 20% stock dividends declared in 2013.

29. COMMITMENTS AND CONTINGENCIES

29.1 Operating Lease Commitments – CMIC as Lessee

CMIC is a lessee under an operating lease agreement covering its office and certain parking spaces. The lease has a term of 5 years, with renewal options, and include annual escalation rate of 10% starting January 2013. The future minimum lease payments under this operating lease as of December 31 are as follows:

	<u>2013</u>	<u>2012</u>
Within one year	P 2,108,816	P 1,901,962
After one year but not more than two years	2,288,831	2,108,816
More than two years	<u>3,388,588</u>	<u>5,677,420</u>
	<u>P 7,786,235</u>	<u>P 9,688,198</u>

The total rentals from this operating lease amounted to P2.2 million, P1.4 million and nil in 2013, 2012 and 2011, respectively, and are presented as part of Occupancy costs. The amount of rental expense is allocated and presented in the consolidated statement of comprehensive income under the following accounts:

	<u>Notes</u>	<u>2013</u>	<u>2012</u>	<u>2011</u>
Cost of services	19	P 1,591,352	P 1,044,039	P -
Administrative expenses		<u>577,859</u>	<u>363,293</u>	-
	20	<u>P 2,169,211</u>	<u>P 1,407,332</u>	<u>P -</u>

29.2 Legal Claims

In 2007, the Parent Company's BOD appropriated a portion of its retained earnings amounting to P3.0 million to cover potential liability cases filed against the Parent Company, its directors and/or officers. As of December 31, 2013, the said cases are still pending before the courts and quasi-judicial agencies. The amount of the appropriation which is based on available relevant information as of December 31, 2013, will be reassessed periodically to reflect material developments made known to the Parent Company.

29.3 Others

SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2013 and 2012. Details of stock exchange transactions outstanding as at balance sheet dates are as follows:

	<u>2013</u>	<u>2012</u>
Value of shares not yet delivered (net selling)	P 7,954,023,245	P 8,502,722,736
Amount of purchases unpaid (due clearing)	<u>3,260,788,288</u>	<u>2,661,568,475</u>
	<u>P 11,214,811,533</u>	<u>P 11,164,291,211</u>

All transactions outstanding as at December 31, 2013 and 2012 were subsequently settled in January 2014 and 2013, respectively. Accordingly, no failed trades occurred from these transactions.

There are other commitments, guarantees and contingent liabilities that arise in the normal course of operations of the Group which are not reflected in the consolidated financial statement. The management of the Group is of the opinion that losses, if any, from these items will not have any material effect on its consolidated financial statement.

30. CLEARING AND TRADE GUARANTY FUND

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the member's trade value, net of block sales and cross transactions of the same flag.

Starting in 2010, the CTGF was presented off statement of financial position and is not included within the noncurrent assets and noncurrent liabilities in the consolidated statement of financial position. The revised presentation is to better reflect the trading participants' contribution as trust monies and does not result in a change in net assets of the Group.

The CTGF consists of:

	Note	2013	2012
Principal contributions from:			
Trading participants:			
Balance at beginning of year		P 333,336,010	P 289,233,115
Contributions	30.1	101,067,504	44,102,894
Balance at end of year		434,403,514	333,336,009
The Exchange		80,000,000	80,000,000
		<u>514,403,514</u>	<u>413,336,009</u>
Accumulated income:			
Balance at beginning of year		228,685,193	208,472,153
Interest income - net of management fee of P0.8 million and P0.7 million in 2013 and 2012, respectively		21,457,131	20,213,040
Balance at end of year		250,142,324	228,685,193
Net unrealized gains on AFS investments	30.2	21,757,248	23,557,969
		<u>271,899,572</u>	<u>252,243,162</u>
	30.2	<u>P 786,303,086</u>	<u>P 665,579,171</u>

30.1 Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, the Group continuously builds up the CTGF through the monthly contributions collected from the clearing participants and collection of initial contributions from new and returning trading participants.

On January 28, 2003, the SCCP's BOD approved the amendment of its rules on CTGF providing for the non-recourse of all CTGF contributions to members. In July 2007, the SCCP's BOD approved the full refund of contributions to the CTGF upon cessation of business of the clearing member and upon termination of its membership with the SCCP. This is subject to approval by the SEC.

Furthermore, the SCCP's BOD approved additional P10.0 million appropriation of retained earnings during the year. As of December 31, 2013, SCCP has a total of P40.0 million appropriations for the additional contributions to the fund.

30.2 Assets of CTGF

The assets of the CTGF consist of:

	Note	2013	2012
Cash in bank		P 88,487,563	P 15,284,127
Accounts receivable		2,943,648	3,611,865
Accrued interest receivable		7,584,480	9,190,519
AFS investments - debt securities:			
Principal amount		624,000,600	566,920,000
Net unamortized premium (discount)		42,316,637	47,680,936
Net unrealized gains on AFS investments		21,757,248	23,557,969
		<u>787,090,176</u>	<u>666,245,416</u>
Accrued management fees		(787,090)	(666,245)
	30	<u>P 786,303,086</u>	<u>P 665,579,171</u>

The CTGF invested on the following:

- (a) Securities issued or guaranteed by the Republic of the Philippines; and,
- (b) Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

As of December 31, 2013 and 2012, AFS investments with principal amounts of P34.78 million and P111.10 million, respectively, will mature within one year from balance sheet date.

Net unrealized gains (losses) from CTGF investments held as AFS follows

	<u>Note</u>	<u>2013</u>	<u>2012</u>
Balance at beginning of year		P 23,557,969	P 7,279,677
Change in fair value		(1,800,721)	16,278,292
Balance at end of year	30	P 21,757,248	<u>P 23,557,969</u>

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to P0.8 million and P0.7 million in 2013 and 2012, respectively, and is included under Other Revenues account in the Group's consolidated statement of comprehensive income.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- (a) Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- (b) Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- (c) The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- (d) For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- (e) For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and,
- (f) Payment of premium on any insurance policy taken for the CTGF.



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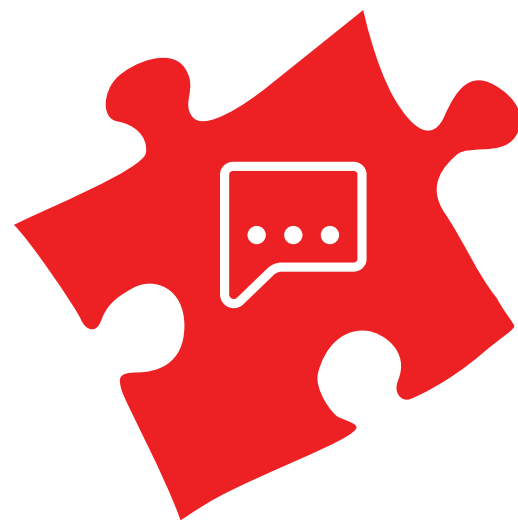
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Your feedback matters.

Take a piece and let us know your thoughts on the 2013 PSE Annual Report

Please send the accomplished form to:

**The Philippine Stock Exchange, Inc.
2/F PSE Plaza, Ayala Triangle
Ayala Avenue,
1226 Makati City
Philippines**

You may also email your comments and suggestions to pird@pse.com.ph or fax to (632) 864 9046.

Name: _____

Company/Organization: _____

Email: _____

AUDIENCE:

I'm primarily interested in the Philippine Stock Exchange, Inc. as a:

- ☐ PSE shareholder
- ☐ PSE Employee
- ☐ Trading participant
- ☐ Media representative
- ☐ If others, please specify:

CONTENT:

The figures and narrative are easy to read and understand

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

COVERAGE:

The report effectively communicates the 2013 performance of the PSE.

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

DESIGN & LAYOUT:

The images, photos, design and layout are visually attractive, relevant, and consistent with the theme of the Annual Report.

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

OVERALL RATING:

On a scale of 1 to 5, with 5 having the highest rating, assess the overall design, relevance, and readability of the 2013 PSE Annual Report

- 1**
☐
- 2**
☐
- 3**
☐
- 4**
☐
- 5**
☐

PARTS OF THE REPORT:

Rate each of the following parts of the 2013 PSE Annual Report on a scale of 1 to 5 with 5 having the highest rating in terms of presentation and effectiveness/clarity

- ___ Messages of the Chairman & the President
- ___ Stock Market performance
- ___ Financial Highlights
- ___ Operational Highlights
- ___ Table of Listed Companies & Issues
- ___ Gallery of Directors & Officers
- ___ Financial Statements & Documents
- ___ Active Trading Participants Directory

FORMAT:

You prefer to receive or read the Annual Report in:

- ☐ Printed copy only
- ☐ Digital copy in CD format
- ☐ Printed copy AND digital file
- ☐ If others, please specify:



Corporate Information

Annual Stockholders' Meeting

The annual meeting of shareholders will be held on Saturday, 24 May 2014, 7:30 a.m. at Pavilions A & B, Wack-Wack Golf & Country Club, Wack-Wack Road, Mandaluyong City, Metro Manila.

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Website: www.pse.com.ph
(Principal Office)

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Tel. No.: (632) 688-7600

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Bonifacio Triangle, Bonifacio Global City
Taguig City
1634 Metro Manila

Rodrigo Berenguer & Guno

Suite 1517, 15th Floor AIC Burgundy Empire Tower
ADB Avenue corners Garnet and Sapphire Roads
Ortigas Center
1605 Pasig City, Philippines

Quasha Ancheta Peña & Nolasco

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Zambrano & Gruba Law Offices

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Punongbayan & Araullo

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Stock Transfer Department
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For inquiries, please contact:

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E-mail: for shareholders and analysts: ir@pse.com.ph
for general inquiries: pird@pse.com.ph



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